LIGHTHOUSE
CAPITAL

2019
INTEGRATED REPORT

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Forum Coimbra – Portugal

ABOUT THIS REPORT

Lighthouse Capital Limited ("Lighthouse" or the "company" or the "group") is pleased to present its integrated report to stakeholders.

In this integrated report, we review our performance for the financial year ended 30 September 2019 (which we refer to as 2019). The report is intended for all our stakeholders (see pages 6 and 7) and explains how we create value over time, giving insight into Lighthouse's business model, performance, governance framework, strategy and risks and opportunities.

Scope and boundary

This integrated report deals with all material social, economic and governance matters that substantively affect the group's ability to create value over the short, medium and long term, as identified by the board. Management determined which issues could influence the decisions, actions and performance of the group. All material matters have been included and management is not aware of any information that was unavailable or any legal prohibitions to the publication of any information.

Lighthouse's operations are primarily based in Mauritius and the Netherlands. Lighthouse, via its subsidiaries, owns a shopping centre in Slovenia and two shopping centres in Portugal. Details of Lighthouse's subsidiaries are set out in note 5 to the financial statements. All of these entities fall within the reporting ambit of this integrated report.

The information included in the integrated report is provided in accordance with:

- The International Financial Reporting Standards ("IFRS");
- The Integrated Reporting Framework ("Framework") issued by the International Integrated Reporting Council ("IIRC");
- The Mauritian Companies Act 2001;
- The Mauritian Securities Act 2005;
- The Stock Exchange of Mauritius ("SEM") Listing Rules;
- The Framework and Code of Corporate Governance for Mauritius 2016 ("the Code");
- The Johannesburg Stock Exchange Limited ("JSE") Listings Requirements; and
- The King IV Report on Corporate Governance for South Africa 2016 ("King IV").

Assurance

The information in this report was collected and prepared on the same basis as last year insofar as measurement methods and time frames were concerned, unless otherwise stated. The information provided in the financial statements was prepared in line with IFRS and audited by our external auditor, BDO & Co.

Financial information included elsewhere in the body of this report was extracted from the financial statements.

The audit committee approved a combined assurance approach to this report:

- The executive management provide an oversight role, by reviewing the integrated report for completeness and accuracy; and
- The external auditor reviews the integrated report to ensure consistency with the audited financial statements, but they do not issue an opinion thereon.

Forward-looking statements

We make certain statements that are not based on historical facts but rather forecasts of future results which are not yet determinable. Forward-looking statements involve inherent risks and uncertainties and actual results may be very different from those anticipated.

Forward-looking statements apply only on the date made and we do not undertake to update or revise any of them, whether as a result of new information, future events or otherwise.

Board responsibility and approval statement

The board acknowledges that it is ultimately responsible for overseeing the integrity of this report. After applying its collective mind to the preparation and presentation of the report and, after recommendation by the audit committee, the board concluded that it addresses all material issues and fairly presents the group's integrated performance, outlook, strategy and perspective on future value creation in accordance with the Framework.

The integrated report was approved by the board for publication and is signed on its behalf by:

Mark Olivier
Chairperson

Stephen Delport
Chief executive officer

6 December 2019

Structure of this report

In the section **creating value**, we discuss our business and its value creation strategy and how it is impacted by our capitals, stakeholders, risks and opportunities.

Our **performance and outlook** is introduced by the chairperson, Mark Olivier, on behalf of the board of directors, who are responsible for setting Lighthouse's strategy.

Environmental, social and corporate governance is important to Lighthouse. We therefore provide extensive information on the activities of the board and its committees in providing sound governance.

This report contains a full set of our **financial statements** for both the group and the company as well as **shareholder information**, including the notice of the annual general meeting.

2019 HIGHLIGHTS

INVESTMENT

European exposure
97,7%
of overall investments
up from 47,5% in 2018

DISTRIBUTIONS

EUR 600 million
of excess capital
returned to shareholders
during the year

RATIOS

Gearing
31,0%
well below the board's
maximum of 45%
(2018: 8,3%)

PORTFOLIO

Direct property holding
80,6%
of overall investments
up from 29,8% in 2018

TO SHAREHOLDERS

Total distribution
for the year of
3,0000 EUR cents per share
representing a payout ratio of
90,7%
(2018: 99,5%)

Vacancy
0,8%
down 84,9%
(2018: 5,3%)

ABOUT LIGHTHOUSE

Purpose

Lighthouse was established with the primary objective of acquiring and investing globally in direct property assets as well as listed real estate and infrastructure securities.

Strategy

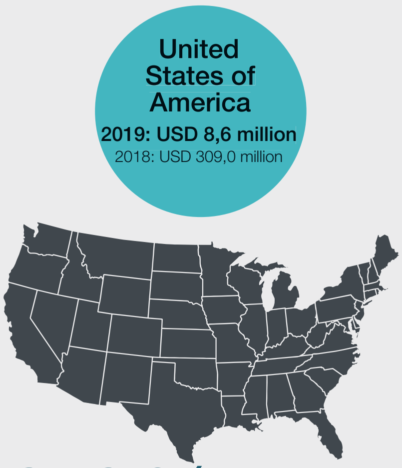
Direct real estate acquisitions are opportunistic with the following key characteristics:

- Predominantly in Europe;
- Focused on retail assets;
- Produce strong sustainable income;
- Occupied by high-quality tenants; and
- Provide asset management opportunities.

Our listed investments are diversified and include:

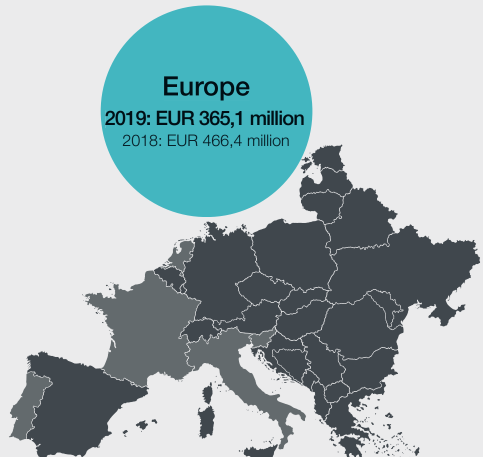
- Real estate securities;
- Infrastructure securities; and
- Highly liquid counters with attractive yields.

Geographical profile



2,3%

2018: 31,5%



97,7%

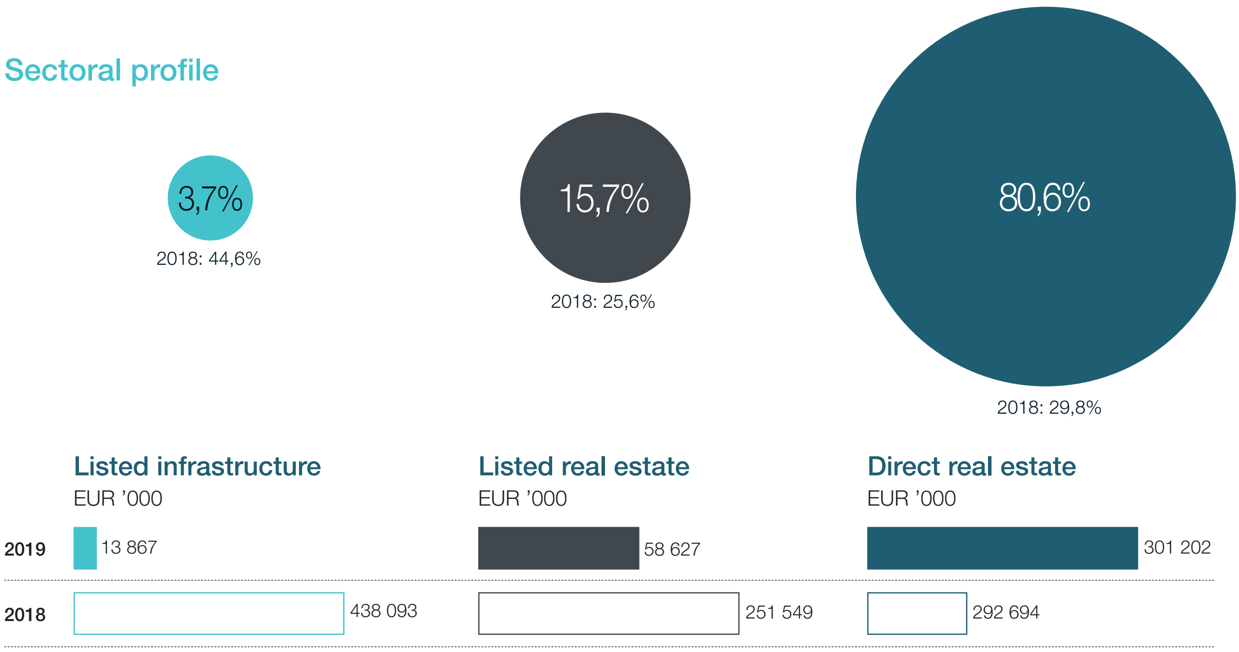
2018: 47,5%

Schedule of overall investments

Gross investments	Primary sector	Jurisdiction	Fair value as at 30 September 2019 EUR	Income received 30 September 2019 EUR	% of net asset value* 30 September 2019 EUR
Forum Coimbra	Direct real estate	Europe	194 267 000	14 778 386	78,6
Planet Koper	Direct real estate	Europe	67 614 607	5 863 854	27,3
Unibail-Rodamco-Westfield	Listed real estate	Europe	48 966 945	2 546 537	19,8
Forum Viseu	Direct real estate	Europe	39 320 000	4 609 991	15,9
Klepierre SA	Listed real estate	Europe	9 659 600	681 975	3,9
Aeroporto Guglielmo Marconi Di Bologna SpA	Listed infrastructure	Europe	5 261 091	165 798	2,1
AT&T Inc.	Listed infrastructure	USA	3 124 979	49 633	1,3
Energy Transfer LP	Listed infrastructure	USA	3 120 574	439 958	1,3
Enterprise Products Partners LP	Listed infrastructure	USA	2 360 251	440 897	1,0
			373 695 047	29 577 029	
Top holdings as a % of total gross overall investments			100,0%		

* *Gross investments represent the total gross fair value excluding property debt and implied debt on equity swap derivatives.*

Sectoral profile



Listed portfolio

Lighthouse invests in listed real estate and infrastructure securities primarily to provide liquidity for the execution of opportunistic acquisitions.

Various changes have been implemented during the year:

- The portfolio was focused towards Continental Europe; and
- Additionally, the portfolio has been reduced in size and a preference remains towards highly liquid counters, while the exposure to the US Dollar has been fully hedged.

After the returns of capital, the listed portfolio comprised 19,4% of total investments at financial year end. The group's future pipeline of acquisitions is expected to be substantial and may be partially funded through the listed security portfolio.

Lighthouse uses direct listed equity investments and equity derivative positions to obtain exposure to listed real estate and infrastructure securities. The principal counterparties in listed securities transactions are Morgan Stanley and Bank of America Merrill Lynch.

Schedule of listed investments

The valuations of our top investments on the reporting date, based on our pro rata ownership percentage, are:

Gross listed security exposure	Primary sector	Exchange listing	Jurisdiction	Percentage ownership 30 September 2019 %	Investment revenue 30 September 2019 EUR	Purchase price/cost 30 September 2019 EUR	Fair value as at 30 September 2019 EUR
Unibail-Rodamco-Westfield	Real estate	Euronext	Europe	0,265	2 546 537	53 641 548	48 966 945
Klepierre SA	Real estate	Euronext	Europe	0,102	681 975	9 174 419	9 659 600
Aeroporto Guglielmo Marconi Di Bologna SpA	Infrastructure	Borsa Italiana	Europe	1,184	165 798	6 232 386	5 261 091
AT&T Inc.	Infrastructure	NYSE	USA	0,001	49 633	2 545 248	3 124 979
Energy Transfer LP	Infrastructure	NYSE	USA	0,010	439 958	3 553 683	3 120 574
Enterprise Products Partners LP	Infrastructure	NYSE	USA	0,004	440 897	2 365 806	2 360 251
					4 324 798	77 513 090	72 493 440
Top holdings as a % of total gross listed security portfolio							100,0%

PROPERTY PORTFOLIO

Physical property investments are focused on retail assets across Europe. Lighthouse constantly assesses opportunities to upgrade, refurbish, extend and redevelop our properties.

Property name	Primary use	Geographical location	Ownership %	Acquisition date	Occupancy %
Forum Coimbra	Retail	Coimbra, Portugal	100	31 May 2017[1]	100,0
Planet Koper	Retail	Koper, Slovenia	100	30 August 2016	98,7
Forum Viseu	Retail	Viseu, Portugal	100	31 May 2017[1]	98,5
Total direct property investment					

The weighted average rental reversions of leases that renewed during the 2019 financial year resulted in increases of 5,69%.

Forum Coimbra
Portugal

Located in Coimbra, which is the capital of the Centro region of Portugal. Coimbra is situated between Lisbon and Porto with a population of approximately 144 000. Forum Coimbra is the most dominant retail centre in its catchment area. It is in a prime location with excellent visibility and easy access to both the city centre and the A1 motorway (Lisbon – Porto). The shopping centre is anchored by a fully refurbished Continente (in separate ownership), is tenanted by 141 retailers and has 2 597 parking spaces. Forum Coimbra has a dominant food court that boasts 30 different restaurant options, a six-screen cinema NOS complex and a Crazy Bowling. Fashion anchors include international heavyweights such as Primark, eight of the Inditex brands, H&M and JD Sports, and this year we saw the introduction of Adidas, Bimba Y Lola and Seaside to the tenant mix. The weighted average rent per m² ("rate per m²") is EUR 27,83 (EUR 27,13 in 2018).

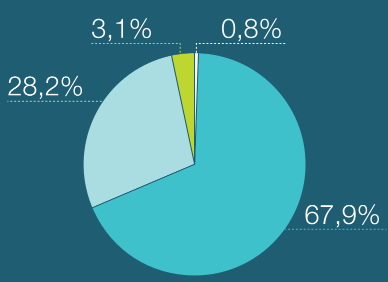
Forum Viseu
Portugal

Located in Viseu, which is in the Centro region of Portugal, Forum Viseu is a CBD mall on the strongest high street in Viseu.

With footfall of over 4,9 million people in 2019 (4,3 million in 2018), Forum Viseu is the dominant fashion destination in Viseu. It has a highly accessible location in the city centre with more than 50% of the footfall being pedestrian. The shopping centre is anchored by Pingo Doce, tenanted by 49 retailers with a strong representation by the Inditex brands and has 784 parking spaces. During 2019, we saw the introduction of new brands such as CEX, Kollect & Chic 2 Chic, while Forum Viseu was further embedded as the centre of the Viseu community when a new 1 500m² Fitness Hut gym opened at the end of November 2018. The rate per m² is EUR 15,91 (EUR 15,20 in 2018).

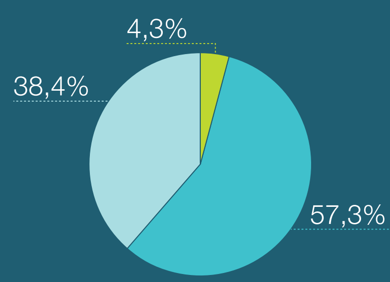
Tenant profile

By rentable area (%)



- Large national tenants, large listed tenants and government. These include, inter alia, C&A, Cortefiel, Fnac, H&M, Inditex, New Yorker, Primark and Takko.
- National tenants, listed tenants, franchisees and medium to large professional firms. These include, inter alia, CCC, Cineplexx, Deichmann, Nos, Pingo Doce, S. Oliver and Tus.
- Other (this comprises 141 tenants).
- Vacant.

By monthly rentals (%)



Gross lettable area (m²)	Purchase price/cost EUR	Fair value EUR	Address
33 843[2]	195 116 420[3]	194 267 000	Av. José Bonifácio de Andrada e Silva nº1 Quinta do Vale Gemil – Almegue Santa Clara 3040-389, Coimbra, Portugal
31 240	69 048 186[3]	67 614 607	Ankaranska cesta 2, 6000, Koper, Slovenia
18 687	40 325 690[3]	39 320 000	Rua D. José da Cruz Moreira Pinto, 32, 3510-078, Viseu, Portugal
	304 490 296	**301 201 607**	

1 An effective 50% ownership interest was acquired on 31 May 2017, with the remaining 50% acquired on 2 August 2018.

2 Excluding a 17 700m² hypermarket that is separately owned.

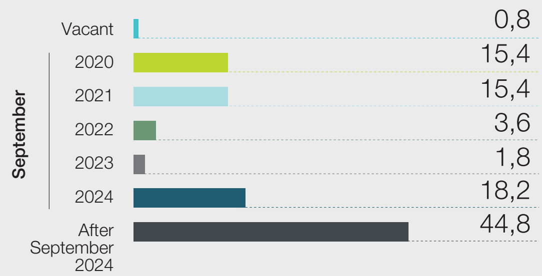
3 Purchase price/cost includes capitalised costs to date.

Planet Koper
Slovenia

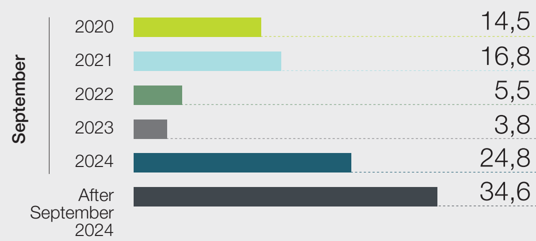
Located in Slovenia's only port town, Koper, Planet Koper is the largest, most dominant shopping centre on Slovenia's 47 kilometre coastline, with footfall of four million. The shopping centre is well located just off the coastal motorway with easy access to the city centre and the surrounding residential population. Planet Koper is anchored by a Tus supermarket, is tenanted by 79 retailers and has 1 130 parking spaces. We are pleased to report that during 2019 we have opened a new food court that is anchored by well-known national restaurant chains Lars & Sven and Teta Frida, and we have successfully introduced an array of international brands to the shopping centre, and in most cases these brands are the first in the region and exclusive to Planet Koper. This includes the opening of four new stores from the LPP Group: House, Cropp, Sinsay and Mohito. Furthermore, international brands such as L'Occitane, Galileo, Superdry, Europa 92, Champion, Sport Vision, and Polleo Sport, have all opened during the year. We are pleased to announce that the refurbishment of the shopping centre was completed during September 2019. The rate per m² is EUR 13,89 (EUR 11,80 in 2018).

Lease expiry profile

By rentable area (GLA) (%)



By monthly rental (%)



ENGAGING WITH OUR STAKEHOLDERS

We strive to create sustainable long-term value for Lighthouse and its stakeholders. We are involved in dialogue on the organisational position, performance and outlook with all stakeholders to determine their material desires in order to respond appropriately through the delivery of our value creation strategy.

Economic stakeholders

Investors and analysts

A clear long-term sustainable growth strategy and successful performance against it > Attractive dividend yield and long-term sustainable capital growth

How Lighthouse engages to create value

Lighthouse is committed to providing shareholders with timely and relevant information. Communication is open, honest and transparent. Shareholders are provided with information via circulars and integrated and interim reports. Additional information is provided on Lighthouse's website, via stock exchange announcements and press releases.

Lighthouse holds results presentations.

Financiers

To be paid contracted amounts on a timeous basis > Good credit rating

How Lighthouse engages to create value

Lighthouse meets with its financiers on a regular basis to discuss its requirements and theirs. Information is provided through analyst presentations, roadshows, integrated reports and interim reporting.

Tenants

To be treated fairly and promptly > Successful tenants

How Lighthouse engages to create value

Lighthouse strives to form mutually beneficial business relationships with its tenants. Lighthouse's property and asset managers regularly meet with tenants and conduct site visits.

Suppliers

To be treated fairly and paid timeously > Reliable suppliers

How Lighthouse engages to create value

Lighthouse maintains professional working relationships with all of its suppliers and ensures that its suppliers understand Lighthouse's performance standards and requirements, as contained in service level agreements, where applicable.

Property managers

What is material to them / Desired outcome

What is material to them		Desired outcome
Clear standards and expectations	>	Successful partnerships

How Lighthouse engages to create value

Lighthouse maintains professional working relationships with its property managers who regularly meet with senior management.

Organisational stakeholders

Employees

What is material to them		Desired outcome
Safe, secure and rewarding employment	>	Challenging and fulfilling careers in a progressive environment

How Lighthouse engages to create value

Lighthouse's strategy is to attract, develop and retain the best industry talent. Our people are developed and rewarded appropriately. We maintain open channels of communication with our employees that include ad hoc meetings.

Societal stakeholders

Government and local authorities

What is material to them		Desired outcome
Paying taxes and adhering to laws and regulations	>	Compliance and a good reputation

How Lighthouse engages to create value

Lighthouse endeavours to pay all its taxes and abide by all applicable laws and regulations. Lighthouse engages with local authorities both directly and via its property managers and external consultants regarding utility issues, rates clearances, zoning, etc.

Industry associations and regulatory bodies

What is material to them		Desired outcome
Active participation	>	Knowledge

How Lighthouse engages to create value

Lighthouse's asset managers belong to various local industry bodies and regularly attend industry conferences.

Communities and environment

What is material to them		Desired outcome
Minimising pollution	>	Responsible corporate citizenship

How Lighthouse engages to create value

Lighthouse is committed to caring for the environment and therefore evaluates the impact of its projects and developments on society.

Lighthouse is committed to ensuring timeous, effective and transparent communication with all stakeholders in its quest for optimum value creation.

HOW WE CREATE VALUE

Lighthouse uses the capitals at its disposal to create sustainable value for its stakeholders.

INPUTS AND PROCESSES

Financial capital

Lighthouse strives to deliver both capital and distribution growth to its shareholders by investing globally in direct property as well as in listed real estate securities with competitive yields that have the prospect of capital growth. In doing so, Lighthouse undertakes to manage its assets in a responsible manner.

Lighthouse's ability to access funding is intrinsic to its operations and thus its ability to create value. Lighthouse had low gearing at year-end and intends to utilise diverse funding sources by using different banks to manage its financing costs and concentration risk. In addition, we ensure that the currencies of our investments generally match the currencies of the underlying funding. Lighthouse utilises in-country financing where sources of funding exist and the terms are in line with the company's funding strategy.

Manufactured capital

Lighthouse is a company that invests in property both directly and indirectly through investments in listed securities. Management is constantly investigating potential investments that will provide sustainable, long-term growth that exceeds industry norms, whether in the form of a potential development, purchase or expansion of existing properties, or through investments in listed securities. A stringent approval process is in place for properties to be acquired or developed. Our investment committee members, who are all experienced in the property sector, approve Lighthouse's acquisitions, redevelopments and disposals and receive updates on these at each meeting.

The day-to-day management of our properties has been outsourced to our property managers, who have the requisite experience and presence in the regions in which our properties are located. We also have experienced and dedicated in-house asset managers who are responsible for overseeing the properties, the performance of the properties and managing the tenant relationships. The asset managers report directly to the chief executive officer. We are constantly assessing opportunities for upgrades, refurbishments, extensions and redevelopments of our properties.

Social and relationship capital

Lighthouse's management team fosters long-term relationships with all our tenants, recognising that there is an important symbiotic relationship between their success and ours. We assess the tenant mix of our properties on an ongoing basis and relocate tenants where we feel that their trading and the property's performance can be improved.

We have relationships with global financial institutions with best-of-breed operating platforms reducing both our operational and counterparty credit risk.

We enter into developments with reputable partners with whom we share values and goals. These relationships allow us to leverage off the specific skills and experience of our partners, all of whom have proven track records in the markets in which they operate.

Human and intellectual capital

Our employees are as intrinsic to our business as our properties. We aim to attract and retain motivated, high-calibre executives and employees whose interests are aligned with the interests of shareholders. Our employees are encouraged to attend job and industry-related training.

Natural capital

We aim to improve the sustainability of our properties by investing in new technologies. Energy efficiency is foremost in our sustainability endeavours.

Capital trade-offs

In applying the capitals for value creation, we have to make many trade-offs. The most significant trade-offs include deciding between preserving our financial capital and applying it to make new investments or develop staff or returning it to shareholders.

VALUE CREATED	STAKEHOLDERS	OUTCOMES
Market capitalisation: **EUR 223 million** (2018: EUR 769 million) The performance of Lighthouse's share price is illustrated in the graphs provided on page 147 of this report. **Distributions per share:** **3,0000 EUR cents** (2018: 10,9620 EUR cents*)	- Investors - Analysts	Investor confidence and loyalty leverage.
Listed infrastructure: **EUR 13,9 million** (2018: EUR 438,1 million) See page 3. **Listed real estate:** **EUR 58,6 million** (2018: EUR 251,5 million) See page 3. **Direct property:** **EUR 301,2 million** (2018: EUR 292,7 million) See pages 4 and 5.	- Suppliers - Property managers - Government and local authorities	Quality investments and investment returns.
	- Tenants - Communities - Industry associations and regulatory bodies	Mutually rewarding relationships with industry, tenants and the communities we operate in.
	- Employees	Highly regarded and experienced management team with property and investment specific knowledge.
	- Environment	Doing no harm.

* *Adjusted for the impact of the share consolidation on a 1 for 20 basis on 18 December 2018.*

OUR RISKS AND OPPORTUNITIES

Risk is the volatility of unexpected outcomes. Within the Lighthouse framework, this would specifically relate to the adverse impact on the value of its assets, equity or earnings.

Risk management is the discipline by which risks are identified, assessed and prioritised. It is essential to understand the multiple dimensions of risk in order to manage these effectively, with the aim of increasing shareholder value.

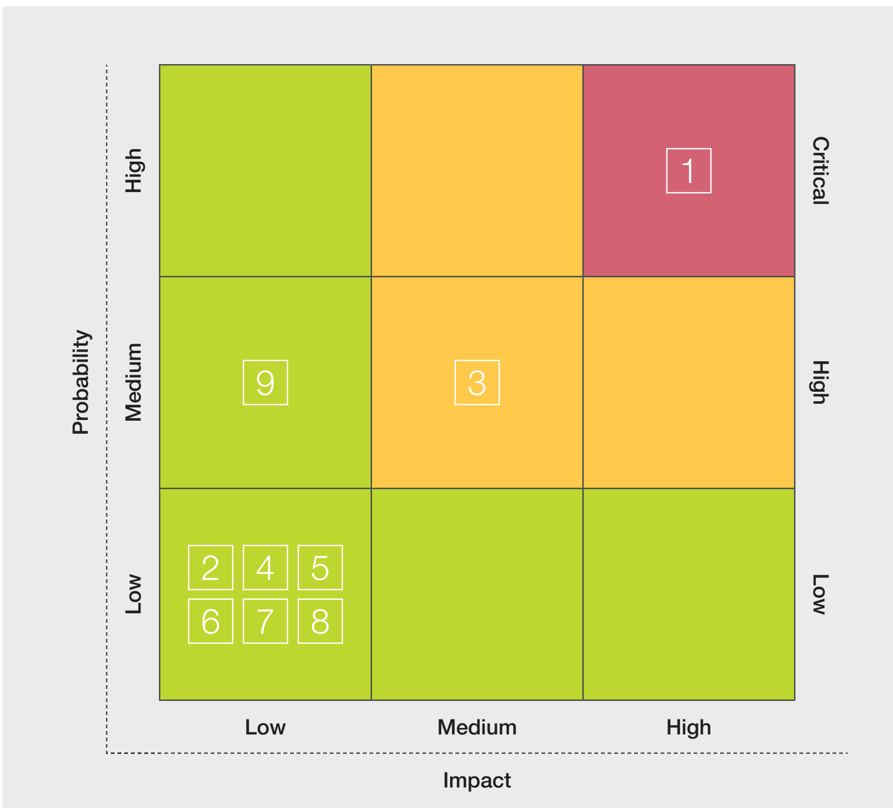
Risk management is essential for improved performance, growth and sustainable value creation. The process for identifying and managing risks has been set by the board. The board has overall responsibility for risk management and has delegated the responsibility for monitoring risk management processes and activities to Lighthouse's risk committee. The day-to-day responsibility for risk management, including maintaining an appropriate internal control framework, remains the responsibility of Lighthouse's executive management.

Risk management is an integral part of the company's strategic management and is the mechanism through which risks associated with the company's activities are addressed. The key objectives of the risk management system include:

- Identification, assessment and mitigation of risks on a timely basis;
- Provision of timely information on risk situations and appropriate risk responses;
- Identification of potential opportunities which would result in increasing firm value; and
- Instilling a culture of effective risk management throughout the Lighthouse group.

Risks are monitored via the risk management framework in terms of which management identifies risks, documents these in the risk matrix and assesses the probability of their occurrence as well as the potential impact of the risk on the organisation. Each identified risk is then managed and, where possible, mitigated. Due to the dynamic nature of the economic environment in which Lighthouse operates, risks, and the impacts thereof, change constantly. Accordingly, risk management is a dynamic and ongoing discipline which is continuously adapted to its environment.

The **residual risks** facing Lighthouse are presented on the heat map below:



The numbers on the heat map correspond with those on the following three pages.

<1>

Investments

Risk description

- Delays in executing appropriate direct property investment and development strategies, or executing in less favourable conditions
- Increased competition due to availability of capital in the market
- Currency fluctuations
- Destruction of direct investments
- Physical deterioration of direct investments
- Liquidity risk/failure to raise capital

Effect on value creation

- Lower net asset value
- Lower total direct investment return (income and capital)
- Lower distributions

Stakeholders affected

- Shareholders
- Tenants
- Operators
- Direct property managers
- Employees
- Financiers
- Suppliers

Key mitigants

- Defined investment strategy
- Defined asset appraisal process
- Review of all opportunities against predetermined criteria
- Monitoring macroeconomic and property market trends
- Analysing an extensive pipeline
- Conservative currency hedging
- Hedging effectiveness regularly monitored
- Insurance cover is carefully monitored to ensure that it is sufficient
- Direct investment managers perform regular property inspections
- Ensure investor confidence by declaring distributions regularly and making relevant and timely announcements to stakeholders

<2>

Development

Risk description

- Development and construction risk including contractor solvency and availability

Effect on value creation

- Reduced development returns
- Cost overruns
- Programme delays leading to potential loss of occupier revenue
- Failure to secure planning permission

Stakeholders affected

- Shareholders
- Tenants
- Operators
- Direct property managers
- Financiers
- Suppliers

Key mitigants

- Close supply chain relationships facilitate assessment and monitoring
- Assessment of contractors prior to appointment

<3>

Investor demand

Risk description

- Decrease in demand by investors for real estate

Effect on value creation

- Lower net asset value
- Potential pressure on financing covenants

Stakeholder affected

- Shareholders

Key mitigants

- Investing in prime properties
- Strong financial covenants
- Active asset management

OUR RISKS AND OPPORTUNITIES continued

<4>

Direct property occupier market

Risk description
- Reduced retail occupier demand for space, increased supply and occupier defaults

Effect on value creation
- Lower rental income and cash flow
- Empty unit (void) costs
- Lower net asset value
- Reduced strength of occupier covenant and increased arrears/ bad debts
- Higher cost of occupier incentives for new lettings

Stakeholders affected
- Shareholders
- Tenants
- Direct property managers
- Financiers
- Suppliers
- Prime brokers

Key mitigants
- Diversified occupier base
- Long leases and strong financial covenants
- Quality assets are easier to re-let
- Close occupier relationships assist in understanding changing requirements
- Review of consumer trends
- Retail occupiers at risk are monitored regularly

<5>

Finance availability

Risk description
- Shortage of financing or refinancing at acceptable cost
- Adverse changes in macroeconomic conditions or the group's performance may lead to rating downgrade and/or unavailability of capital

Effect on value creation
- Inability to fund property investments or development programme
- Increased cost of finance

Stakeholders affected
- Shareholders
- Financiers

Key mitigants
- Spread of sources of finance and maturity of facilities
- Committed but undrawn facilities maintained
- Continuing and extensive capital market and bank relationship management

<6>

Cost of finance

Risk description
- Adverse interest rate movements

Effect on value creation
- Increased cost of borrowing and hedging

Stakeholders affected
- Shareholders
- Financiers
- Prime brokers

Key mitigants
- Conservative interest rate hedging policy
- Exposure reduced by replacing variable interest loans with fixed interest loans/facilities
- Interest rate hedging effectiveness regularly monitored

<7>

Credit risk

Risk description
- Financial counterparty credit risk

Effect on value creation
- Loss of hedge
- Loss of deposits
- Cost of rearranging facilities
- Adverse changes in financing rate

Stakeholders affected
- Shareholders
- Financiers
- Prime brokers

Key mitigants
- Summary of exposures by bank and credit ratings reviewed monthly
- Spread of sources of finance and maturity of facilities
- Cash placed across a range of deposit accounts
- Creditworthiness of counterparties assessed regularly

<8>

Listed securities

Risk description

- Risk of underperformance of investments, specifically forecast dividends not being received
- Risk of financial loss to the group if a counterparty to a financial instrument fails to meet its contractual obligations
- Funding liquidity risk
- Market risk – securities investments represent potential risk of loss of capital
- Portfolio concentration in certain assets/sectors represent a higher risk to market fluctuation

Effect on value creation

- Distributable income is reduced due to the reduction of dividends received from investments
- Inability to meet obligations which may force early liquidation of the position as a result of margin calls

Stakeholders affected

- Shareholders
- Prime brokers

Key mitigants

- Management monitors the performance of listed counters on a daily basis. All investments are made in accordance with the investment mandate and the board monitors compliance with mandates on a quarterly basis
- Financial instruments are entered into with reputable financial institutions
- The company limits its exposure to credit risk by only investing in liquid securities and only with globally recognised financial institutions and/or counterparties that are listed on a recognised stock exchange
- Ensuring that sufficient cash reserves are held by proper planning of cash flow needs by setting limits on cash flow gaps, by diversification and by giving due consideration to how new funds can be raised to meet cash shortfalls
- Investing in direct equity of companies on a global basis to achieve diversification on a geographic basis in the equity asset class
- The board reassess its investment strategy on a periodic basis to ensure that it is aligned with the objectives of the company, while considering stakeholders' interests

<9>

Operations

Risk description

- Key-man risk
- Business continuity risk
- Underperformance of property managers
- Regulatory risk

Effect on value creation

- Lower net asset value
- Lower share value
- Lower shareholder earnings (distribution)
- Lower rental income and cash flow
- Reduced strength of occupier covenants and increased arrears/bad debts

Stakeholders affected

- Shareholder
- Tenants
- Direct property managers
- Financiers
- Suppliers

Key mitigants

- Ensuring that the remuneration of key staff is aligned with the interests of shareholders
- Ensuring that the business continuity plan is executable
- Performing daily back-ups of data
- Compliance with service level agreements is monitored regularly
- Management reviews monthly reports and meets with the property managers on a regular basis

PERFORMANCE AND OUTLOOK

Planet Koper – Slovenia

FRIDA®
ETA FRIDA

CHAIRPERSON'S STATEMENT

Dear shareholders,

The year in review was characterised by increasing distortion of interest rate markets by governments to facilitate the finance of high levels of indebtedness and budget deficits. Following a flattening of the yield curve in the USA and a global rally in bonds, negative yields on global government debt has ballooned to a new record high.

The board decided not to increase capital allocation to physical assets until expectations of value in private transactions became more reasonable and real estate fundamentals improved. Commensurate with this decision, the board made a distribution of EUR 600 million of excess capital to shareholders during the financial year.

The board's decision to distribute excess capital was not only justified economically, given the investment landscape and limited pipeline at the time, but it also resulted in a restructured shareholder base that is supportive of its entrepreneurial approach to investment and growth ambitions.

The reduced capital base increased the portion of capital invested in direct property to 81,0% of the total fair value of investments as at the end of December 2018. At that date, Lighthouse had EUR 361,9 million of invested exposure, being a EUR 293,1 million investment in retail properties in Portugal (EUR 235,0 million) and Slovenia (EUR 58,1 million), and a EUR 68,8 million investment in listed REITs and infrastructure securities. Forum Coimbra comprises 66,5% of the physical portfolio, is regionally-dominant and delivers consistent and sound growth.

Mark Olivier
Chairperson

Lighthouse's strategic focus during the financial year was to deliver value to shareholders through the execution of asset management strategies in the existing physical property portfolio. These strategies were designed to increase and improve the quality of the portfolio's yield, countering the adverse impact on value of increasing cap rates in the physical market.

At the same time, during the year, the management team retained its good relationships and standing in the market for retail real estate investment in Europe and continued to source retail property opportunities in that region. To this end, our chief investment officer joined the Amsterdam office to enhance and drive this process.

I'm pleased to report the following specific key financial outcomes during the year:

- An interim distribution of 1,5000 EUR cents per share was paid and a final distribution of 1,5000 EUR cents per share has been declared and paid for the six months ended September 2019, resulting in a total distribution of 3,0000 EUR cents per share for the year, in line with the guidance provided;
- Financial risk and hedging were well managed. Gearing did not exceed 31%;
- The physical property portfolio performed well and the full financial benefit of the refurbishment of Planet Koper will be reflected in the 2020 financial year. Across the portfolio, footfall and sales growth exceeded expectations and rental reversionary growth averaged 5,7%; and
- Lighthouse's NAV per share at 30 September 2019 was 54,02 EUR cents. Since inception, Lighthouse has generated a Euro-denominated internal rate of return (based on the company's net asset values and distributions related to this period) to shareholders of 17,4% p.a.

The devaluation of listed real estate in 2018 has reversed as the yield curve lowered and real estate fundamentals improved in 2019. In addition, following the failure of several trade sale processes, including sale programmes involving private equity, the expectations of sellers in the physical market have become more reasonable. Accordingly, we are beginning to see more opportunities that meet our strategic focus of investment in European retail real estate with the following key characteristics:

- Regionally dominant and located in areas where there are large and/or growing populations benefitting from the global urbanisation trend;
- Modern large retail properties of circa 50 000 m^2 or more;
- Offer an attractive mix of high-quality tenants and entertainment;
- Financing is available up to 50% of fair value;
- Partnerships and/or joint venture opportunities exist; and
- Provide asset management initiatives to bolster growth and dominance.

In the year ahead, monetary policy is expected to remain accommodative. The board continues to believe in the long-term value of investing in high-quality, asset-backed, recurring revenue streams generated by certain categories of retail real estate. A well-covered and growing distribution is particularly valuable in an uncertain macroeconomic and geopolitical landscape.

Lighthouse will be focused on achieving the following specific strategies and objectives in the year ahead:

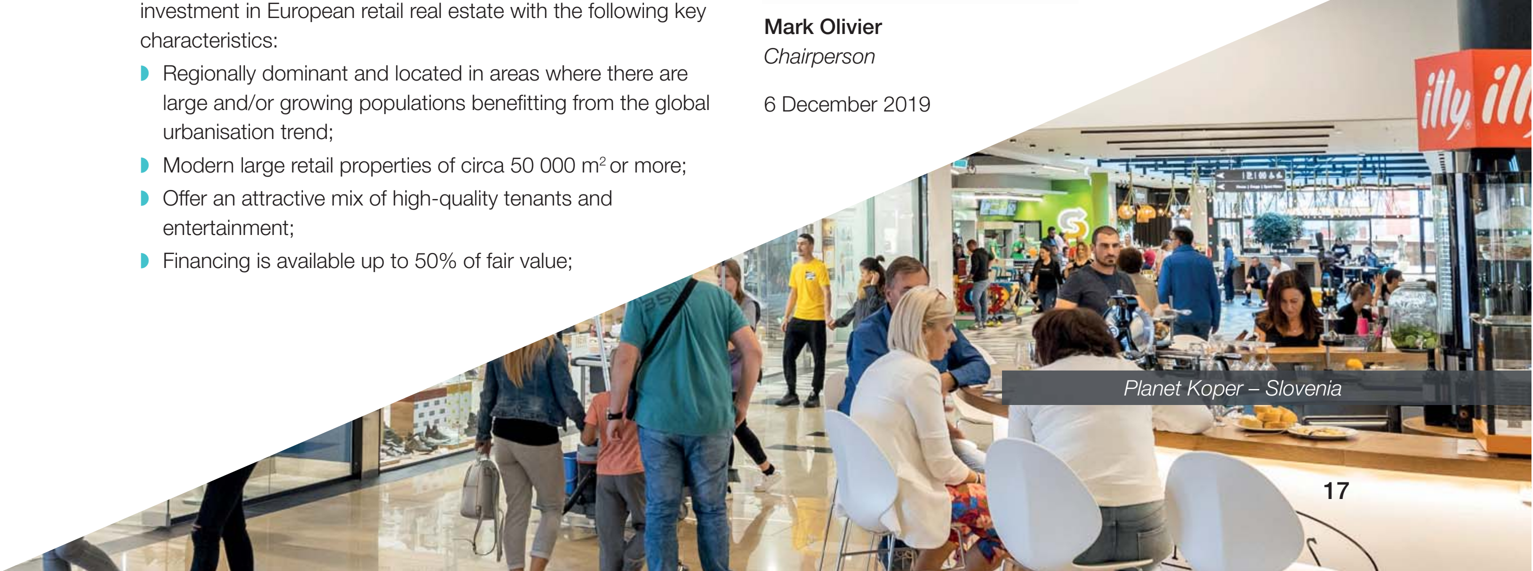
- Continue to grow the resource capability in Europe both internally and through local joint ventures to facilitate quality growth;
- Enhance Euro yields in existing properties through asset management strategies, including meeting timelines for the planned refurbishment of properties;
- Complete the sale of Forum Viseu and recycle cash into assets with better risk-adjusted return potential;
- Assess various retail property opportunities in Europe that meet Lighthouse's investment criteria indicated above;
- Investments in listed securities will be based on a dynamic investment policy that reflects the investment landscape and has an objective of delivering shareholders with a risk-adjusted economic return. We believe that merger and acquisition activity will increase in both the listed real estate and infrastructure sectors enhancing shareholder value; and
- Distributions per share are forecast to increase by at least 5% for the 2020 financial year (as per the assumptions stated in the outlook section of the directors' report).

I thank the management, staff and my fellow directors for their support and look forward to working towards the outlined strategies and objectives.

Sincerely,

Mark Olivier
Chairperson

6 December 2019



Planet Koper – Slovenia

DIRECTORS' REPORT

Nature of the business

Lighthouse is a global business licence company registered in Mauritius. The company has primary listings on both the Official Market of the SEM and the Main Board of the JSE. The group invests globally in direct property and in listed real estate and infrastructure securities.

Stephen Delport
Chief executive officer

Distributable earnings and commentary on results

The board has declared a final distribution of 1,5000 EUR cents per share for the six months ended September 2019. This final distribution, together with the 1,5000 EUR cents per share declared for the interim period ended 31 March 2019, results in a total distribution of 3,0000 EUR cents per share for the 2019 financial year. This is in line with the guidance provided.

Lighthouse achieved 3,3094 EUR cents of distributable earnings per share for the 2019 financial year. The board's dividend policy allows for retaining distributable earnings and the total payout ratio for the 2019 financial year is 90,7%.

During the year, Lighthouse returned EUR 600 million of capital to shareholders. The company's application for reclassification to the FTSE Russell Real Estate Holding and Development sub-sector was successful. Lighthouse's net asset value per share at 30 September 2019 was 54,02 EUR cents. The group's gearing at 30 September 2019 was 31,0%, which remains below the board's limit of 45,0%.

During 2019, the Financial Services Conduct Authority ("FSCA") closed the following investigations related to the company, being one of the allegations of possible share price manipulation in terms of section 80 of the Financial Markets Act, 19 of 2012 ("FMA") and insider trading in terms of section 78 of the FMA. The group awaits the conclusion of the remaining FSCA investigations into possible share price manipulation by market participants. It is important to note that these investigations are not into the affairs of the company.

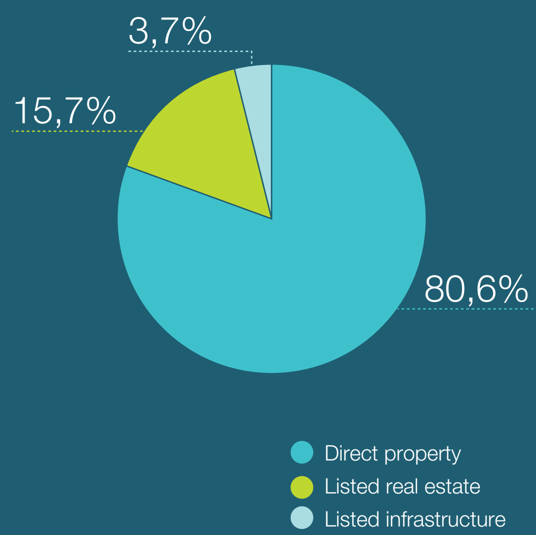
Changes to the board

Justin Muller was appointed to the board as chief investment officer with effect from 13 May 2019. He is based in the Amsterdam office in the Netherlands. Mark Olivier was an independent non-executive director when he was appointed as independent non-executive chairperson on 17 January 2019. Paul Edwards and David Axten, both based in Mauritius, were appointed to the board as independent non-executive directors on 17 January 2019. Terry Warren and Teddy Lo Seen Chong resigned from the board as independent non-executive chairperson and non-independent non-executive director, respectively, on 17 January 2019.

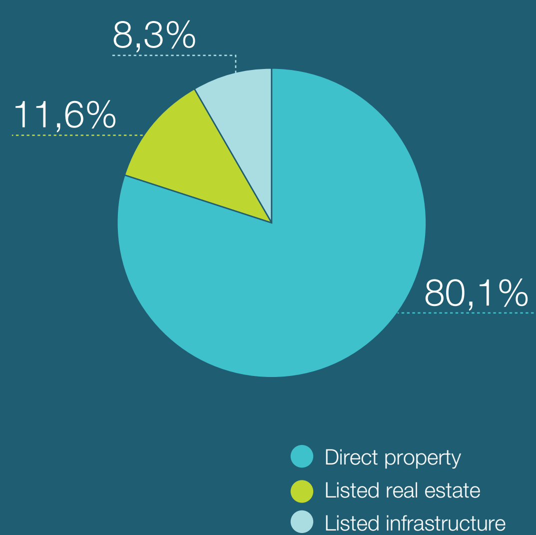
Investment portfolio

At September 2019, Lighthouse's sectoral composition was as follows:

Sectoral profile based on fair value of assets



Sectoral profile based on revenue



DIRECTORS' REPORT continued

The top five investments by fair value at September 2019 are set out below:

	Primary sector	Jurisdiction	Fair value as at Sep 2019 EUR '000
Forum Coimbra	Direct real estate	Europe	194 267
Planet Koper	Direct real estate	Europe	67 615
Unibail-Rodamco-Westfield	Listed real estate	Europe	48 967
Forum Viseu	Direct real estate	Europe	39 320
Klepierre SA	Listed real estate	Europe	9 660
Total of top five investments			**359 829**
Other investments			**13 866**
Total investments			**373 695**

Direct investments

The Portuguese shopping malls continue to benefit from the GDP growth in Portugal, which was 1,8% year-on-year ("YoY") for the second quarter of 2019. Average retail sales in Portugal increased by 3,8% YoY to September 2019. Retail sales for the financial year at Forum Coimbra and Forum Viseu grew by 6,6% and 7,5% respectively. Growth in footfall was up by 1,5% at Forum Coimbra and 6,5% at Forum Viseu. Forum Viseu benefitted from the addition of a gym in previously vacant space. A refurbishment project of Forum Coimbra has been approved by the board at a cost of EUR 4,4 million.

The company has received an offer on Forum Viseu. The bidder is in the process of completing a due diligence on the shopping centre.

The Portuguese shopping malls continue to benefit from the GDP growth in Portugal, which was 1,8% year-on-year for the second quarter of 2019

The extensive refurbishment of Planet Koper was completed within budget during the year under review. Vacancies have reduced from 10,5% to 1,3% and the footfall has increased by 13,0%. The full financial benefits of the refurbishment will be reflected in the 2020 financial year. Sales growth has increased by 6,8% with positive reversions of 3,8%. Slovenia retail sales increased by 1,4% YoY for September 2019.

Capitalisation rates applied by the company's valuers for the valuation of the directly held properties increased by between 4bps and 36bps. Due to increases in net operating income, the impact of the fair value adjustments was limited to a weighted average decrease of 0,80%.

A number of direct property opportunities in Europe are currently being evaluated.

Events after the reporting date

Shareholders are referred to the announcement released on the SEM website and the Stock Exchange News Service of the JSE on 14 October 2019 and are advised that Lighthouse has been granted exclusivity to acquire a mall in Iberia and is currently conducting its due diligence.

On 4 November 2019, the company announced the salient details of a rights offer to be undertaken by Lighthouse, which rights offer will open on Monday, 25 November 2019 and close on Friday, 6 December 2019. In terms of the rights offer, the company proposes to raise up to EUR 70 500 000 through the issue of a maximum of 150 000 000 new ordinary Lighthouse shares at an issue price of 47,00 EUR cents per rights offer share on the SEM and 775,00 ZAR cents per rights offer share on the JSE.

Listed investments

The listed securities portfolio exposure decreased to EUR 72,5 million from EUR 689,6 million at 30 September 2018 due to the return of capital payments. At the end of the financial year, the listed portfolio constituted 19,4% of investments. The largest listed investments are in Unibail-Rodamco-Westfield and Klepierre SA.

Facilities, hedges and derivatives

All interest rate exposure related to long-term direct property loans is hedged with a remaining weighted average hedge term of 5,6 years. The weighted average cost of debt is 2,04%. The company is reviewing an extension to the loans secured by the Portuguese assets which will result in a longer maturity profile.

Summary of financial performance

	Distribution per share[1] EUR cents	Shares in issue[2]	Net asset value per share[2] EUR cents	Net asset value per share – adjusted for returns of capital[3] EUR cents	Gearing[4] %
September 2018	5,1920	455 969 410	129,93	66,70	8,3
December 2018	–	455 969 410	53,65	53,65	28,6
March 2019	1,5000	457 790 136	55,59	55,59	28,0
June 2019	–	457 790 136	53,27	53,27	30,9
September 2019	1,5000	457 790 136	54,02	54,02	31,0

1 *Excluding the returns of capital on 8 October 2018 and 10 December 2018, respectively.*

2 *The shares in issue and net asset value per share have been restated for the company's share consolidation on a 1 for 20 basis on 18 December 2018. Shares in issue are net of treasury shares.*

3 *The net asset value per share has been adjusted for ease of comparison, to retrospectively reflect the impact of the reduction in net assets as a result of the returns of capital on 8 October 2018 and 10 December 2018. The net asset value per share has been adjusted for the impact of the share consolidation on a 1 for 20 basis on 18 December 2018.*

4 *The gearing is calculated by dividing total interest-bearing borrowings adjusted for cash on hand and equity swap derivative margin, by the total of investments in property, gross listed securities and loans advanced. The December 2018 gearing has been adjusted for the impact of the distribution paid on 7 January 2019.*

Outlook

Lighthouse's distributions are forecast to increase by at least 5% for the 2020 financial year. The potential acquisition of the mall in Iberia will have a significant effect on the company's future growth in distributions.

The distribution forecast is based on the following assumptions:

- There will be no material adverse changes to the macro-economic environment, the regulatory or tax environment, the performance of the tenants within the direct property portfolio and the listed securities portfolio;
- Further investments in listed real estate and infrastructure securities will be made in line with the investment policy;
- The company maintains gearing of below 45%;
- The only further direct property investment will be the acquisition of the mall in Iberia, with effect from 1 February 2020; and
- The only direct property disposal will be the sale of Forum Viseu, with effect from 1 February 2020.

This forecast statement, and the forecasts underlying such statement, are the responsibility of the board and have not been reviewed or reported on by the group's external auditor.

Lighthouse's distributions are forecast to increase by at least 5% for the 2020 financial year

Forum Coimbra – Portugal

ENVIRONMENTAL, SOCIAL AND CORPORATE GOVERNANCE


McDonald's

LONG-TERM SUSTAINABILITY

Lighthouse subscribes to the 2030 Agenda for Sustainable Development and associated Sustainable Development Goals ("SDGs").

Introduced in 2015, the 2030 Agenda for Sustainable Development and associated SDGs provide opportunities through a powerful agenda for achieving peace and prosperity on a healthy planet. The 17 SDGs balance the three dimensions of sustainable development: economic, social and environmental. This distillation of challenges makes them actionable for business leaders.

We have determined which of the SDGs require our primary focus. We list below, by capital, the goals which we believe we can make a contribution to, together with what we are doing to make a difference, now and into the future:

	SUSTAINABLE DEVELOPMENT GOALS	HOW WE MAKE A DIFFERENCE	WHAT WE WILL DO IN FUTURE
Financial capital			
Lighthouse strives to deliver both capital and distribution growth to its shareholders by investing globally in direct property as well as in listed real estate securities with competitive yields that have the prospect of capital growth.	Strengthen the means of implementation and revitalise the Global Partnership for Sustainable Development (17 PARTNERSHIPS FOR THE GOALS)	Collaborate with industry partners, industry bodies and associations to promote and share best practice and innovation in tackling the sustainability challenges facing the industry.	Having a sustainability mindset in all our operations.
Manufactured capital			
Management is constantly investigating potential investments that will provide sustainable, long-term growth that exceeds industry norms, whether in the form of a potential development, purchase or expansion of existing shopping centres, or through investments in listed securities.	Build resilient infrastructure, promote inclusive and sustainable industrialisation and foster innovation (9 INDUSTRY, INNOVATION AND INFRASTRUCTURE)	Use innovation to reduce water and energy consumption usage across our owned portfolio.	Create infrastructure geared for e-mobility.

	SUSTAINABLE DEVELOPMENT GOALS	HOW WE MAKE A DIFFERENCE	WHAT WE WILL DO IN FUTURE
Manufactured capital continued			
	Make cities and human settlements inclusive, safe, resilient and sustainable	Upgrade and refurbish to achieve eco-efficient, attractive shopping centres that reduce resource consumption, serve the needs of the local population and enhance public space, local amenities and infrastructure in line with planning requirements of local authorities. All our physical assets are ISO 9001 (Quality), 14001 (Environment) and OHSAS (Health and Safety) compliant.	Always consider the safety of tenants, staff and patrons.
Social and relationship capital			
Lighthouse's management team fosters long-term relationships with all our tenants, recognising that there is an important symbiotic relationship between their success and ours. We enter into developments with reputable partners.	Ensure healthy lives and promote well-being for all at all ages	Promote more sustainable lifestyles among shopping centre visitors by establishing partnerships with local communities, hospitals and health institutions. We promote free tracking of important health signs, informing and educating community members of all ages to promote awareness and a healthy lifestyle. Forum Coimbra is a proud sponsor, participant and supporter of the Academic Federation of Coimbra; the University of Coimbra, including its paediatric hospital; and Coimbra Pinkmove (celebrating international Women's Day). Forum Viseu supports and participates in TEDxVISEU, a worldwide event that promotes sustainability, the environment and health; Conservatório de Musica de Viseu's international music festival; the Viseu Police Challenge, a sports event that starts in the centre; the Portuguese League against Cancer; and medical university students making medical screenings for disease prevention.	Annual health and safety checks for all employees.
	Ensure availability and sustainable management of water and sanitation for all	Increase the water efficiency of our assets and using innovation and technology to rethink how water is used and managed. The use of rainwater for gardening, cleaning and firefighting. Promote awareness for appropriate use of water in rest rooms and establish practices to reduce waste to a minimum, while keeping an appropriate level of service. Best practices resulted in accumulated water savings of 57% since 2007.	Increase the recycling of water.

LONG-TERM SUSTAINABILITY continued

	SUSTAINABLE DEVELOPMENT GOALS	HOW WE MAKE A DIFFERENCE	WHAT WE WILL DO IN FUTURE
Human and intellectual capital			
Our employees are as intrinsic to our business as our properties. We aim to attract and retain motivated, high-calibre executives and employees whose interests are aligned with the interests of shareholders.	Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all	Monitor tenants to assess the promotion of training events with staff and related parties.	Supporting the professional development of our employees.
	Achieve gender equality and empower all women and girls	Adopted a board diversity policy. Exclude tenants, service providers and contractors that fail to present credible evidence that demonstrate inclusive policies that foster equality.	Promoting gender equality and diversity within the company.
	Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all	Select tenants that have economically strong operations, that produce top of class stores and facilities, allowing their employees to work in safe, productive and modern environments. Support local economic development through job creation and skills development opportunities. **Employment in our shopping centres** Forum Coimbra 1 594 Forum Viseu 440 Planet Koper 400	Continue to support local economic development through job creation and skills development opportunities.

Planet Koper – Slovenia

	SUSTAINABLE DEVELOPMENT GOALS	HOW WE MAKE A DIFFERENCE	WHAT WE WILL DO IN FUTURE
Natural capital			
NATURAL CAPITAL We aim to improve the sustainability of our properties by investigating new technologies. Energy efficiency is foremost in our sustainability endeavours.	Ensure access to affordable, reliable, sustainable and modern energy for all	Increase the energy efficiency of our assets and implement measures to increase our energy self-sufficiency to reduce our reliance on fossil fuels. Using technology to produce our own electricity, through the installation of solar panels in areas of the building's ceilings and outside parking covers. **Planet Koper** produces electricity through the solar panels on its roof. It has also installed LED lighting in the shopping centre to reduce the use of electricity and requires tenants to install only LED lighting to conserve energy.	Buying only green electricity.
	Ensure sustainable consumption and production patterns	Improve the eco-efficiency of our assets, focusing on energy, water and waste production. Implement compulsory practices for tenants and all parties related to the regular operation of the schemes, to separate waste, while recovering it for recycling and proper treatment, through duly certified service providers. **Recycling by our properties** ***Forum Coimbra*** 100% of the approximately 1 115 tonnes of waste is treated and recycled (including organic). ***Forum Viseu*** 68% (254 tonnes) of total waste (373 tonnes) was sent for recycling in 2019. ***Planet Koper*** 93% (238 tonnes) of non-municipal waste was recycled.	Using only cleaning supplies that are environmentally friendly.
	Take urgent action to combat climate change and its impacts	Reduce green house gas emissions from our portfolio and integrate climate change risk into our risk management processes. Implementing technology to support efficient use of energy, such as LED technology and a building management system to efficiently control lighting, installing the most efficient equipment to handle heating, ventilation and air conditioning and climatisation practices that do not consume electricity.	Planting more trees.

CORPORATE GOVERNANCE

Lighthouse is committed to the highest standards of ethics and corporate governance. The unitary board of directors endorses the eight principles of corporate practices and conduct as set out in the Code of Corporate Governance for Mauritius 2016 ("the Code"). As a JSE-listed entity, Lighthouse also complies with the JSE Listings Requirements. The board applies best practice principles, as contained in the 17 principles and four governance outcomes set out in the King IV Report on Corporate Governance for South Africa 2016 ("King IV"), where appropriate. The board has satisfied itself that Lighthouse has substantially applied the principles set out in the Code and King IV, as explained below:

THE CODE	KING IV	EXPLANATION OF THE APPLICATION OF THE CODE AND KING IV
Governance outcome one: ethical culture		
Principle 1 **Governance structure** All organisations should be headed by an effective board. Responsibilities and accountabilities within the organisation should be clearly identified.	**Principle 1** The board leads ethically and effectively.	The directors hold one another accountable for decision-making and behave ethically. The chairperson is tasked to monitor this as part of his duties. Ultimate control of the company rests with the board of directors while the executive management is responsible for the proper management of the company. The board has approved a statement of accountabilities.
	Principle 2 The board governs the ethics of Lighthouse in a way that supports the establishment of an ethical culture.	The board is the primary body responsible for the corporate governance values of the group. While control is delegated to management in the day-to-day management of the group, the board retains full and effective control over the group. A formal board charter has been adopted. All directors subscribe to a code of ethics. The code deals with duties of care and skill, as well as those of good faith, including honesty, integrity and the need to always act in the best interests of the company.
	Principle 3 The board ensures that Lighthouse is and is seen to be a responsible corporate citizen.	The board is the guardian of the values and ethics of the group and ensures that it is seen as a responsible corporate citizen. The responsibility for monitoring the overall responsible corporate citizenship performance of the organisation was delegated to the social and ethics committee by the board. *Refer to the report of the social and ethics committee on page 53 for more information on how Lighthouse addressed responsible citizenship.*
Governance outcome two: performance and value creation		
Principle 6 **Reporting with integrity** The board should present a fair, balanced and understandable assessment of the organisation's financial, environmental, social and governance position performance and outlook in its integrated report and on its website.	**Principle 4** The board appreciates that Lighthouse's core purpose, its risks and opportunities, strategy, business model, performance and sustainable development are all inseparable elements of the value creation process.	The board's primary responsibility is to ensure that Lighthouse creates value for its shareholders. In so doing, it considers the legitimate interests and expectations of stakeholders, which include present and potential future investors in Lighthouse. Lighthouse sets and achieves its strategic initiatives with reference to its risks and opportunities. The board assesses both the positive and negative outcomes resulting from its business model continuously and responds to it. *Refer to Lighthouse's business model in the section how we create value on pages 8 and 9 for an explanation of how the inseparable elements of the value creation process are linked.*
	Principle 5 The board ensures that reports issued by Lighthouse enable stakeholders to make informed assessments of Lighthouse's performance and its short, medium and long-term prospects.	The board is responsible for formulating its communication policy, which includes clear, transparent, balanced and truthful communication to shareholders and relevant stakeholders. In its interim and integrated reports to stakeholders, Lighthouse details both its historical performance and an assessment of the organisation's financial, environmental, social and governance position performance and outlook. This, together with other communication, enables stakeholders to make informed assessments of Lighthouse's prospects. *See pages 16 to 21 for Lighthouse's detailed performance over the past year.* *See page 21 for Lighthouse's outlook for the future.*

<table>
<tr><th>THE CODE</th><th>KING IV</th><th>EXPLANATION OF THE APPLICATION OF THE CODE AND KING IV</th></tr>
<tr><td colspan="3">Governance outcome three: adequate and effective control</td></tr>
<tr><td rowspan="2">Principle 2
The structure of the board and its committees
The board should comprise independent-minded directors.

It should include an appropriate combination of executive directors, independent directors and non-independent non-executive directors to prevent one individual or a small group of individuals from dominating the board's decision-taking. The board should be of a size and level of diversity commensurate with the sophistication and scale of the organisation.

Appropriate board committees may be formed to assist the board in the effective performance of its duties.</td><td>Principle 6
The board serves as the focal point and custodian of corporate governance in Lighthouse.</td><td>The board's role and responsibilities and the way that it executes its duties and decision-making are documented and are set out in the board charter.

At its meetings, the board considers both financial and non-financial, or qualitative, information that might have an impact on stakeholders.

Details of the board meetings held during the year and attendance are disclosed on page 38.</td></tr>
<tr><td>Principle 7
The board comprises the appropriate balance of knowledge, skills, experience, diversity and independence for it to discharge its governance role and responsibilities objectively and effectively.</td><td>The board, with the assistance of the nomination committee, considers, on an annual basis, its composition. The board is satisfied that there is a balance of skills, experience, diversity, independence and knowledge needed to discharge its role and responsibilities.

The board is committed to actively managing diversity as a means of enhancing the company's performance by utilising the contribution of the diverse skills and talents from its directors. The board has an approved policy on gender diversity at board level which requires the nomination committee to consider a broad and diverse pool of talent when considering board appointments. The need for gender diversity must be balanced with the need to appoint individuals with the necessary skills and experience to serve on the board.

The board has not established a target for the appointment of women to the board. The policy will be reviewed on an annual basis to ensure that it continues to facilitate the principles of gender diversity at board level.

The board comprises four executive directors and five independent non-executive directors. All directors serve for a maximum period of one year and are subject to retirement by rotation and re-election by shareholders in a general meeting.

Lighthouse believes that all board members are suitably qualified and that the composition of the board is in the best interests of all stakeholders, without prejudice to them. The directors are individuals of a high calibre with diverse backgrounds and expertise, facilitating independent judgement and broad deliberations in the decision-making process.

For details of directors' full names, their dates of appointment and other listed directorships as well as a brief career and sphere of influence synopsis of each of the directors, refer to pages 36, 37 and 40.

The board has established six sub-committees to assist the directors in fulfilling their duties and responsibilities. Each committee has a formal charter and reports to the board at regular intervals. The charters, which set out the objectives, authority, composition and responsibilities of each committee, have been approved by the board and are reviewed at least annually.

The composition of the committees of the board and the distribution of authority between the chairperson and other directors is balanced and does not lead to instances where individual(s) dominate decision-making.

See page 50 for the members of each committee.</td></tr>
</table>

CORPORATE GOVERNANCE continued

THE CODE	KING IV	EXPLANATION OF THE APPLICATION OF THE CODE AND KING IV
Governance outcome three: adequate and effective control continued		
Principle 3 **Director's appointment procedures** There should be a formal, rigorous and transparent process for the appointment, election, induction and re-election of directors. The search for board candidates should be conducted, and appointments made, on merit, against objective criteria (to include skills, knowledge, experience, and independence and with due regard for the benefits of diversity on the board, including gender). The board should ensure that a formal, rigorous and transparent procedure be in place for planning the succession of all key officeholders.	**Principle 8** The board ensures that its arrangements for delegation within its own structures promote independent judgement, and assist with balance of power and the effective discharge of its duties.	The board assumes the responsibilities for the induction of new directors to the board. The board of directors' independence from the executive management team is ensured by the following: • Separation of the roles of chairperson and chief executive officer, with the chairperson being independent; • The board being dominated by independent non-executive directors; • The audit, investment, nomination, remuneration, risk and social and ethics committees having a majority of independent non-executive directors; • Non-executive directors not holding service contracts; • All directors having access to the advice and services of the company secretary; and • With prior agreement from the chairperson, all directors are entitled to seek independent professional advice concerning the affairs of the company at the company's expense. The audit committee is satisfied that the auditor is independent as non-audit services are not performed and the audit firm has been appointed with the designated partner having oversight of the audit. The chief financial officer is the head of the finance function and he has a senior manager reporting to him. Internal audit is fully outsourced and the chief financial officer is responsible for overseeing and coordinating the effective functioning of the outsourcing arrangement. An assessment of the effectiveness of the chief financial officer function is performed annually by the audit committee.

The board has established six sub-committees to assist the directors in fulfilling their duties and responsibilities

THE CODE	KING IV	EXPLANATION OF THE APPLICATION OF THE CODE AND KING IV
Governance outcome three: adequate and effective control continued		
Principle 4 **Directors' duties, remuneration and performance** Directors should be aware of their legal duties. Directors should observe and foster high ethical standards and a strong ethical culture in their organisation. Each director must be able to allocate sufficient time to discharge his or her duties effectively. Conflicts of interest should be disclosed and managed. The board is responsible for the governance of the organisation's information, information technology and information security. The board, committees and individual directors should be supplied with information in a timely manner and in an appropriate form and quality in order to perform to required standards. The board, committees and individual directors should have their performance evaluated and be held accountable to appropriate stakeholders. The board should be transparent, fair and consistent in determining the remuneration policy for directors and senior executives.	Principle 9 The board ensures that the evaluation of its own performance and that of its committees, its chair and its individual members, support continued improvement in its performance and effectiveness.	After evaluating their performance internally in terms of their respective charters, the directors are of the opinion that the board and the sub-committees have discharged all their responsibilities. Assessments of the performance of the chief executive officer and company secretary are conducted annually, and no major issues or concerns have been identified. The company secretary maintains an interests register and is available for consultation to shareholders upon written request to the company secretary. *Directors' interests in the ordinary shares of the company are disclosed on page 39.* All conflicts of interest and related party transactions have been conducted in accordance with the conflicts of interest and related party transactions policy and code of ethics.
	Principle 10 The board ensures that the appointment of, and delegation to, management contribute to role clarity and the effective exercise of authority and responsibilities.	In terms of its formal charter, the board's responsibilities include the appointment of the chief executive officer and the approval of corporate strategy, risk management and corporate governance. The board reviews and approves the business plans and monitors the financial performance of the group and implementation of the strategies. Board members have full and unrestricted access to management and all group information and property. A detailed delegation of authority policy and framework indicate matters reserved for the board and those delegated to management. The board is satisfied that Lighthouse is appropriately resourced and that its delegation to management contributes to an effective arrangement by which authority and responsibilities are exercised. The board has considered the competence, qualifications and experience of the company secretary, Intercontinental Trust Ltd ("ITL"), and deemed it fit to continue in the role as company secretary for Lighthouse. ITL is independent of Lighthouse and the relationship with the board has been assessed and is considered to be at arm's length.
	Principle 12 The board governs technology and information in a way that supports Lighthouse in setting and achieving its strategic objectives.	The risk committee assists the board with the governance of information technology ("IT"). The board is aware of the importance of technology and information as it is interrelated to the strategy, performance and sustainability of Lighthouse. The board is ultimately responsible for IT governance. The Lighthouse IT function is outsourced to a third-party service provider and is governed by a service level agreement. The risks and controls over IT assets and data are considered by the risk committee.
	Principle 14 The board ensures that Lighthouse remunerates fairly, responsibly and transparently so as to promote the achievement of strategic objectives and positive outcomes in the short, medium and long term.	Lighthouse remunerates fairly, responsibly and transparently so as to promote the creation of value in a sustainable manner. *See the remuneration report on pages 44 to 51.* The individual directors' remuneration is disclosed. Lighthouse believes that this disclosure is sufficient and appropriately demonstrates alignment between remuneration and shareholders' returns.

CORPORATE GOVERNANCE continued

THE CODE	KING IV	EXPLANATION OF THE APPLICATION OF THE CODE AND KING IV
Governance outcome three: adequate and effective control continued		
Principle 5 **Risk governance and internal control** The board should be responsible for risk governance and should ensure that the organisation develops and executes a comprehensive and robust system of risk management. The board should ensure the maintenance of a sound internal control system.	**Principle 11** The board governs risk in a way that supports Lighthouse in setting and achieving its strategic objectives.	The risk committee assists the board with the governance of risk. The board is aware of the importance of risk management as it is linked to the strategy, performance and sustainability of Lighthouse. The risk committee implements a process whereby risks to the sustainability of the company's business are identified and managed within acceptable parameters. The risk committee delegates to management to continuously identify, assess, mitigate and manage risks within the existing and ever-changing risk profile of Lighthouse's operating environment. Mitigating controls are formulated to address the risks and the board is kept up to date on progress on the risk management plan. *See pages 10 to 13 for an overview of the top risks to Lighthouse.*
	Principle 13 The board governs compliance with applicable laws and adopted, non-binding rules, codes and standards in a way that supports Lighthouse being ethical and a good corporate citizen.	A framework of financial reporting, internal and operating controls has been established by the board to ensure reasonable assurance as to the accurate and timeous reporting of business information, safeguarding of company assets, compliance with laws and regulations, financial information and general operations. The board reviewed and was satisfied with the effectiveness of the internal financial and operating controls, the process of risk management and the monitoring of legal governance compliance within the company. There were no material or repeated regulatory penalties, sanctions or fines for contraventions of, or non-compliance with, statutory obligations.
Principle 7 **Audit** Organisations should consider having an effective and independent internal audit function that has the respect, confidence and cooperation of both the board and the management. The board should establish formal and transparent arrangements to appoint and maintain an appropriate relationship with the organisation's auditors.	**Principle 15** The board ensures that assurance services and functions enable an effective control environment, and that these support the integrity of information for internal decision-making and of Lighthouse's external reports.	The board is satisfied that assurance results in an adequate and effective control environment and integrity of reports for better decision-making. *See page 41 for information on assurance contained in the audit committee's report.* **External audit** The external auditor is required to assess periodically, in its professional judgement, whether it is independent of the company. The audit committee has primary responsibility for making recommendations to the board on the appointment, reappointment and removal of the external auditor. The audit committee assesses the performance of the auditor and has satisfied itself as to the suitability of the external auditor for reappointment for the ensuing year. The current auditor, BDO & Co, has been the company's auditor for four years. **Internal audit** The company does not have a formalised internal audit department. This is primarily due to the fact that the majority of property management functions are outsourced to external property managers who are subjected to annual external audits.

THE CODE	KING IV	EXPLANATION OF THE APPLICATION OF THE CODE AND KING IV
Governance outcome four: trust, good reputation and legitimacy		
Principle 8 **Relations with shareholders and other key stakeholders** The board should be responsible for ensuring that an appropriate dialogue takes place among the organisation, its shareholders and other key stakeholders. The board should respect the interests of its shareholders and other key stakeholders within the context of its fundamental purpose.	**Principle 16** In the execution of its governance role and responsibilities, the board adopts a stakeholder-inclusive approach that balances the needs, interests and expectations of material stakeholders in the best interests of Lighthouse over time.	Lighthouse has identified its stakeholder groups and actively balances their legitimate and reasonable needs, interests and expectations. Lighthouse is committed to ensuring timeous, effective and transparent communication with shareholders and other stakeholders. *See pages 6 and 7 for more information on engaging with stakeholders.*
	Principle 17 The board ensures that responsible investment is practiced by Lighthouse to promote the good governance and the creation of value by the companies in which it invests.	Lighthouse ensures, through active participation and representation, that it exercises its rights and obligations with regard to its investee companies.

A more comprehensive compliance register in respect of the Code and King IV is available on our website at **www.lighthousecapital.mu/corporate-governance**

A framework of financial reporting, internal and operating controls has been established by the board

BOARD OF DIRECTORS

The board has a fiduciary duty to act in good faith, with due care and diligence and in the best interests of the group and its stakeholders.

Chairperson

Mark Olivier (51)
CA(SA)
(British – based in Mauritius)
Independent non-executive director

Executive directors

Stephen Delport (38)
BSc (Hons) Mathematics
(South African)
Chief executive officer

Justin Muller (36)
CA(SA)
(South African – based in the Netherlands)
Chief investment officer

Kobus van Biljon (43)
CA(SA), CFA, CAIA, CGMA and MSc Finance
(South African – based in the Netherlands)
Chief financial officer

Jan Wandrag (40)
BCom (Law)
(South African – based in Mauritius)
Chief operating officer

Non-executive directors

David Axten (51)
BCom (Economics and Business Economics)
(British/South African – based in Mauritius)
Independent non-executive director

Karen Bodenstein (38)
BCom (Accounting Sciences)
(Mauritian)
Independent non-executive director

Paul Edwards (65)
BSc and MBA
(British – based in Mauritius)
Independent non-executive director

Barry Stuhler (62)
BCom, BAcc, CA(SA)
(South African)
Independent non-executive director

BOARD OF DIRECTORS continued

Chairperson

Mark Olivier (51)

CA(SA)
(British – based in Mauritius)
Independent non-executive director
Date of appointment: 28 June 2016
Listed company directorships: 3
Committee: Nomination

Mark has over 25 years' experience in managing debt, property and private equity assets and providing corporate finance and strategic advice, predominantly to public companies in the United Kingdom. Prior to founding Hibridge Capital (a London-based boutique private equity and advisory business) in 2003, Mark was a shareholder and employee of Hawkpoint Partners, which was the management buy-out of NatWest Markets' corporate finance business. Mark worked for BoE Limited where he served on the executive committee of the group's international business. Mark also worked at KPMG (London) as a manager. Mark is the chairperson of Trellidor, the physical barrier security business in South Africa, and is the chairperson of African Rainbow Capital Investments Limited, an investment holding company listed on the Main Board of the JSE, focused on investing in financial services businesses and acquiring majority or significant minority interests in non-financial services businesses.

Executive directors

Stephen Delport (38)

BSc (Hons) Mathematics
(South African)
Chief executive officer
Date of appointment: 1 March 2016
Listed company directorships: 1
Committees: Investment and risk

Stephen has a BSc with a financial orientation, majoring in mathematics, mathematical statistics and economics and a BSc (Hons) Mathematics from the University of Johannesburg. Stephen started his career in 2003 in the asset management industry as a research analyst. He has gained a thorough insight into the global listed real estate industry, having managed several types of portfolios to date including collective investment schemes, exchange traded funds and hedge funds. Stephen joined Resilient REIT in 2007 and Rockcastle Global Real Estate Company Limited ("Rockcastle") in 2012 and has been part of a successful and consistent property investment philosophy and process.

Justin Muller (36)

CA(SA)
(South African – based in the Netherlands)
Chief investment officer
Date of appointment: 13 May 2019
Listed company directorships: 1

Justin completed his articles at FirstRand Bank Limited in 2008, whereafter he transferred to the Rand Merchant Bank Real Estate Investment Banking division. He spent two years as a real estate credit analyst and then three years as a real estate structured finance transactor, focusing on development finance and portfolio lending to the listed property sector. He joined Resilient REIT Limited in 2013 with an emphasis on acquisitions, transaction structuring and developments in Africa. In 2017, he joined Lighthouse as the head of transactions.

Kobus van Biljon (43)

CA(SA), CFA, CAIA, CGMA and MSc Finance
(South African – based in the Netherlands)
Chief financial officer
Date of appointment: 16 August 2017
Listed company directorships: 1

Kobus commenced his career at KPMG in Johannesburg, completed his articles in 2003 and focused on the banking and real estate sectors. In 2006, he transferred to KPMG in New York City, where he spent several years as advisor and consultant to global real estate, private equity, and other alternative asset management firms. He joined Rockcastle in 2014, initially working on Zambian and Polish retail property investments. In March 2015, he joined the Resilient Africa team in Lagos, Nigeria as chief financial officer. He joined Lighthouse in 2017.

Jan Wandrag (40)

BCom (Law)
(South African – based in Mauritius)
Chief operating officer
Date of appointment: 22 August 2016
Listed company directorships: 1
Committee: Social and ethics

Jan joined Lighthouse from Maitland in Mauritius where he managed their operations and business development from 2013. Jan served as a director and trustee on numerous companies and trusts set up on behalf of high net worth individuals and families, corporations and various funds. Before joining Maitland, Jan managed a team at GMG Trust Company which provided independent administration services to corporate structures including syndications, securitisations, B-BBEE structures, hedge funds, property investment trusts and debenture trusts from 2009.

During this time, he served as a director of various JSE-listed entities, including financial vehicles created by banks and other blue-chip organisations. From 2006 to 2009, Jan worked as a legal officer at Integer and was part of the team responsible for providing legal advice, collections, credit processes and product development. Jan holds a BCom (Law) degree from the University of Johannesburg.

Non-executive directors

David Axten (51)

BCom (Economics and Business Economics)
(British/South African – based in Mauritius)
Independent non-executive director
Date of appointment: 17 January 2019
Listed company directorships: 1
Committees: Remuneration, risk and social and ethics

David is an executive director of Axfin Holdings Ltd, a Mauritian company offering business development services to the financial services industry. David is a Mauritian resident having initially arrived in Mauritius with Rand Merchant Bank 20 years ago. He has spent 25 years operating in the financial and capital market. David has a BCom in Economics and Business Economics.

Karen Bodenstein (38)

BCompt (Accounting Sciences)
(Mauritian)
Independent non-executive director
Date of appointment: 27 September 2016
Listed company directorships: 1
Committees: Audit (chairperson), nomination and risk (chairperson)

Karen is an accountant with over 15 years' post-articles experience in reporting and the preparation of company management and financial accounts. She works as a consultant providing management and financial accounting services to global and domestic companies in Mauritius. She has exposure to directorships on listed companies on both the Stock Exchange of Mauritius and the Johannesburg Stock Exchange. She was an executive director of Rockcastle Global Real Estate Limited, where she was the chairperson of the risk and ethics committee and is currently the CFO of African Rainbow Capital Investments Limited. She holds a BCompt (Accounting Sciences) degree from the University of South Africa and an Advanced Diploma in Management Accounting from the Chartered Institute of Management Accountants. Karen has been living in Mauritius since 2007.

Paul Edwards (65)

BSc and MBA (British – based in Mauritius)
Independent non-executive director
Date of appointment: 17 January 2019
Listed company directorships: 2
Committees: Audit, investment (chairperson), nomination (chairperson) and remuneration

Paul is chairperson of Equilibre Bioenergy Production Limited, a bio-energy business based in Mauritius and a non-executive director and deputy chairperson of the NASDAQ listed NET1 UEPS Limited. He was executive chairperson of Emerging Markets Payments Holdings, an Africa and Middle East payments business. Paul has been chairperson of Starcomms Limited, a Nigerian telecommunications operator that listed on the Nigeria Stock Exchange and Chartwell Capital, a boutique investment bank. Prior to that, he was the chief executive officer of MTN Group, a pan-African mobile operator and Multichoice/DSTV, a pan-African satellite TV business.

Barry Stuhler (62)

BCom, BAcc, CA(SA) (South African)
Independent non-executive director
Date of appointment: 16 August 2017
Listed company directorships: 1
Committees: Audit, investment, nomination, remuneration (chairperson) and social and ethics (chairperson)

Barry is a chartered accountant who completed his articles with Arthur Young. Barry's experience includes management of the Part Bond Scheme and Gilt Fund for Hill Samuel Merchant Bank. He was financial director of Integrated Property Resources and managing director of Intaprop Management Services, the property management company for the Intaprop group. In 1994, Barry cofounded Inline Properties, a property management and corporate property advisory company. Barry was a founding director of Resilient REIT Limited. In 2004, he became managing director of Property Fund Managers Limited (PFM), the asset manager of Capital Property Fund ("Capital"). He joined the Pangbourne Properties Limited ("Pangbourne") board as executive director in 2007 and served as the managing director of the company from 2008 to 2015. After the merger with Pangbourne, Barry was reappointed as managing director of PFM. Subsequent to the merger between Capital and Fortress, Barry retired as an executive director.

BOARD OF DIRECTORS continued

Attendance at board and sub-committee meetings

Director	Board	Audit committee	Investment committee	Nomination committee	Remuneration committee	Risk committee	Social and ethics committee
Non-executive directors							
Mark Olivier (chairperson of the board from 17 January 2019 – resigned from the audit, investment and remuneration committees on the same date)	6/6	1/1	1/1	2/2	1/1		
Terry Warren (chairperson until his resignation on 17 January 2019)	3/3						
David Axten (appointed 17 January 2019)	3/3				1/1	1/1	
Karen Bodenstein (chairperson of the audit and risk committees)	6/6	4/4		3/3		2/2	
Paul Edwards (chairperson of the nomination and investment committees from 17 January 2019) (appointed 17 January 2019)	3/3	3/3	5/5	1/1	1/1		
Teddy Lo Seen Chong (resigned 17 January 2019)	3/3				1/1	1/1	1/1
Barry Stuhler (chairperson of the remuneration and social and ethics committees)	6/6	4/4	6/6	3/3	2/2		1/1
Executive directors							
Stephen Delport	6/6		6/6			2/2	
Justin Muller (appointed 13 May 2019)	2/2						
Kobus van Biljon	6/6						
Jan Wandrag	6/6						1/1

Dealing in securities by the directors

Dealing in the company's securities by directors and company officials is regulated and monitored, as required by the SEM Listing Rules and JSE Listings Requirements. With regard to directors' dealings in the shares of their own company, the directors confirm that they have followed the absolute prohibition principles and notification requirements of the model code for securities transactions by directors as detailed in Appendix 6 of the SEM Listing Rules. All directors' trading must take place exclusively outside the closed periods prescribed by the Stock Exchange Regulations and requires written authorisation from the board of directors. Lighthouse maintains a closed period from the end of a financial period to the date of publication of the financial results.

Beneficial shareholding of directors

	Direct holding		Indirect holding		Associate holding		Total shares held		Percentage of issued shares	
	2019	2018*	2019	2018*	2019	2018*	2019	2018*	2019	2018*
Mark Olivier (chairperson of the board)	–	–	1 053 843	253 844	–	–	1 053 843	253 844	0,230	0,054
David Axten	3 291	–	–	–	–	–	3 291	–	0,001	–
Barry Stuhler	–	–	4 145 453	4 145 453	–	–	4 145 453	4 145 453	0,906	0,874
Stephen Delport	–	–	4 500 000	2 535 682	6 046	1 047	4 506 046	2 536 729	0,984	0,535
Justin Muller	–	–	–	–	–	–	791 396	–	0,173	–
Kobus van Biljon	389 789	250 911	–	51 166	–	–	389 789	302 077	0,085	0,064
Jan Wandrag	89 978	–	–	32 378	–	–	89 978	32 378	0,020	0,007
	483 058	250 911	10 490 692	7 018 523	6 046	1 047	10 979 796	7 270 481	2,398	1,534

* *The 2018 holdings have been restated for the company's share consolidation on a 1 for 20 basis.*

The shareholding of directors has not changed between the end of the financial year and the date on which the financial statements were approved.

BOARD OF DIRECTORS continued

Directors' interests

A full list of directors' interests is maintained and directors certify that the list is correct at each board meeting. Directors recuse themselves from any discussion and decision on matters in which they have a material financial interest. The list of directorships includes:

Non-executive directors	
Mark Olivier (chairperson of the nomination and investment committees until 17 January 2019. Chairperson of the board from 17 January 2019)	Chairperson of Trellidor Holdings Limited (South Africa), executive director of Hibridge Investments Limited, Hibridge Corporate Services, Affordable Property Investments Limited and independent chairperson of African Rainbow Capital Investments Limited.
David Axten	Non-executive director of Clearance Cantara Master Fund Limited (Cayman) – Property Investment Fund, Clearance Segura Master Fund Limited (Cayman) – Property Investment Fund, Kura Capital Investments (Mauritius) – Africa Equity Investment Fund, Rathlin Limited (Mauritius) – Investment Holding and development of railway infrastructure, Gear Africa Ltd (Mauritius) – Rail infrastructure, Seal Point Holdings Ltd (BVI) – Blockchain, Thanos (Mauritius) Ltd, Crypto (Mauritius) Ltd and Drift (Mauritius) Ltd.
Karen Bodenstein (chairperson of the audit and risk committees)	Executive director of Rockcastle UK Property SPV Limited, Rockcastle Europe Limited, Rockcastle Global Real Estate Company Limited, Rockcastle Global Securities Limited, Emerge Development and Project Management Limited and MyBase Limited.
Paul Edwards (chairperson of the nomination and investment committees from 17 January 2019)	Non-executive director of NET1 UEPS Limited (NASDAQ), Equilibre Bio-energy Limited (Mauritius), V2 Holdings Limited (Mauritius), ZappAfrica Limited (Mauritius), Merryn Capital Limited (BVI), Integrated Pipeline Solutions (Pty) Ltd (SA) and Joint Aid Management International Limited (Mauritius).
Barry Stuhler (chairperson of the remuneration and social and ethics committees)	Platinum Mile Investments 110 Proprietary Limited.
Teddy Lo Seen Chong (director until 17 January 2019)	Non-executive director of Stonebridge Properties Limited.
Terry Warren (chairperson of the board until 17 January 2019)	None
Executive directors	
Stephen Delport	None
Justin Muller	Executive director of Grzybowska (Pty) Ltd and Lighthouse Netherlands B.V.
Kobus van Biljon	Executive director of Lighthouse One Limited, Lighthouse Investments Limited, Lighthouse One UK Limited, Lighthouse Netherlands B.V., Lighthouse Investments d.o.o., Greenbay Tivoli d.o.o., LocaViseu – Sociedade de Gestão de Imóveis, S.A., RPPSE Forum Coimbra – Sociedade Imobiliária, S.A. and RPPSE Forum Viseu – Sociedade Imobiliária, S.A.
Jan Wandrag	Executive director of Lighthouse One Limited, Lighthouse Investments Limited and Cajari Limited. Non-executive director of Heimdall Limited.

AUDIT
COMMITTEE'S REPORT

The audit committee is pleased to submit its report for the year ended 30 September 2019.

The primary role of the audit committee is to ensure the integrity of financial reporting and the audit process. In pursuing these objectives, the audit committee oversees relations with the external auditor. The committee also assists the board in discharging its duties relating to the safeguarding of assets, the operation of adequate systems and internal control processes, overseeing the preparation of accurate financial reports and statements in compliance with all applicable legal requirements and accounting standards, ensuring compliance with good governance practices and the nomination of the external auditor. The role of the audit committee has been codified in the audit committee charter, which has been approved by the board. This charter has been aligned with the recommendations of the Code and King IV. The board reviewed the charter during the 2019 financial year.

The audit committee presently comprises: Karen Bodenstein (chairperson), Barry Stuhler and Paul Edwards, all of whom are independent non-executive directors. The chief executive officer and chief financial officer attend meetings as invitees. The committee members have unlimited access to all information, documents and explanations required in the discharge of their duties, as does the external auditor.

The board, in consultation with the audit committee chairperson, makes appointments to the committee to fill vacancies.

The board has determined that the committee members have the skills and experience necessary to contribute meaningfully to the committee's deliberations. In addition, the chairperson has the requisite experience in accounting and financial management. The committee met four times during the financial period. The audit committee has satisfied itself that no breakdown in accounting controls, procedures and systems has occurred during the period under review.

In fulfilling its responsibility of monitoring the integrity of financial reports to shareholders, the audit committee has reviewed accounting principles, policies and practices adopted in the preparation of financial information and has examined documentation relating to the integrated report and interim financial report. The clarity of disclosures included in the financial statements was reviewed by the audit committee, as was the basis for significant estimates and judgements.

It is the function of the committee to review and make recommendations to the board regarding quarterly financial results and the integrated report prior to approval by the board.

The audit committee has complied with its legal, regulatory and other responsibilities.

Details on the composition of the committee and attendance at meetings are set out on page 38.

Execution of the functions of the audit committee

The audit committee has carried out its functions in terms of the audit committee charter as approved by the board and any other legal or regulatory responsibilities.

External auditor

The audit committee is satisfied that the external auditor is independent of the group. The audit committee considered information pertaining to the balance between fees received by the external auditor for audit and non-audit work for the group in 2019 and concluded that the nature and extent of non-audit fees do not present a threat to the external auditor's independence. There were no non-assurance fees incurred in 2019 or 2018. Furthermore, after obtaining confirmation and reviewing a report from the external auditor on all its relationships with the company that might reasonably have a bearing on the external auditor's independence and the audit engagement partner's objectivity, and the related safeguards and procedures, the audit committee has concluded that the external auditor's independence was not impaired.

The audit committee approved the external auditor's terms of engagement, scope of work and the annual fee and noted the applicable levels of materiality.

Based on written reports submitted, the audit committee reviewed, with the external auditor, the findings of its work and confirmed that all significant matters had been satisfactorily resolved. The audit committee is satisfied that the 2019 audit was completed without any restrictions on its scope.

The audit committee assessed the suitability of the audit firm and the designated individual partner for reappointment in the ensuing year.

Financial statements and accounting policies

The audit committee has reviewed principles, policies and practices adopted in the preparation of the financial statements for the 2019 financial year and, where necessary, has obtained appropriate explanations relating to such financial information included in the integrated report.

The audit committee is satisfied that they are adequate and appropriate and that the financial statements comply with International Financial Reporting Standards and the Companies Act.

AUDIT COMMITTEE REPORT continued

The audit committee has applied its mind to the preparation and presentation of the integrated report and acknowledges its responsibility to ensure the integrity of the integrated report. The audit committee recommended the integrated report to the board for approval.

Internal financial controls and the finance function

The audit committee has satisfied itself that appropriate financial reporting controls are in place and that no breakdown in accounting controls, procedures and systems has occurred during the year under review that could have a material impact on financial reporting.

The audit committee has considered and confirms that the chief financial officer, Kobus van Biljon, has the appropriate expertise and experience and that the finance function has adequate resources and expertise.

Karen Bodenstein
Chairperson of the audit committee

6 December 2019

INVESTMENT COMMITTEE'S REPORT

The investment committee is pleased to submit its report for the year ended 30 September 2019.

All acquisitions, disposals and capital expenditure are considered by the investment committee. The investment committee approves acquisitions, disposals and capital expenditure up to pre-set limits.

The investment committee consists of Paul Edwards (chairperson) and Barry Stuhler, who are independent non-executive directors, as well as Stephen Delport, who is an executive director. All members of this committee have extensive experience and technical expertise in the property industry.

The investment committee's responsibilities and duties are governed by a charter that was reviewed during the 2019 financial year.

No external advisors attended any of the investment committee meetings.

Details of the composition of the committee and attendance at meetings are set out on page 38.

Activities during the year

The committee met for the following purposes:

- To consider recommendations from management for acquisitions, capital expenditure and disposals;
- To authorise transactions that fall within its mandate;
- To make recommendations to the board regarding transactions that fall outside its approval mandate;
- To evaluate investment performance; and
- To periodically review and assess the performance of the committee and its members, including reviewing the compliance of the committee with its charter. In addition, the committee reviewed and reassessed the adequacy of its charter and recommended to the board any improvements they considered necessary or valuable.

The committee is satisfied that it has fulfilled its responsibilities.

Paul Edwards
Chairperson of the investment committee

6 December 2019

NOMINATION COMMITTEE'S REPORT

The nomination committee is pleased to submit its report for the year ended 30 September 2019.

The nomination committee is mandated by the board to identify suitable candidates to be appointed to the board, in order to fill vacancies, ensure that there is a succession plan in place for key management, assess the independence of non-executive directors and assess the composition of the board sub-committees. The nomination committee recommends individuals to the board for appointment.

The nomination committee comprises three independent non-executive directors, being Paul Edwards (chairperson), Karen Bodenstein and Barry Stuhler.

The nomination committee's responsibilities and duties are governed by a charter that was reviewed by the board during the 2019 financial year.

No external advisors attended any of the nomination committee meetings.

Details on the composition of the committee and attendance at meetings are set out on page 38.

Activities during the year

The committee met for the following purposes:

- Reviewing and making recommendations in relation to board composition, competencies and diversity to ensure vacancies are filled by suitable candidates;
- Periodically assessing the skill set required to competently discharge the board's duties, taking into account the group's strategic direction and assessing the current members' skills;
- Regularly reviewing and making recommendations to the board regarding its structure, size, effectiveness and composition (including the mix of skills, knowledge and experience);
- Developing strategies to address board diversity;
- Developing and reviewing board succession plans;
- Giving full consideration to the succession plans of the board (including the role of chairperson), with the aim of maintaining an ongoing appropriate mix of skills, experience, expertise and diversity;
- Identifying existing directors who are due for re-election by rotation at the annual general meeting; and
- Making the committee's charter publicly available and explaining its role and the authority delegated to it by the board.

The committee is satisfied that it has fulfilled its responsibilities.

Paul Edwards
Chairperson of the nomination committee

6 December 2019

REMUNERATION COMMITTEE'S REPORT

The remuneration committee is pleased to submit its report for the year ended 30 September 2019.

The remuneration committee is mandated by the board to authorise the remuneration and incentivisation of all employees, including executive directors.

In addition, the remuneration committee recommends directors' fees payable to non-executive directors and members of board sub-committees.

Further details are provided in the remuneration report which follows.

The remuneration committee comprises three independent non-executive directors, being Barry Stuhler (chairperson), Paul Edwards, and David Axten.

The remuneration committee's responsibilities and duties are governed by a charter that was reviewed by the board in the 2019 financial year.

No external advisors attended any of the remuneration committee meetings. No external advisors were employed to assist with the preparation of the remuneration policy.

Details on the composition of the committee and attendance at meetings are set out on page 38.

Activities during the year

The committee met for the following purposes:

- Overseeing the development and annual review of the remuneration policy and presenting it to the board for approval;
- Monitoring implementation and administration of the remuneration policy;
- Determining remuneration for executive directors in accordance with the remuneration policy;
- Ensuring that the group's remuneration policies are aligned with its strategy and create long-term value for the group over the long term; and
- Recommending the fees paid to non-executive directors and members of board sub-committees to be approved by the shareholders.

The committee is satisfied that it has fulfilled its responsibilities.

Barry Stuhler
Chairperson of the remuneration committee

6 December 2019

Remuneration report

Background statement

Lighthouse's remuneration committee oversees the development and annual review of the remuneration policy, which is ultimately approved by the board. In doing so, it ensures that the policy aligns the executive and management remuneration with the value delivered to the group's stakeholders and further recognises exceptional individual contributions. The committee has been mandated by the board to authorise the remuneration and incentivisation of all employees, including executive directors.

The group aims to retain its competitive advantage in the industry by attracting talented individuals and retaining experienced staff who demonstrate the behavioural traits which fit the group's entrepreneurial and dynamic culture.

The remuneration policy is based on the following guiding principles:

- Remuneration must support key business strategies;
- Remuneration must create a strong, performance-oriented environment that is consistent with the group's long-term objective of value creation for stakeholders;
- Remuneration must be structured to attract, motivate and retain talented employees;
- The remuneration policy should promote risk management and not encourage excessive risk-taking by key decision-makers;
- Remuneration should be structured in a manner that allows for the recognition and encouragement of exceptional performance, both at an individual and group level;
- The remuneration policy should be transparent and easy to understand; and
- Remuneration should be equitable, both from an internal perspective, taking into account employees, their roles and qualifications, and from an external perspective, ensuring that remuneration is in line with the market.

Remuneration policy

The remuneration policy is aligned with the strategic objective of the company, which is to create long-term, sustainable value for stakeholders. Remuneration is a combination of salary, short-term performance-based incentivisation and long-term incentivisation in order to attract and retain motivated, high-calibre executives and employees whose interests are aligned with the interests of stakeholders. The remuneration policy aims to balance organisational and individual performance with the appropriate balance of guaranteed and variable pay. The policy is applicable to the company's executive directors as well as all employees.

Lighthouse is committed to utilising a job evaluation system. The purpose of job evaluation is to determine the relative worth of one job against another. Each position in the organisation will be documented and evaluated in line with job evaluation principles. The job evaluation is communicated to the incumbent and is utilised in determining pay structures that are fair and objective. Job evaluation is also utilised in other human resource practices such as career planning and recruitment.

Executive and management remuneration principles

The group draws from a wide variety of sources in determining the remuneration of staff, including independent surveys (in each of the jurisdictions where different employees perform their functions), peer group comparisons, publicly available data and marketplace intelligence from local as well as international sources.

Remuneration packages are structured depending on the required skills and experience at each level, as well as the employee's level of influence on strategy and the complexity of each role.

Remuneration comprises both fixed and variable pay. Fixed pay comprises an annual salary. The group does not offer any medical aid or retirement benefits and these are for the account of the employee.

Variable pay comprises short-term performance incentives through cash bonuses and long-term incentives through the share incentive scheme. Short-term performance incentives are used to motivate and reward annual performance in line with the group's strategic goals. This remuneration is payable in cash and is based on the individual's performance which is, inter alia, linked to the group's performance.

Long-term incentives create value and align the interests of employees with shareholders. Details of the scheme, including individual limits and the regularity of issues, are discussed in the table on page 47.

The remuneration policy and remuneration implementation report will be tabled for a non-binding advisory vote at the annual general meeting. Should either or both of these resolutions be voted against by 25% or more of the voting rights exercised, the board of directors undertakes to engage with dissenting shareholders to ascertain the reasons therefor and address legitimate and reasonable objections and concerns.

The 2019 remuneration policy and the 2019 remuneration implementation report were voted in favour of by 95% of shareholders at the annual general meeting held on 31 January 2019 for the year ended 30 September 2018.

Planet Koper – Slovenia

REMUNERATION COMMITTEE'S REPORT continued

The methods for determining the various remuneration components are as follows:

Total guaranteed package ("TGP")	Executive directors	Fixed	Compensation, at market-related levels, for directors performing their specific roles	TGPs are benchmarked at the median of the peer group. The committee considers the following when reviewing TGPs: • Inflation over the period; • Market for the specific employee's skills; • Individual performance; and • Group performance, including growth in distributions per share. TGPs are reviewed annually in November and increases are effective on 1 January.
	Management	Fixed	Compensation, at market-related levels, for employees performing their specific roles	TGPs are benchmarked at the median of the peer group. The committee considers the following when reviewing TGPs: • Inflation over the period; • Market for the specific employee's skills; • Individual performance; • Changes in responsibilities; and • Gains in experience. TGPs are reviewed annually in November and increases are effective on 1 January.
Short-term incentive plan ("STIP")	Executive directors and management	Variable	Achievement of short-term organisational goals	The committee awards cash and/or share bonuses to management based on key performance indicators including, but not limited to: • Financial performance, such as growth in distributions or net asset value; • Operational performance, such as limiting vacancies or maintaining low tenant arrears; • Debt risk management, such as hedging a minimum level of interest rate exposure; and • Other quantitative and qualitative factors determined by the board.

Long-term incentive plan ("LTIP")

Alignment of long-term organisational goals and pursuing sustainable long-term total stakeholder returns.

<table>
<tr><td>Executive directors and management</td><td colspan="2">Variable</td></tr>
<tr><td>Salient features</td><td colspan="2">Based on predetermined criteria, employees may be awarded shares.
Employees take full market risk on the shares from date of issue. This aligns the interests of employees and stakeholders more closely.
Backdating of share-based incentives is not permitted.
Long-term share incentive scheme allocations are made once per annum outside closed periods.</td></tr>
<tr><td>Factors used in determination of quantum</td><td colspan="2">Relative performance and compound annual growth in distributions ("CAGR") over a benchmark.</td></tr>
<tr><td rowspan="2">Relative performance</td><td>Peer group</td><td>Comparable European property companies</td></tr>
<tr><td>Peer group calculation</td><td>50% of annual package if total shareholder return ("TSR") is in the first quartile and 25% of annual package if TSR is in the second quartile relative to the peer group</td></tr>
<tr><td rowspan="4">Growth in distributions</td><td>Benchmark</td><td>Inflation plus 3%</td></tr>
<tr><td>Inflation</td><td>Three-year CAGR in inflation</td></tr>
<tr><td>Distributions</td><td>Three-year CAGR in distributions</td></tr>
<tr><td>Performance calculation</td><td>20% of annual package for every 1% distribution outperformance over the benchmark</td></tr>
<tr><td>Maximum LTIP entitlement</td><td colspan="2">300% of annual package</td></tr>
<tr><td rowspan="2">Participant options</td><td>Option 1</td><td>Receive entitlement in shares</td></tr>
<tr><td>Option 2</td><td>Gear-up the entitlement up to a maximum of four times the entitlement</td></tr>
<tr><td colspan="3">OPTION 1</td></tr>
<tr><td>Discount</td><td colspan="2">Up to 5%</td></tr>
<tr><td>Vesting period</td><td colspan="2">Over five years</td></tr>
<tr><td>Market risk</td><td colspan="2">100% assumed by the participant</td></tr>
<tr><td colspan="3">OPTION 2</td></tr>
<tr><td>Discount</td><td colspan="2">Up to 5%</td></tr>
<tr><td>Vesting period</td><td colspan="2">Over five years</td></tr>
<tr><td>Market risk</td><td colspan="2">100% assumed by the participant</td></tr>
<tr><td>Subsidy in the event of an interest shortfall</td><td colspan="2">None</td></tr>
<tr><td>Loan repayment</td><td colspan="2">Earlier of seven years or termination of employment</td></tr>
<tr><td>Interest rate</td><td colspan="2">Weighted-average cost of funding for the group</td></tr>
<tr><td>Maximum loan to a participant in total</td><td colspan="2">20 times annual remuneration</td></tr>
</table>

Lighthouse endeavours to maintain transparent and constructive dialogue with its shareholders and their representative bodies. Lighthouse engaged with its major shareholders during the drafting of the remuneration policy and will continue to do so in the future, should any material changes be considered.

REMUNERATION COMMITTEE'S REPORT continued

Service contracts

All employees and/or consultants, including executive directors, are required to sign service contracts with the group. These contracts set out the working hours, remuneration, leave entitlement, notice and probation periods and other relevant information. There is no restraint of trade clause in any of the service contracts. Executive directors do not receive directors' or sub-committee fees.

Pay date

Remuneration is paid on the 25th day of each month and if this day falls on a weekend, remuneration is paid on the Friday preceding the 25th.

Tax allowances

Management and employees can request assistance in structuring their remuneration packages.

Implementation report

Executive directors' remuneration

	Salary 2019 EUR	Bonus 2019 EUR	Share incentive 2019 EUR	Salary 2018 EUR	Bonus 2018 EUR	Share incentive 2018 EUR
GROUP						
Executive director						
Stephen Delport	**244 446**	**20 100**	**–**	203 281	–	299 230
Justin Muller*	**75 721**	**15 104**	**–**	–	–	–
Kobus van Biljon	**168 836**	**14 176**	**–**	163 750	–	31 918
Jan Wandrag	**116 988**	**10 029**	**–**	104 608	–	20 198
	605 791	**59 409**	**–**	471 639		351 346
COMPANY						
Executive director						
Stephen Delport	**244 446**	**20 100**	**–**	203 281	–	299 230
Justin Muller*	**–**	**–**	**–**	–	–	–
Kobus van Biljon	**–**	**–**	**–**	–	–	–
Jan Wandrag	**116 988**	**10 029**	**–**	104 608	–	20 198
	361 434	**30 129**	**–**	307 889	–	319 428

* *Justin Muller was appointed to the board on 13 May 2019. His remuneration was included from the date of his appointment to the board.*

The bonuses reflected in the table above relate to the performances during the 2019 financial year, were provided for in the 2019 financial year and were paid in the 2020 financial year. Amounts related to the share incentive plan reflect expenses incurred during the period.

Executive directors' results in terms of key performance indicators ("KPI") for the 2019 financial year are set out in the table below:

			Stephen Delport		Justin Muller		Kobus van Biljon		Jan Wandrag	
	Target %	Result %	Weight %	Achieved %	Weight %	Achieved %	Weight %	Achieved %	Weight %	Achieved %
Financial performance			**62,5**	**60,06**	**61,5**	**59,06**	**68,5**	**65,79**	**62,5**	**60,0**
Target distributable earnings per share (Range) (EUR cents per share)*	2,50 – 3,50	3,31	45,0	94,6	45,0	94,6	50,0	94,6	45,0	94,6
Ensuring that at least 80% of the group's direct property exposure to interest rate movement is hedged	80,0	Achieved	5,0	100,0	5,0	100,0	5,0	100,0	5,0	100,0
Ensuring an average interest rate hedge term > four years.	4 years	5,6	5,0	100,0	5,0	100,0	5,0	100,0	5,0	100,0
Ensuring non-EUR denominated distributable income receivable ≥80% hedged	80,0	100,0	2,5	100,0	2,5	100,0	2,5	100,0	2,5	100,0
Gearing ratio ≤45%	≤45	31,0	5,0	100,0	4,0	100,0	6,0	100,0	5,0	100,0
Operational performance			**32,5**	**32,5**	**36,0**	**36,0**	**24,0**	**24,0**	**32,5**	**32,5**
Limiting vacancies to <2,5% of total GLA*	<2,5	0,84	10,0	100,0	15,0	100,0	8,0	100,0	10,0	100,0
Direct property as % of investment portfolio >75%	>75,0	80,6	10,0	100,0	10,0	100,0	6,0	100,0	10,0	100,0
Gross property expenses to revenue ratio <35%	<35,0	29,3	12,5	100,0	11,0	100,0	10,0	100,0	12,5	100,0
Qualitative factors			**5,0**	**5,0**	**2,5**	**2,5**	**7,5**	**7,5**	**5,0**	**5,0**
Publication of financial results within seven weeks of the end of financial periods										
– Interim	6 weeks	Achieved	5,0	100,0	2,5	100,0	7,5	100,0	5,0	100,0
– Final	7 weeks	Achieved								–
Total KPI				**97,6**		**97,6**		**97,3**		**97,6**

* *Weighted achievement 94,6%*

REMUNERATION COMMITTEE'S REPORT continued

Non-executive directors' remuneration

Non-executive directors' remuneration consists of an annual fee. The remuneration committee recommends non-executive directors' fees to the board, which in turn proposes the fees for shareholder approval at the annual general meeting. Attendance of directors at the various board and sub-committee meetings is disclosed on page 38.

Non-executive directors do not participate in the STIP or the LTIP nor is there any other remuneration paid to non-executive directors, including remuneration linked to the performance of the group.

		For services as a director (paid by the company) 2019 EUR	For services as a director (paid by the company) 2018 EUR
Mark Olivier[1]	Chairperson	**25 297**	25 000
	Nomination committee member	**–**	–
David Axten[2]	Remuneration committee member	**11 994**	–
	Risk committee member	**–**	–
	Social and ethics committee member	**–**	–
Karen Bodenstein[3]	Audit committee chairperson	**22 000**	22 000
	Risk committee chairperson	**–**	–
	Nomination committee member	**–**	–
Paul Edwards[4]	Investment committee chairperson	**17 639**	–
	Nomination committee chairperson	**–**	–
	Audit committee member	**–**	–
	Remuneration committee member	**–**	–
Barry Stuhler[5]	Remuneration committee chairperson	**25 000**	25 000
	Social and ethics committee chairperson	**–**	–
	Audit committee member	**–**	–
	Investment committee member	**–**	–
	Nomination committee member	**–**	–
Teddy Lo Seen Chong[6]	Remuneration committee member	**–**	–
	Risk committee member	**–**	–
	Social and ethics committee member	**–**	–
Terry Warren[7]	Chairperson	**7 067**	24 000
		108 997	96 000

1 *Mark Olivier was appointed as chairperson of the board on 17 January 2019. Mark resigned as chairperson of the investment committee and as a member of the audit committee.*

2 *David Axten was appointed to the board on 17 January 2019 and as a member of the risk, remuneration and social and ethics committees on the same date.*

3 *Karen Bodenstein was appointed to the board, as chairperson of the audit and risk committees and as a member of the nomination committee on 27 September 2016.*

4 *Paul Edwards was appointed to the board as chairperson of the investment and nomination committees and as a member of the remuneration and audit committees on 17 January 2019.*

5 *Barry Stuhler was appointed to the board on 16 August 2017. He was appointed as chairperson of the remuneration and social and ethics committees and as a member of the audit, nomination and investment committees.*

6 *Teddy Lo Seen Chong resigned from the board on 17 January 2019 due to other commitments. He resigned as a member of the risk, remuneration and social and ethics committees on the same date. Teddy's remuneration was incorporated into the fees paid by the company to Intercontinental Trust Ltd, the company's company secretary.*

7 *Terry Warren resigned from the board and as chairperson on 17 January 2019, and is retired.*

Non-executive directors' fees are as follows:

Participation	Member/ chairperson	Annual remune-ration EUR	Mark Olivier EUR	David Axten EUR	Karen Boden-stein EUR	Paul Edwards EUR	Barry Stuhler EUR	Teddy Lo Seen Chong EUR	Terry Warren EUR	Total EUR
Board of directors	Member	12 000	3 567	8 466	12 000	8 466	12 000	–*		44 499
Board of directors	Chairperson	24 000	16 866						7 067	23 933
Audit committee	Member	3 000	892			2 117	3 000			6 009
Audit committee	Chairperson	5 000			5 000					5 000
Risk committee	Member	2 000		1 411				–*		1 411
Risk committee	Chairperson	3 000			3 000					3 000
Investment committee	Member	3 000					3 000			3 000
Investment committee	Chairperson	5 000	1 486			3 528				5 014
Remuneration committee	Member	2 000	594	1 411		1 411		–*		3 416
Remuneration committee	Chairperson	3 000					3 000			3 000
Nomination committee	Member	2 000	1 000		2 000		2 000			5 000
Nomination committee	Chairperson	3 000	892			2 117				3 009
Social and ethics committee	Member	1 000		706				–*		706
Social and ethics committee	Chairperson	2 000					2 000			2 000
			25 297		22 000	17 639	25 000	–*	7 067	108 997

* *The all-inclusive fee, which is payable to Intercontinental Trust Ltd for their services in Mauritius, includes this fee.*

Payments to past directors

There were no payments to past directors in 2019.

Payments for loss of office

There were no payments for loss of office to any employees or past directors in 2019.

RISK COMMITTEE'S REPORT

The risk committee is pleased to submit its report for the year ended 30 September 2019.

The risk committee is mandated by the board to ensure that a sound risk management system is maintained to assist the board in discharging its duties relating to the safeguarding of assets and to ensure that the company has implemented an effective plan for risk management that will enhance the company's ability to achieve its strategic objectives.

The risk management plan is in line with industry practice, reviewed annually and the risk matrix is presented and discussed at each meeting. The risk committee is satisfied that the company has complied, in all material respects, with its risk management policy.

The risk committee consists of Karen Bodenstein (chairperson and independent non-executive director), David Axten, a non-independent non-executive director and an executive director, Stephen Delport. The board has determined that the committee members have the necessary skills and experience to contribute to the effective implementation of the risk committee charter.

The risk committee's responsibilities and duties are governed by a charter that was reviewed by the board during the 2019 financial year.

No external advisors attended any of the risk committee meetings.

Details on the composition of the committee and attendance at meetings are set out on page 38.

Internal controls

Within the sphere of risk management, special attention is paid to the company's internal controls by the board. In discharging its responsibility for the effectiveness of internal controls during the year, the board's approach was based on the internal control framework summarised below:

- Clear statements of the powers and responsibility of the board;
- The establishment of scrutinising sub-committees, reporting to the board, covering key risk and operational exposures;
- Prescribed investment mandate limits;
- Ability of independent directors to provide support to executive directors;
- Effective systems for authorising investment and other capital expenditure;
- Regular review meetings with management, managing agents and other advisors, including adequacy of reporting arrangements;
- Regular reporting to the board of operational forecasts and results with explanations of variances; and
- Regular review of the company's capital funding requirements and debt/interest exposure.

All significant areas were covered by the internal controls.

The board does not believe that there are any risks or deficiencies in the company's system of internal controls.

Activities during the year

The committee met to:

- Oversee the development and annual review of a policy and plan for risk management to recommend for approval to the board;
- Monitor implementation of the policy and plan for risk management implemented via risk management systems and processes;
- Make recommendations to the board concerning the levels of tolerance and appetite;
- Monitor that risks were managed within the levels of tolerance and appetite as approved by the board;
- Oversee that the risk management plan was widely disseminated throughout the company and integrated in the day-to-day activities of the company;
- Ensure that risk management assessment and risk monitoring are performed on a continuous basis;
- Acknowledge the mitigating action plans committed by the business functions and review implementation status for major company risk mitigation;
- Ensure that frameworks and methodologies are implemented to anticipate unpredictable risks;
- Ensure that management considers and implements appropriate risk responses;
- Liaise closely with the audit committee to exchange information relevant to risk;
- Express the committee's formal opinion to the board on the effectiveness of the system and process of risk management; and
- Review reporting concerning risk management that is to be included in the integrated report to ensure that it is timely, relevant and comprehensive.

The committee is satisfied that it has fulfilled its responsibilities.

Karen Bodenstein
Chairperson of the risk committee

6 December 2019

SOCIAL AND ETHICS COMMITTEE'S REPORT

The social and ethics committee is pleased to submit its report for the year ended 30 September 2019.

The social and ethics committee's focus is to monitor compliance with labour legislation as well as corporate social responsibilities and corporate citizenship. The social and ethics committee also serves to ensure that the reporting requirements on corporate governance are in accordance with the principles of the Code.

The social and ethics committee comprises Barry Stuhler (chairperson and independent non-executive director), David Axten, an independent non-executive director, and Jan Wandrag, an executive director.

The social and ethics committee's responsibilities and duties are governed by a charter that was reviewed by the board during the 2019 financial year.

No external advisors attended any of the social and ethics committee meetings.

Details on the composition of the committee and attendance at meetings are set out on page 38.

Sustainability reporting

At Lighthouse, our approach to the concept of sustainability relates to the maintenance and enhancement of environmental, social and economic resources in order to meet the needs of current and future generations. This is founded on a commitment to being a good corporate citizen and operating in a commercially sensible and socially responsible manner. The committee will continuously review the need to implement processes to ensure ethical behaviour remains part of the long-term sustainability of the company in the future.

Environmental

Lighthouse has adopted an environmental policy which sets out its intentions and commitment to sustainability through, inter alia, the reduction of electricity consumption and water usage. This policy is monitored by executive management. Energy efficiency is foremost in our sustainability endeavours.

Lighthouse undertakes construction both in the form of new developments and redevelopments of existing properties. Our aim is to minimise the impact on the environment.

Social

Our employees are as intrinsic to our business as our assets. We strive to create a productive working environment. We aim to attract and retain high-calibre, motivated employees. The remuneration of our employees is elaborated on in the remuneration report on pages 44 to 51.

As discussed in note 8 to the financial statements, Lighthouse had incentive loans which were granted to employees to enable them to purchase shares in Lighthouse. We believe that empowering our employees in this way aligns their interests even more closely to those of shareholders.

The impact of developments on surrounding communities is carefully considered and we engage directly with these communities where possible.

Activities during the year

The committee met to monitor the company's activities with regard to any relevant legislation, other legal requirements or prevailing codes of best practice.

The committee met to draw certain matters to the attention of the board. These matters include:

- Oversight of the compliance function;
- Social and economic development;
- Good corporate citizenship;
- The environment, health and public safety;
- Consumer relationships;
- Labour and employment; and
- Comprehensive, timely and relevant sustainability reporting.

The committee is satisfied that it has fulfilled its responsibilities.

Barry Stuhler
Chairperson of the social and ethics committee

6 December 2019

Planet Koper – Slovenia

FINANCIAL STATEMENTS

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DIRECTORS' RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

for the year ended 30 September 2019

The directors acknowledge their responsibilities for:

- Adequate accounting records and maintenance of effective internal control systems;
- The preparation of financial statements which fairly present the state of affairs of the company as at the end of the financial year and the results of its operations and cash flows for that year and which comply with International Financial Reporting Standards ("IFRS"); and
- The selection of appropriate accounting policies supported by reasonable and prudent judgements. The external auditor is responsible for reporting on whether the financial statements are fairly presented.

The directors report that:

- Adequate accounting records and an effective system of internal controls and risk management have been maintained;
- Appropriate accounting policies supported by reasonable and prudent judgements and estimates have been used consistently; and
- IFRS has been adhered to. Any departure in the interest of fair presentation has been disclosed, explained and quantified.

Going concern

In addition, the directors have made an assessment of the group's and company's ability to continue as a going concern and there is no reason to believe that the business will not be a going concern in the year ahead.

Statement of compliance

We, the directors of Lighthouse, confirm to the best of our knowledge that the company has complied with all of its obligations and requirements under the Code of Corporate Governance, except for the following matter:

- Job descriptions of key senior governance positions have not been disclosed, as the directors deemed the job descriptions to be self-explanatory as per the job titles of the relevant positions concerned.

Approval of the financial statements of the company

The financial statements of the group and company were approved for issue by the board of directors on 12 November 2019 and signed on its behalf by:

Stephen Delport
Chief executive officer

Kobus van Biljon
Chief financial officer

COMPANY SECRETARY'S CERTIFICATE

for the year ended 30 September 2019

We certify that, to the best of our knowledge and belief, the company has filed with the Registrar of Companies all such returns as are required of the company under the Mauritian Companies Act 2001.

Intercontinental Trust Ltd
Company secretary

12 November 2019

INDEPENDENT AUDITOR'S REPORT

to the Shareholders of Lighthouse Capital Limited

Opinion

We have audited the consolidated financial statements of Lighthouse Capital Limited (the "group"), and the company's separate financial statements on pages 62 to 143 which comprise the statements of financial position as at 30 September 2019, and the statements of comprehensive income, changes in equity and cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the financial statements on pages 62 to 143 give a true and fair view of the financial position of the group and of the company as at 30 September 2019 and of their financial performance and their cash flows for the year then ended in accordance with International Financial Reporting Standards and comply with the Companies Act 2001.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing ("ISAs"). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report.

We are independent of the group and of the company in accordance with the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants ("IESBA Code")* together with the ethical requirements that are relevant to our audit of the financial statements in Mauritius, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We provide below a description of how our audit addressed each key audit matter identified.

The group

KEY AUDIT MATTER	AUDIT RESPONSE
1. Valuation of investment properties	
Investment property held by the group, carried at fair value, amounted to EUR 301,2 million at 30 September 2019. The valuation exercise involves significant accounting estimate and a range of judgemental assumptions and has thus been considered as a key audit matter. *Refer to note 3 of the accompanying financial statements.*	The key inputs to the valuation of the group's investment properties have been tested through the following: • Assessed the independence, reputation and credentials of the valuation experts and that the valuation experts applied the appropriate valuation methodology. • Compared the forecast cash flows for the first year of the appraisal to 2019 actual figures to assess the reasonableness of the estimated cash flows of the first year. • Determined the accuracy of data provided to the valuers. • Tested the reasonability of the valuation model used and tested whether cash flows and yields are in line with expectations. Verified the correct accounting for the fair value gain/loss that arose during the financial period. • For the property in Slovenia, an independent auditor's expert (a certified property appraiser, MRICS) has been engaged who assisted us in reviewing the valuation reports prepared by management and management's experts.
2. Assessment for impairment of goodwill	
Goodwill arising on acquisition of subsidiaries amounted to EUR 24,3 million at 30 September 2019. Goodwill is tested annually for impairment. These calculations require the use of estimates and assessment for impairment of goodwill is thus considered as a key audit matter. *Refer to note 18.3 of the accompanying financial statements.*	We verified the reasonableness of assumptions used by management in the assessment of goodwill, which was based on the adjusted fair value of the related investment determined at 30 September 2019.

INDEPENDENT AUDITOR'S REPORT continued

The group and the company

KEY AUDIT MATTER	AUDIT RESPONSE
3. Investments	
At 30 September 2019, the group and the company had investments amounting to EUR 46,1 million and EUR 25,4 million respectively. The significance of investments on the statement of financial position resulted in them being identified as a key audit matter. Investments are measured initially at cost. Subsequent to initial recognition, investments are carried at fair value based on market value at closing date. *Refer to note 4 of the accompanying financial statements.*	Our audit procedure consisted of testing, on a sample basis, additions and disposals during the year. We have agreed all investment balances to confirmation from brokers. We also verified, on a sample basis, the share price used in the valuation of investments at 30 September 2019.

The company

KEY AUDIT MATTER	AUDIT RESPONSE
4. Investments in and loans receivable from subsidiaries	
At 30 September 2019, investments in and loans to subsidiaries amounted to EUR 210 million. Investments in subsidiaries are carried at cost, less impairment. Loans receivable from related parties are carried at amortised cost/ fair value. The amounts are significant to the company's financial statements and thus considered as a key audit matter. *Refer to note 5 of the accompanying financial statements.*	◗ Ensured that the current impairment methodology for the company is consistent with the requirements of IFRS 9. ◗ Assessed the impairment of the investments with regards to underlying valued assets of the subsidiaries. ◗ Checked appropriateness of the company's determination of significant increase in credit risk and the resultant basis for classification of the loans receivable, which are non-interest-bearing and have no fixed terms of repayment, under stage 1 of the ECL model and the use of the 12-month expected credit loss ("ECL") approach. ◗ Verified the reasonableness of the assessment of the 12-month ECL for loans which are interest-bearing and are not repayable on demand, which is based on the adjusted net asset value of the subsidiary companies. ◗ Tested the mathematical integrity of the impairment model. ◗ Assessed and discussed with management on the recoverability of the balances based on availability of liquid assets and management's knowledge of future conditions that may impact expected receipts.

Other information

The directors are responsible for the other information. The other information comprises the information included in the integrated report (but does not include the corporate governance report, the financial statements and our auditor's report thereon).

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the other statements, which will be made available to us after the date of our report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Corporate governance report

Our responsibility under the Financial Reporting Act is to report on the compliance with the code of corporate governance disclosed in the integrated report and assess the explanations given for non-compliance with any requirement of the Code. From our assessment of the disclosures made on corporate governance in the integrated report, the public interest entity has, pursuant to section 75 of the Financial Reporting Act, complied with the requirements of the Code.

Responsibilities of directors and those charged with governance for the financial statements

The directors are responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards and in compliance with the requirements of the Companies Act 2001, and for such internal control as the directors determine is necessary to enable the preparation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the group and the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group and the company or to cease operations, or have no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the group and the company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group and the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by directors.
- Conclude on the appropriateness of directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the group and the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the group and the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a

INDEPENDENT AUDITOR'S REPORT continued

matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

Companies Act 2001

We have no relationship with, or interests in, the company or any of its subsidiaries, other than in our capacity as auditor and dealings in the ordinary course of business.

We have obtained all information and explanations we have required.

In our opinion, proper accounting records have been kept by the company as far as it appears from our examination of those records.

Other matter

This report is made solely to the members of Lighthouse Capital Limited (the "company"), as a body, in accordance with Section 205 of the Companies Act 2001. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

BDO & CO
Chartered Accountants

Rookaya Ghanty, FCCA
Licensed by FRC

12 November 2019

Port Louis, Mauritius

Forum Coimbra – Portugal

STATEMENTS OF FINANCIAL POSITION

as at 30 September 2019

	Notes	GROUP 2019 EUR	2018 EUR	Restated* 2017 EUR
Assets				
Non-current assets		**388 679 262**	689 218 977	383 441 705
Investment property	3	**301 201 607**	292 693 712	71 442 548
Investments	4	**43 741 545**	312 464 289	159 448 464
Investment in and loans to joint venture		**–**	–	59 361 010
Financial and other assets	7	**19 455 978**	59 840 844	93 189 683
Goodwill	18.3	**24 280 132**	24 220 132	–
Current assets		**25 946 184**	379 671 672	552 187 129
Investments	4	**2 407 500**	10 299 132	–
Financial and other assets	7	**–**	732 786	390 468
Trade and other receivables	9	**6 555 186**	13 029 436	3 517 076
Cash and cash equivalents		**16 983 498**	355 610 318	548 279 585
Total assets		**414 625 446**	1 068 890 649	935 628 834
Equity and liabilities				
Total equity attributable to equity holders		**247 276 091**	592 449 886	893 778 890
Stated capital	10	**145 801 666**	600 703 936	975 367 686
Treasury shares	10	**–**	(17 378 683)	–
Non-distributable reserve		**32 211 782**	(44 817 643)	(130 177 845)
Foreign currency translation reserve		**(1 393 006)**	(1 393 006)	242 185
Retained earnings		**70 655 649**	55 335 282	48 346 864
Total liabilities		**167 349 355**	476 440 763	41 849 944
Non-current liabilities		**156 910 980**	157 043 253	25 144 714
Interest-bearing borrowings	11	**124 226 466**	124 878 211	24 714 857
Deferred tax	12	**32 037 986**	31 630 017	429 857
Financial liabilities	13	**646 528**	535 025	–
Current liabilities		**10 438 375**	319 397 510	16 705 230
Interest-bearing borrowings	11	**1 052 685**	1 443 902	1 374 996
Financial liabilities	13	**1 307 436**	591 000	–
Trade and other payables	14	**7 911 804**	316 389 373	14 670 411
Income tax payable		**166 450**	973 235	659 823
Total equity and liabilities		**414 625 446**	1 068 890 649	935 628 834

* *Refer to note 28 to the financial statements for details of the restatement.*

	Notes	COMPANY 2019 EUR	2018 EUR	Restated* 2017 EUR
Assets				
Non-current assets		**241 609 757**	763 405 024	627 932 932
Investments	4	**25 435 552**	115 466 120	74 530 500
Investment in and loans to subsidiaries	5	**209 775 179**	596 686 706	477 319 165
Financial and other assets	7	**6 399 026**	51 252 198	76 083 267
Current assets		**4 431 719**	149 041 872	282 620 372
Loans to subsidiaries	5	**269 273**	16 035 037	–
Financial and other assets	7	**–**	129 450	144 304
Trade and other receivables	9	**1 744 532**	1 908 123	6 696 928
Cash and cash equivalents		**2 417 914**	130 969 262	275 779 140
Total assets		**246 041 476**	912 446 896	910 553 304
Equity and liabilities				
Total equity attributable to equity holders		**245 667 675**	605 831 495	903 500 964
Stated capital	10	**145 801 666**	600 703 936	975 367 686
Non-distributable reserve		**48 557 555**	(31 787 803)	(122 316 449)
Retained earnings		**51 308 454**	36 915 362	50 449 727
Total liabilities		**373 801**	306 615 401	7 052 340
Current liabilities		**373 801**	306 615 401	7 052 340
Trade and other payables	14	**373 801**	306 262 307	6 392 517
Income tax payable		**–**	353 094	659 823
Total equity and liabilities		**246 041 476**	912 446 896	910 553 304

* *Refer to note 28 to the financial statements for details of the restatement.*

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

for the year ended 30 September 2019

	Notes	GROUP 2019 EUR	GROUP 2018 EUR	COMPANY 2019 EUR	COMPANY 2018 EUR
Property rental and related revenue	15.1	**25 252 231**	8 819 126	**–**	–
Investment revenue	15.2	**3 468 944**	21 321 102	**1 615 310**	6 503 300
Finance income		**997 927**	549 841	**686 177**	570 287
Dividends and interest income from group companies		**–**	–	**11 889 712**	15 426 334
Total revenue		**29 719 102**	30 690 069	**14 191 199**	22 499 921
Fair value (loss)/gain on investment property, investments and derivatives		**(25 711 629)**	2 146 788	**(29 688 043)**	(1 848 000)
Fair value (loss)/gain on investment property		**(3 204 334)**	1 354 008	**–**	–
Fair value (loss)/gain on investments		**(18 280 315)**	4 181 432	**(7 881 990)**	511 427
Fair value loss on currency, interest rate and other derivatives		**(4 263 330)**	(1 139 070)	**(482 047)**	(109 845)
Impairment reversal/(loss)	6	**36 350**	(2 249 582)	**(21 324 006)**	(2 249 582)
Property operating expenses	15.1	**(7 389 699)**	(3 630 837)	**–**	–
Administrative and other expenses		**(3 033 210)**	(6 024 800)	**(871 051)**	(3 027 153)
Foreign exchange (loss)/gain		**(13 877 205)**	14 898 645	**(7 105 494)**	10 055 347
Share of profit from joint venture		**–**	7 028 539	**–**	–
Operating (loss)/profit		**(20 292 641)**	45 108 404	**(23 473 389)**	27 680 115
Finance costs		**(4 015 460)**	(2 539 525)	**(74 321)**	(441 141)
Other income		**136 040**	167 301	**–**	–
(Loss)/profit before tax	16	**(24 172 061)**	42 736 180	**(23 547 710)**	27 238 974
Income tax expense	17	**(1 965 249)**	(1 119 092)	**(216 467)**	(871 169)
(Loss)/profit for the year attributable to equity holders of the company		**(26 137 310)**	41 617 088	**(23 764 177)**	26 367 805
Other comprehensive income net of tax:					
Items that may subsequently be reclassified to profit or loss:					
Exchange differences on translation of foreign operations		**–**	(1 635 191)	**–**	–
		–	(1 635 191)	**–**	–
Total comprehensive (loss)/income for the year attributable to equity holders of the company		**(26 137 310)**	39 981 897	**(23 764 177)**	26 367 805
Basic and diluted (loss)/earnings per share (EUR cents)	20	**(5,72)**	8,84	**(5,13)**	5,58

STATEMENTS OF CASH FLOWS

for the year ended 30 September 2019

	Notes	GROUP 2019 EUR	GROUP 2018 EUR	COMPANY 2019 EUR	COMPANY 2018 EUR
Operating activities					
Cash (utilised in)/generated from operations	18.1	**(3 675 241)**	30 176 660	**(13 217 148)**	29 923 141
Finance income received		**997 927**	549 840	**7 673 619**	1 996 621
Finance costs paid		**(3 623 917)**	(2 539 525)	**(74 321)**	(441 141)
Income tax paid	18.2	**(2 403 701)**	(1 414 710)	**(609 197)**	(1 177 898)
Distributions paid		**(30 677 213)**	(29 607 544)	**(31 497 981)**	(29 712 600)
Cash (outflow)/inflow from operating activities		**(39 382 145)**	(2 835 279)	**(37 725 028)**	588 123
Investing activities					
Additions to investment property		**(11 364 738)**	(1 135 768)	**–**	–
Proceeds on disposal of investment property		**–**	16 200 000	**–**	–
Acquisition of listed security investments		**(33 674 062)**	(205 044 997)	**(14 320 352)**	(60 191 635)
Proceeds from disposal of listed security investments		**301 499 783**	36 904 885	**100 400 827**	10 854 229
Payments on interest rate derivatives		**–**	(4 045 000)	**–**	–
Acquisition of LocaViseu, net of cash acquired	18.3	**–**	(53 717 986)	**–**	–
Decrease in investment in and loans to subsidiaries		**–**	–	**408 360 527**	366 401 622
Increase in investment in and loans to subsidiaries		**–**	–	**(27 043 593)**	(501 804 200)
Proceeds from equity derivative cash margin		**37 077 592**	36 304 612	**42 040 539**	26 603 635
Share Incentive loans repaid/(advanced)		**280 078**	(1 987 631)	**2 496 387**	(4 203 939)
Cash inflow/(outflow) from investing activities		**293 818 653**	(176 521 885)	**511 934 335**	(162 340 288)
Financing activities					
Return of capital		**(588 340 483)**	–	**(599 998 784)**	–
Proceeds from issue of shares		**–**	5 675 326	**–**	5 675 326
Repayment of interest-bearing borrowings		**(1 434 505)**	(1 438 265)	**–**	–
Repurchase of shares		**–**	(29 036 984)	**–**	–
Cash (outflow)/inflow from financing activities		**(589 774 988)**	(24 799 923)	**(599 998 784)**	5 675 326
Decrease in cash and cash equivalents		**(335 338 480)**	(204 157 087)	**(125 789 477)**	(156 076 839)
Effect of exchange rate changes on cash held		**(3 288 340)**	11 487 820	**(2 761 871)**	11 266 961
Cash and cash equivalents at the beginning of the year		**355 610 318**	548 279 585	**130 969 262**	275 779 140
Cash and cash equivalents at the end of the year		**16 983 498**	355 610 318	**2 417 914**	130 969 262

STATEMENTS OF CHANGES IN EQUITY

for the year ended 30 September 2019

	Notes
Previously reported balance at 30 September 2017	28
Financial liability derivatives from bookbuilds	28.3
Foreign currency translation reserve adjustment on change in functional currency	28.4
Change in functional currency	28.4
Restated balance at 30 September 2017	
Issue of shares – 1 820 726 shares on 14 December 2017[4]	
Share repurchase – 16 615 159 shares[4]	
Total comprehensive income:	
Profit for the year	
Exchange differences on translation of foreign operations	
Distribution paid – final 2017	
– scrip issue – 6 475 772 shares[4]	
– cash	
Distribution paid – interim 2018: cash	
Transfer to non-distributable reserve	
Consolidation of The Greenbay Share Trust	8
Transfer of stated capital to non-distributable reserve	10.1
Distribution – return of capital	10.1
Previously reported balance at 30 September 2018	
IFRS 16 – implementation adjustment	1.1
IFRS 9 – implementation adjustment	1.1
Restated balance at 30 September 2018	
Total comprehensive income:	
Loss for the year	
Distribution paid – final 2018: cash (paid January 2019)	
Distribution paid – interim 2019: cash (paid June 2019)	
Transfer to non-distributable reserve	8
Consolidation of The Greenbay Share Trust	
Transfer of stated capital to non-distributable reserve	10.1
Distribution – return of capital	10.1
Cancellation of treasury shares	
Closing balance at 30 September 2019	

1 *Refer to notes 1.5 and 10.*

2 *Refer to note 1.16.*

3 *Refer to note 1.10.*

4 *The number of shares has been restated for the impact of the company's 1 for 20 share consolidation effective from 18 December 2018. Refer to note 10 for additional details.*

GROUP					
Stated capital[1] EUR	Treasury shares[1] EUR	Non-distributable reserve[2] EUR	Foreign currency translation reserve[3] EUR	Retained earnings	Total equity
892 382 767	–	(36 075 289)	(11 028 779)	48 500 191	893 778 890
94 013 684		(94 013 684)			–
(11 028 765)			11 028 765		–
		(88 872)	242 199	(153 327)	–
975 367 686	–	(130 177 845)	242 185	48 346 864	893 778 890
5 675 326					5 675 326
	(26 778 785)				(26 778 785)
				41 617 088	41 617 088
			(1 635 191)		(1 635 191)
19 660 924				(22 000 337)	(2 339 413)
19 660 924				(19 660 924)	–
				(2 339 413)	(2 339 413)
				(27 268 131)	(27 268 131)
		(14 639 798)		14 639 798	–
	(2 258 199)				(2 258 199)
(400 000 000)		400 000 000			–
	11 658 301	(300 000 000)			(288 341 699)
600 703 936	**(17 378 683)**	**(44 817 643)**	**(1 393 006)**	**55 335 282**	**592 449 886**
				(9 021)	**(9 021)**
				35 387	**35 387**
600 703 936	**(17 378 683)**	**(44 817 643)**	**(1 393 006)**	**55 361 648**	**592 476 252**
				(26 137 310)	**(26 137 310)**
	820 768	**(24 631 129)**			**(23 810 361)**
		(6 866 852)			**(6 866 852)**
		(41 431 311)		**41 431 311**	**–**
	(44 547)				**(44 547)**
(450 000 000)		**450 000 000**			**–**
	11 658 301	**(299 999 392)**			**(288 341 091)**
(4 902 270)	**4 944 161**	**(41 891)**			**–**
145 801 666	**–**	**32 211 782**	**(1 393 006)**	**70 655 649**	**247 276 091**

STATEMENTS OF CHANGES IN EQUITY continued

for the year ended 30 September 2019

	Notes
Previously reported balance at 30 September 2017	28
Financial liability derivatives from bookbuilds	28.3
Foreign currency translation reserve adjustment on change in functional currency	28.4
Change in functional currency	28.4
Restated balance at 30 September 2017	
Issue of shares – 1 820 726 shares on 14 December 2017[4]	
Total comprehensive income:	
Profit for the year	
Distribution paid – final 2017	
– scrip issue – 6 475 772 shares[4]	
– cash	
Distribution paid – interim 2018: cash	
Transfer to non-distributable reserves	
Transfer of stated capital to non-distributable reserve	10.1
Distribution – return of capital	10.1
Closing balance at 30 September 2018	
Total comprehensive income:	
Profit for the year	
Distribution paid – final 2018: cash (paid January 2019)	
Distribution paid – interim 2019: cash (paid June 2019)	
Transfer of stated capital to non-distributable reserve	10.1
Transfer to non-distributable reserves	
Distribution – return of capital	10.1
Cancellation of treasury shares	
Closing balance at 30 September 2019	

1 *Refer to notes 1.5 and 10.*
2 *Refer to note 1.16.*
3 *Refer to note 1.10.*
4 *The number of shares has been restated for the impact of the company's 1 for 20 share consolidation effective from 18 December 2018. Refer to note 10 for additional details.*

COMPANY				
Stated capital[1] EUR	Non-distributable reserve[2] EUR	Foreign currency translation reserve[3] EUR	Retained earnings	Total equity
892 382 767	(28 374 589)	(11 028 765)	50 521 551	903 500 964
94 013 684	(94 013 684)		–	–
(11 028 765)		11 028 765		–
	71 824	–	(71 824)	–
975 367 686	(122 316 449)	–	50 449 727	903 500 964
5 675 326				5 675 326
			26 367 805	26 367 805
19 660 924			(22 000 337)	(2 339 413)
19 660 924			(19 660 924)	–
			(2 339 413)	(2 339 413)
			(27 373 187)	(27 373 187)
	(9 471 354)		9 471 354	–
(400 000 000)	400 000 000			–
	(300 000 000)			(300 000 000)
600 703 936	**(31 787 803)**	**–**	**36 915 362**	**605 831 495**
			(23 764 177)	**(23 764 177)**
	(24 631 129)			**(24 631 129)**
	(6 866 852)			**(6 866 852)**
(450 000 000)	**450 000 000**			**–**
	(38 157 269)		**38 157 269**	**–**
	(299 999 392)			**(299 999 392)**
(4 902 270)				**(4 902 270)**
145 801 666	**48 557 555**	**–**	**51 308 454**	**245 667 675**

Planet Koper – Slovenia

SEGMENTAL ANALYSIS

The group determines and presents operating segments based on the information that is provided internally to the company's board and investment committee, jointly the group's chief operating decision-maker ("CODM"). The group comprises three segments: listed infrastructure, listed real estate and direct property. Each operating segment's operating results are reviewed quarterly by the CODM to make decisions about the segment's performance, resource allocation, risk assessment and for which discrete financial information is available.

Segment	Description
Listed infrastructure	Investments in liquid listed infrastructure securities on recognised exchanges, utilising both cash investments and equity swap derivatives.
Listed real estate	Investments in liquid listed real estate securities on recognised exchanges, utilising both cash investments and equity swap derivatives.
Direct property	Investments in direct commercial properties in the retail sector. Opportunistic acquisitions in the retail, logistics, industrial, warehousing and office sectors are also considered.

Currency segments

The group also reports information on currency analysis to the CODM, in addition to the main reportable segments. The currency segments also represent geographical segments for the investments, and investment property balance statement of financial position line items, as well as the investment revenue, and property rental and related revenue profit or loss line items.

The following currency segments have been identified:

- Australian Dollar ("AUD");
- Canadian Dollar ("CAD");
- Euro ("EUR")*;
- Hong Kong Dollar ("HKD");
- Singapore Dollar ("SGD");
- Pound Sterling ("GBP"); and
- United States Dollar ("USD").

* *The EUR currency segment also represents the geographical segment for the whole Euro Monetary Area, which is considered a single country for purposes of IFRS segmental disclosure.*

Reconciliation of segmental reporting to IFRS financial statements

The reconciliation of the segmental reporting with financial information extracted from the consolidated financial statements for the years ended 30 September 2019 and 30 September 2018 are included in the segmental analyses, and primarily relate to the matters below i.e. Management Accounts' Adjustments:

- **LocaViseu – Sociedade de Gestão de Imóveis, S.A. ("LocaViseu")**

  The goodwill relates to the deferred tax liability assumed on acquisition.

  Typically, Iberian property transactions entail the disposal of companies instead of underlying properties and it is management's view that the LocaViseu group deferred tax related to cumulative fair value gains on investment property will not become payable. As such, the goodwill has been offset against the deferred tax liability.

- **Financial liability derivatives from bookbuilds**

  The cumulative impact of the financial liability derivatives, which relate to the company's 2016 and 2017 bookbuilds, has been removed for purposes of the segmental analyses.

- **Equity swap derivatives**

  The equity derivatives are reported in the segmental analyses in their respective components i.e. grossed-up by multiplying the shares held in each counter by the quoted closing price of the respective counter at the reporting date, raising the corresponding equity swap derivative liability and separating the profit or loss impact between dividend income on the underlying equities, fair value gains and losses on the underlying equities and the implied borrowing costs on the implicit equity swap derivative liability. This more appropriately reflects the group's assets, liabilities, revenue and expenses for segmental analysis.

- **Finance income**

  Finance income is classified as part of net finance costs, instead of revenue.

SEGMENTAL ANALYSIS continued

Consolidated statement of financial position as at 30 September 2019

	SEGMENTS			
	Listed infrastructure 2019 EUR	Listed real estate 2019 EUR	Direct property 2019 EUR	Corporate 2019 EUR
Assets				
Non-current assets	13 866 895	56 219 045	301 632 014	273 308
Investment property	–	–	301 201 607	–
Investments	13 866 895	56 219 045	–	–
Financial and other assets	–	–	430 407	273 308
Goodwill	–	–	–	–
Current assets	3 533 380	16 023 125	14 992 813	10 149 129
Investments	–	2 407 500	–	–
Trade and other receivables	–	1 976 742	4 418 825	159 619
Cash and cash equivalents	3 533 380	11 638 883	10 573 988	9 989 510
Total assets	17 400 275	72 242 170	316 624 827	10 422 437
Equity and liabilities				
Total equity attributable to equity holders	–	–	–	247 276 091
Stated capital				51 787 982
Non-distributable reserve				126 225 466
Foreign currency translation reserve				(1 393 006)
Retained earnings				70 655 649
Total liabilities	–	26 344 395	140 928 909	2 140 314
Non-current liabilities	–	26 344 395	132 452 373	178 475
Interest-bearing borrowings	–	26 344 395	124 226 466	–
Deferred tax	–	–	7 757 854	–
Financial liabilities	–	–	468 053	178 475
Current liabilities	–	–	8 476 536	1 961 839
Interest-bearing borrowings	–	–	1 052 685	–
Financial liabilities	–	–	–	1 307 436
Trade and other payables	–	–	7 257 401	654 403
Income tax payable	–	–	166 450	–
Total equity and liabilities	–	26 344 395	140 928 909	249 416 405

	GROUP – MANAGEMENT ACCOUNTS	MANAGEMENT ACCOUNTS' ADJUSTMENTS			GROUP
	2019 EUR	LocaViseu 2019 EUR	Financial liability derivatives from bookbuilds 2019 EUR	Equity swap derivatives 2019 EUR	Audited 2019 EUR
	371 991 262	24 280 132	–	(7 592 132)	388 679 262
	301 201 607	–	–	–	301 201 607
	70 085 940	–	–	(26 344 395)	43 741 545
	703 715	–	–	18 752 263	19 455 978
	–	24 280 132	–	–	24 280 132
	44 698 447	–	–	(18 752 263)	25 946 184
	2 407 500	–	–	–	2 407 500
	6 555 186	–	–	–	6 555 186
	35 735 761	–	–	(18 752 263)	16 983 498
	416 689 709	24 280 132	–	(26 344 395)	414 625 446
	247 276 091	–	–	–	247 276 091
	51 787 982	–	94 013 684	–	145 801 666
	126 225 466	–	(94 013 684)	–	32 211 782
	(1 393 006)	–	–	–	(1 393 006)
	70 655 649	–	–	–	70 655 649
	169 413 618	24 280 132	–	(26 344 395)	167 349 355
	158 975 243	24 280 132	–	(26 344 395)	156 910 980
	150 570 861	–	–	(26 344 395)	124 226 466
	7 757 854	24 280 132	–	–	32 037 986
	646 528	–	–	–	646 528
	10 438 375	–	–	–	10 438 375
	1 052 685	–	–	–	1 052 685
	1 307 436	–	–	–	1 307 436
	7 911 804	–	–	–	7 911 804
	166 450	–	–	–	166 450
	416 689 709	24 280 132	–	(26 344 395)	414 625 446

SEGMENTAL ANALYSIS continued

Consolidated statement of financial position as at 30 September 2018

	SEGMENTS			
	Listed infrastructure 2018 EUR	Listed real estate 2018 EUR	Direct property 2018 EUR	Corporate 2018 EUR
Assets				
Non-current assets	427 793 609	251 548 636	296 379 944	324 757
Investment property	–	–	292 693 712	–
Investments	427 793 609	251 548 636	–	–
Financial and other assets	–	–	3 686 232	324 757
Goodwill	–	–	–	–
Current assets	48 087 636	27 776 657	11 779 450	347 857 784
Investments	10 299 132	–	–	–
Financial and other assets	–	–	578 572	154 214
Trade and other receivables	3 930 031	5 805 275	2 923 146	370 984
Cash and cash equivalents	33 858 473	21 971 382	8 277 732	347 332 586
Total assets	475 881 245	279 325 293	308 159 394	348 182 541
Equity and liabilities				
Total equity attributable to equity holders	–	–	–	592 449 886
Stated capital				506 690 252
Treasury shares				(17 378 683)
Non-distributable reserve				49 196 041
Foreign currency translation reserve				(1 393 006)
Retained earnings				55 335 282
Total liabilities	269 379 248	110 994 228	141 633 386	297 091 725
Non-current liabilities	260 912 299	105 965 657	132 403 401	419 720
Interest-bearing borrowings	260 912 299	105 965 657	124 878 211	–
Deferred tax	–	–	7 409 885	–
Financial liabilities	–	–	115 305	419 720
Current liabilities	8 466 949	5 028 571	9 229 985	296 672 005
Interest-bearing borrowings	–	–	1 443 902	–
Financial liabilities	–	–	–	591 000
Trade and other payables	8 466 949	5 028 571	7 165 942	295 727 911
Income tax payable	–	–	620 141	353 094
Total equity and liabilities	269 379 248	110 994 228	141 633 386	889 541 611

	GROUP – MANAGEMENT ACCOUNTS	MANAGEMENT ACCOUNTS' ADJUSTMENTS			GROUP
	2018 EUR	LocaViseu 2018 EUR	Financial liability derivatives from bookbuilds 2018 EUR	Equity swap derivatives 2018 EUR	Audited 2018 EUR
	976 046 946	24 220 132	–	(311 048 101)	689 218 977
	292 693 712	–	–	–	292 693 712
	679 342 245	–	–	(366 877 956)	312 464 289
	4 010 989	–	–	55 829 855	59 840 844
	–	24 220 132	–	–	24 220 132
	435 501 527	–	–	(55 829 855)	379 671 672
	10 299 132	–	–	–	10 299 132
	732 786	–	–	–	732 786
	13 029 436	–	–	–	13 029 436
	411 440 173	–	–	(55 829 855)	355 610 318
	1 411 548 473	24 220 132	–	(366 877 956)	1 068 890 649
	592 449 886	–	–	–	592 449 886
	506 690 252	–	94 013 684	–	600 703 936
	(17 378 683)	–	–	–	(17 378 683)
	49 196 041	–	(94 013 684)	–	(44 817 643)
	(1 393 006)	–	–	–	(1 393 006)
	55 335 282	–	–	–	55 335 282
	819 098 587	24 220 132	–	(366 877 956)	476 440 763
	499 701 077	24 220 132	–	(366 877 956)	157 043 253
	491 756 167	–	–	(366 877 956)	124 878 211
	7 409 885	24 220 132	–	–	31 630 017
	535 025	–	–	–	535 025
	319 397 510	–	–	–	319 397 510
	1 443 902	–	–	–	1 443 902
	591 000	–	–	–	591 000
	316 389 373	–	–	–	316 389 373
	973 235	–	–	–	973 235
	1 411 548 473	24 220 132	–	(366 877 956)	1 068 890 649

SEGMENTAL ANALYSIS continued

Consolidated statement of financial position as at 30 September 2019

	CURRENCY SEGMENTS				
	AUD 2019 EUR	CAD 2019 EUR	EUR 2019 EUR	HKD 2019 EUR	SGD 2019 EUR
Assets					
Non-current assets	–	–	363 385 459	–	–
Investment property	–	–	301 201 607	–	–
Investments	–	–	61 480 137	–	–
Financial and other assets	–	–	703 715	–	–
Goodwill	–	–	–	–	–
Current assets	4	2	43 396 188	19	1
Investments	–	–	2 407 500	–	–
Trade and other receivables	–	–	6 514 754	–	–
Cash and cash equivalents	4	2	34 473 934	19	1
Total assets	4	2	406 781 647	19	1
Equity and liabilities					
Total equity attributable to equity holders	–	–	–	–	–
Stated capital					
Non-distributable reserve					
Foreign currency translation reserve					
Retained earnings					
Total liabilities	–	–	168 172 851	–	–
Non-current liabilities	–	–	158 975 243	–	–
Interest-bearing borrowings	–	–	150 570 861	–	–
Deferred tax	–	–	7 757 854	–	–
Financial liabilities	–	–	646 528	–	–
Current liabilities	–	–	9 197 608	–	–
Interest-bearing borrowings	–	–	1 052 685	–	–
Financial liabilities	–	–	98 146	–	–
Trade and other payables	–	–	7 880 327	–	–
Income tax payable	–	–	166 450	–	–
Total equity and liabilities	–	–	168 172 851	–	–

CURRENCY SEGMENTS			GROUP – MANAGEMENT ACCOUNTS	MANAGEMENT ACCOUNTS' ADJUSTMENTS			GROUP
GBP 2019 EUR	USD 2019 EUR	Corporate 2019 EUR	2019 EUR	LocaViseu 2019 EUR	Financial liability derivatives from bookbuilds 2019 EUR	Equity swap derivatives 2019 EUR	Audited 2019 EUR
–	8 605 803	–	371 991 262	24 280 132	–	(7 592 132)	388 679 262
–	–	–	301 201 607	–	–	–	301 201 607
–	8 605 803	–	70 085 940	–	–	(26 344 395)	43 741 545
–	–	–	703 715	–	–	18 752 263	19 455 978
–	–	–	–	24 280 132	–	–	24 280 132
12 048	158 045	1 132 140	44 698 447	–	–	(18 752 263)	25 946 184
–	–	–	2 407 500	–	–	–	2 407 500
–	–	40 432	6 555 186	–	–	–	6 555 186
12 048	158 045	1 091 708	35 735 761	–	–	(18 752 263)	16 983 498
12 048	8 763 848	1 132 140	416 689 709	24 280 132	–	(26 344 395)	414 625 446
–	–	247 276 091	247 276 091	–	–	–	247 276 091
		51 787 982	51 787 982	–	94 013 684	–	145 801 666
		126 225 466	126 225 466	–	(94 013 684)	–	32 211 782
		(1 393 006)	(1 393 006)	–	–	–	(1 393 006)
		70 655 649	70 655 649	–	–	–	70 655 649
–	1 209 290	31 477	169 413 618	24 280 132	–	(26 344 395)	167 349 355
–	–	–	158 975 243	24 280 132	–	(26 344 395)	156 910 980
–	–	–	150 570 861	–	–	(26 344 395)	124 226 466
–	–	–	7 757 854	24 280 132	–	–	32 037 986
–	–	–	646 528	–	–	–	646 528
–	1 209 290	31 477	10 438 375	–	–	–	10 438 375
–	–	–	1 052 685	–	–	–	1 052 685
–	1 209 290	–	1 307 436	–	–	–	1 307 436
–	–	31 477	7 911 804	–	–	–	7 911 804
–	–	–	166 450	–	–	–	166 450
–	1 209 290	247 307 568	416 689 709	24 280 132	–	(26 344 395)	414 625 446

SEGMENTAL ANALYSIS continued

Consolidated statement of financial position as at 30 September 2018

	CURRENCY SEGMENTS				
	AUD 2018 EUR	CAD 2018 EUR	EUR 2018 EUR	HKD 2018 EUR	SGD 2018 EUR
Assets					
Non-current assets	42 132 649	99 388 758	459 803 755	21 968 836	–
Investment property	–	–	292 693 712	–	–
Investments	42 060 548	99 380 137	163 423 811	21 968 528	–
Financial and other assets	72 101	8 621	3 686 232	308	–
Goodwill	–	–	–	–	–
Current assets	546 426	4 321 602	263 974 309	4 408 497	188 426
Investments	–	–	10 299 132	–	–
Financial and other assets	106 966	8 471	578 571	–	9 921
Trade and other receivables	–	1 865 255	3 324 245	2 770 789	–
Cash and cash equivalents	439 460	2 447 876	249 772 361	1 637 708	178 505
Total assets	42 679 075	103 710 360	723 778 064	26 377 333	188 426
Equity and liabilities					
Total equity attributable to equity holders	–	–	–	–	–
Stated capital					
Treasury shares					
Non-distributable reserve					
Foreign currency translation reserve					
Retained earnings					
Total liabilities	21 457 893	50 832 476	246 093 354	60 587	7 601
Non-current liabilities	20 305 178	47 600 929	219 894 513	1 813	5 325
Interest-bearing borrowings	20 305 178	47 597 543	212 128 386	–	–
Deferred tax	–	–	7 409 885	–	–
Financial liabilities	–	3 386	356 242	1 813	5 325
Current liabilities	1 152 715	3 231 547	26 198 841	58 774	2 276
Interest-bearing borrowings	–	–	1 443 902	–	–
Financial liabilities	40 172	77 178	–	58 774	2 276
Trade and other payables	1 112 543	3 154 369	24 134 798	–	–
Income tax payable	–	–	620 141	–	–
Total equity and liabilities	21 457 893	50 832 476	246 093 354	60 587	7 601

CURRENCY SEGMENTS GBP 2018 EUR	CURRENCY SEGMENTS USD 2018 EUR	CURRENCY SEGMENTS Corporate 2018 EUR	GROUP – MANAGEMENT ACCOUNTS 2018 EUR	MANAGEMENT ACCOUNTS' ADJUSTMENTS LocaViseu 2018 EUR	MANAGEMENT ACCOUNTS' ADJUSTMENTS Financial liability derivatives from bookbuilds 2018 EUR	MANAGEMENT ACCOUNTS' ADJUSTMENTS Equity swap derivatives 2018 EUR	GROUP Audited 2018 EUR
43 529 472	308 979 749	243 727	976 046 946	24 220 132	–	(311 048 101)	689 218 977
–	–	–	292 693 712	–	–	–	292 693 712
43 529 472	308 979 749	–	679 342 245	–	–	(366 877 956)	312 464 289
–	–	243 727	4 010 989	–	–	55 829 855	59 840 844
–	–	–	–	24 220 132	–	–	24 220 132
3 718 433	4 056 550	154 287 284	435 501 527	–	–	(55 829 855)	379 671 672
–	–	–	10 299 132	–	–	–	10 299 132
13 881	14 976	–	732 786	–	–	–	732 786
422 128	4 647 019	–	13 029 436	–	–	–	13 029 436
3 282 424	(605 445)	154 287 284	411 440 173	–	–	(55 829 855)	355 610 318
47 247 905	313 036 299	154 531 011	1 411 548 473	24 220 132	–	(366 877 956)	1 068 890 649
–	–	592 449 886	592 449 886	–	–	–	592 449 886
		506 690 252	506 690 252	–	94 013 684	–	600 703 936
		(17 378 683)	(17 378 683)	–	–	–	(17 378 683)
		49 196 041	49 196 041	–	(94 013 684)	–	(44 817 643)
		(1 393 006)	(1 393 006)	–	–	–	(1 393 006)
		55 335 282	55 335 282	–	–	–	55 335 282
15 348	217 931 005	282 700 323	819 098 587	24 220 132	–	(366 877 956)	476 440 763
2 572	211 890 747	–	499 701 077	24 220 132	–	(366 877 956)	157 043 253
–	211 725 060	–	491 756 167	–	–	(366 877 956)	124 878 211
–	–	–	7 409 885	24 220 132	–	–	31 630 017
2 572	165 687	–	535 025	–	–	–	535 025
12 776	6 040 258	282 700 323	319 397 510	–	–	–	319 397 510
–	–	–	1 443 902	–	–	–	1 443 902
5 224	407 376	–	591 000	–	–	–	591 000
7 552	5 632 882	282 347 229	316 389 373	–	–	–	316 389 373
–	–	353 094	973 235	–	–	–	973 235
15 348	217 931 005	875 150 209	1 411 548 473	24 220 132	–	(366 877 956)	1 068 890 649

SEGMENTAL ANALYSIS continued

Consolidated statement of profit or loss and other comprehensive income for the year ended 30 September 2019

	SEGMENTS			
	Listed infrastructure for the year ended 2019 EUR	Listed real estate for the year ended 2019 EUR	Direct property for the year ended 2019 EUR	Corporate for the year ended 2019 EUR
Property rental and related revenue	–	–	25 252 231	–
Investment revenue	2 618 000	3 672 409	–	–
Finance income	–	–	–	–
Total revenue*	2 618 000	3 672 409	25 252 231	–
Fair value loss on investment property, investments and derivatives	(6 080 864)	(14 041 928)	(6 792 912)	(638 402)
Fair value loss on investment property	–	–	(3 204 334)	–
Fair value loss on investments	(6 080 864)	(14 041 928)	–	–
Fair value loss on currency, interest rate and other derivatives	–	–	(3 588 578)	(674 752)
Impairment reversal	–	–		36 350
Property operating expenses	–	–	(7 389 699)	–
Administrative and other expenses	(183 612)	(181 279)	(220 317)	(2 448 002)
Foreign exchange loss	–	–		(13 877 205)
Operating (loss)/profit	(3 646 476)	(10 550 798)	10 849 303	(16 963 609)
Finance income	–	–	493	997 434
Finance costs	(554 557)	(424 431)	(3 677 330)	(338 130)
Other income	–	–	–	136 040
(Loss)/profit before income tax	(4 201 033)	(10 975 229)	7 172 466	(16 168 265)
Income tax expense	–	–	(1 681 044)	(284 205)
(Loss)/profit for the year attributable to equity holders of the company	(4 201 033)	(10 975 229)	5 491 422	(16 452 470)

* *All segmental revenues in 2019 and 2018, respectively, were generated from external customers and from countries other than Mauritius, the company's domicile.*

	GROUP – MANAGEMENT ACCOUNTS	MANAGEMENT ACCOUNTS' ADJUSTMENTS			GROUP
	For the year ended 2019 EUR	LocaViseu for the year ended 2019 EUR	Finance income for the year ended 2019 EUR	Equity swap derivatives for the year ended 2019 EUR	Audited for the year ended 2019 EUR
	25 252 231	–	–	–	25 252 231
	6 290 409	–	–	(2 821 465)	3 468 944
	–	–	997 927	–	997 927
	31 542 640	–	997 927	(2 821 465)	29 719 102
	(27 554 106)	–	–	1 842 477	(25 711 629)
	(3 204 334)	–	–	–	(3 204 334)
	(20 122 792)	–	–	1 842 477	(18 280 315)
	(4 263 330)	–	–	–	(4 263 330)
	36 350	–	–	–	36 350
	(7 389 699)	–	–	–	(7 389 699)
	(3 033 210)	–	–	–	(3 033 210)
	(13 877 205)	–	–	–	(13 877 205)
	(20 311 580)	–	997 927	(978 988)	(20 292 641)
	997 927	–	(997 927)	–	–
	(4 994 448)	–	–	978 988	(4 015 460)
	136 040	–	–	–	136 040
	(24 172 061)	–	–	–	(24 172 061)
	(1 965 249)	–	–	–	(1 965 249)
	(26 137 310)	–	–	–	(26 137 310)

SEGMENTAL ANALYSIS continued

Consolidated statement of profit or loss and other comprehensive income for the year ended 30 September 2018

	SEGMENTS			
	Listed infrastructure for the year ended 2018 EUR	Listed real estate for the year ended 2018 EUR	Direct property for the year ended 2018 EUR	Corporate for the year ended 2018 EUR
Property rental and related revenue	–	–	16 886 678	–
Investment revenue	34 088 375	29 669 055	–	–
Finance income	–	–	–	–
Total revenue*	34 088 375	29 669 055	16 886 678	–
Fair value (loss)/gain on investment property, investments and derivatives	(30 633 127)	3 129 327	5 582 316	(3 087 789)
Fair value gain on investment property	–	–	5 883 179	–
Fair value (loss)/gain on investments	(30 633 127)	3 129 327	–	–
Fair value loss on currency, interest rate and other derivatives	–	–	(300 863)	(838 207)
Impairment loss	–	–	–	(2 249 582)
Property operating expenses	–	–	(5 806 063)	–
Administrative and other expenses	(442 425)	(289 184)	(332 548)	(5 102 456)
Foreign exchange gain	3 303 578	3 768 222	–	7 826 845
Share of profit from joint venture	–	–	–	–
Operating profit/(loss)	6 316 401	36 277 420	16 330 383	(363 400)
Finance income	–	–	1 392	548 449
Finance costs	(7 376 960)	(3 374 136)	(2 465 335)	(1 286 505)
Other income	–	–	–	167 301
(Loss)/profit before income tax	(1 060 559)	32 903 284	13 866 440	(934 155)
Income tax expense	–	–	(2 286 753)	(871 169)
(Loss)/profit for the year attributable to equity holders of the company	(1 060 559)	32 903 284	11 579 687	(1 805 324)

* *All segmental revenues in 2019 and 2018, respectively, were generated from external customers and from countries other than Mauritius, the company's domicile.*

	GROUP – MANAGEMENT ACCOUNTS	MANAGEMENT ACCOUNTS' ADJUSTMENTS			GROUP
	For the year ended 2018 EUR	LocaViseu for the year ended 2018 EUR	Finance income for the year ended 2018 EUR	Equity swap derivatives for the year ended 2018 EUR	Audited for the year ended 2018 EUR
	16 886 678	(8 067 552)	–	–	8 819 126
	63 757 430	–	–	(42 436 328)	21 321 102
	–	–	549 841	–	549 841
	80 644 108	(8 067 552)	549 841	(42 436 328)	30 690 069
	(25 009 273)	(4 529 171)	–	31 685 232	2 146 788
	5 883 179	(4 529 171)	–	–	1 354 008
	(27 503 800)	–	–	31 685 232	4 181 432
	(1 139 070)	–	–	–	(1 139 070)
	(2 249 582)	–	–	–	(2 249 582)
	(5 806 063)	2 175 226	–	–	(3 630 837)
	(6 166 613)	141 813	–	–	(6 024 800)
	14 898 645	–	–	–	14 898 645
	–	7 028 539	–	–	7 028 539
	58 560 804	(3 251 145)	549 841	(10 751 096)	45 108 404
	549 841	–	(549 841)	–	–
	(14 502 936)	1 212 315	–	10 751 096	(2 539 525)
	167 301	–	–	–	167 301
	44 775 010	(2 038 830)	–	–	42 736 180
	(3 157 922)	2 038 830	–	–	(1 119 092)
	41 617 088	–	–	–	41 617 088

SEGMENTAL ANALYSIS continued

Consolidated statement of profit or loss and other comprehensive income for the year ended 30 September 2019

	CURRENCY SEGMENTS				
	AUD for the year ended 2019 EUR	CAD for the year ended 2019 EUR	EUR for the year ended 2019 EUR	HKD for the year ended 2019 EUR	SGD for the year ended 2019 EUR
Property rental and related revenue	–	–	25 252 231	–	–
Investment revenue	22 774	320 793	3 921 986	86 081	–
Finance income	–	–	–	–	–
Total revenue*	22 774	320 793	29 174 217	86 081	–
Fair value gain/(loss) on investment property, investments and derivatives	690 677	3 043 577	(20 046 687)	(1 103 633)	(2 320)
Fair value loss on investment property	–	–	(3 204 334)	–	–
Fair value gain/(loss) on investments	829 572	2 980 105	(12 044 485)	(1 163 912)	–
Fair value (loss)/gain on currency, interest rate and other derivatives	(138 895)	63 472	(4 797 868)	60 279	(2 320)
Impairment reversal	–	–	–	–	–
Property operating expenses	–	–	(7 389 699)	–	–
Administrative and other expenses	(12 414)	(28 995)	(1 975 127)	(7 664)	–
Foreign exchange gain/(loss)	347 203	85 988	558	(1 766 716)	(650)
Operating profit/(loss)	1 048 240	3 421 363	(236 738)	(2 791 932)	(2 970)
Finance income	3 676	31 553	104 478	8 753	772
Finance costs	(49 549)	(129 360)	(3 978 257)	67	(86)
Other income	–	–	136 040	–	–
Profit/(loss) before income tax	1 002 367	3 323 556	(3 974 477)	(2 783 112)	(2 284)
Income tax expense	–	–	(1 748 782)	–	–
Profit/(loss) for the year attributable to equity holders of the company	1 002 367	3 323 556	(5 723 259)	(2 783 112)	(2 284)

* *All segmental revenues in 2019 and 2018, respectively, were generated from external customers and from countries other than Mauritius, the company's domicile.*

CURRENCY SEGMENTS			GROUP – MANAGEMENT ACCOUNTS	MANAGEMENT ACCOUNTS' ADJUSTMENTS			GROUP
GBP for the year ended 2019 EUR	USD for the year ended 2019 EUR	Corporate for the year ended 2019 EUR	For the year ended 2019 EUR	LocaViseu for the year ended 2019 EUR	Finance income for the year ended 2019 EUR	Equity swap derivatives for the year ended 2019 EUR	Audited for the year ended 2019 EUR
–	–	–	25 252 231	–	–	–	25 252 231
97 655	1 841 120	–	6 290 409	–	–	(2 821 465)	3 468 944
–	–	–	–	–	997 927	–	997 927
97 655	1 841 120	–	31 542 640	–	997 927	(2 821 465)	29 719 102
(3 531 155)	(6 640 915)	36 350	(27 554 106)	–	–	1 842 477	(25 711 629)
–	–	–	(3 204 334)	–	–	–	(3 204 334)
(3 525 071)	(7 199 001)	–	(20 122 792)	–	–	1 842 477	(18 280 315)
(6 084)	558 086	–	(4 263 330)	–	–	–	(4 263 330)
–	–	36 350	36 350	–	–	–	36 350
–	–	–	(7 389 699)	–	–	–	(7 389 699)
(125 136)	(234 461)	(649 413)	(3 033 210)	–	–	–	(3 033 210)
(1 309 774)	(4 477 872)	(6 755 942)	(13 877 205)	–	–	–	(13 877 205)
(4 868 410)	(9 512 128)	(7 369 005)	(20 311 580)	–	997 927	(978 988)	(20 292 641)
6 271	82 576	759 848	997 927	–	(997 927)	–	–
(655)	(832 006)	(4 602)	(4 994 448)	–	–	978 988	(4 015 460)
–	–	–	136 040	–	–	–	136 040
(4 862 794)	(10 261 558)	(6 613 759)	(24 172 061)	–	–	–	(24 172 061)
–	–	(216 467)	(1 965 249)	–	–	–	(1 965 249)
(4 862 794)	(10 261 558)	(6 830 226)	(26 137 310)	–	–	–	(26 137 310)

SEGMENTAL ANALYSIS continued

Consolidated statement of profit or loss and other comprehensive income for the year ended 30 September 2018

	CURRENCY SEGMENTS				
	AUD for the year ended 2018 EUR	CAD for the year ended 2018 EUR	EUR for the year ended 2018 EUR	HKD for the year ended 2018 EUR	SGD for the year ended 2018 EUR
Property rental and related revenue	–	–	16 886 678	–	–
Investment revenue	4 663 755	6 037 992	11 145 616	1 099 383	771 278
Finance income	–	–	–	–	–
Total revenue*	4 663 755	6 037 992	28 032 294	1 099 383	771 278
Fair value (loss)/gain on investment property, investments and derivatives	(983 420)	(15 852 137)	(13 501 247)	4 284 738	(214 965)
Fair value gain on investment property	–	–	5 883 179	–	–
Fair value (loss)/gain on investments	(1 102 167)	(15 774 825)	(19 083 564)	4 344 116	(214 514)
Fair value gain/(loss) on currency, interest rate and other derivatives	118 747	(77 312)	(300 862)	(59 378)	(451)
Impairments	–	–	–	–	–
Property operating expenses	–	–	(5 806 063)	–	–
Administrative and other expenses	(49 546)	(89 557)	(2 767 066)	(19 465)	(8 346)
Foreign exchange gain/(loss)	317 505	1 765 703	887	899 733	260 613
Share of profit from joint venture	–	–	–	–	–
Operating profit/(loss)	3 948 294	(8 137 999)	5 958 805	6 264 389	808 580
Finance income	–	–	1 749	–	–
Finance costs	(937 777)	(1 294 043)	(4 056 740)	(4 370)	(57 273)
Other income	–	–	167 301	–	–
Profit/(loss) before income tax	3 010 517	(9 432 042)	2 071 115	6 260 019	751 307
Income tax expense	–	–	(2 286 753)	–	–
Profit/(loss) for the year attributable to equity holders of the company	3 010 517	(9 432 042)	(215 638)	6 260 019	751 307

* *All segmental revenues in 2019 and 2018, respectively, were generated from external customers and from countries other than Mauritius, the company's domicile.*

CURRENCY SEGMENTS			GROUP – MANAGEMENT ACCOUNTS	MANAGEMENT ACCOUNTS' ADJUSTMENTS			GROUP
GBP for the year ended 2018 EUR	USD for the year ended 2018 EUR	Corporate for the year ended 2018 EUR	For the year ended 2018 EUR	LocaViseu for the year ended 2018 EUR	Finance income for the year ended 2018 EUR	Equity swap derivatives for the year ended 2018 EUR	Audited for the year ended 2018 EUR
–	–	–	16 886 678	(8 067 552)	–	–	8 819 126
3 154 373	36 885 033	–	63 757 430	–	–	(42 436 328)	21 321 102
–	–	–	–	–	549 841	–	549 841
3 154 373	36 885 033	–	80 644 108	(8 067 552)	549 841	(42 436 328)	30 690 069
(7 836 259)	11 343 599	(2 249 582)	(25 009 273)	(4 529 171)	–	31 685 232	2 146 788
–	–	–	5 883 179	(4 529 171)	–	–	1 354 008
(7 734 577)	12 061 731	–	(27 503 800)	–	–	31 685 232	4 181 432
(101 682)	(718 132)	–	(1 139 070)	–	–	–	(1 139 070)
–	–	(2 249 582)	(2 249 582)	–	–	–	(2 249 582)
–	–	–	(5 806 063)	2 175 226	–	–	(3 630 837)
(56 476)	(471 232)	(2 704 925)	(6 166 613)	141 813	–	–	(6 024 800)
(286 523)	7 186 627	4 754 100	14 898 645	–	–	–	14 898 645
–	–	–	–	7 028 539	–	–	7 028 539
(5 024 885)	54 944 027	(200 407)	58 560 804	(3 251 145)	549 841	(10 751 096)	45 108 404
–	–	548 092	549 841	–	(549 841)	–	–
(50 070)	(7 766 564)	(336 099)	(14 502 936)	1 212 315	–	10 751 096	(2 539 525)
–	–	–	167 301	–	–	–	167 301
(5 074 955)	47 177 463	11 586	44 775 010	(2 038 830)	–	–	42 736 180
–	–	(871 169)	(3 157 922)	2 038 830	–	–	(1 119 092)
(5 074 955)	47 177 463	(859 583)	41 617 088	–	–	–	41 617 088

SEGMENTAL ANALYSIS continued

Distribution calculation (based on management accounts)

	Unaudited management accounts for the year ended 30 September 2019 EUR	Unaudited management accounts for the year ended 30 September 2018 EUR
Property rental and related revenue	**25 252 231**	16 886 678
Investment revenue	**6 290 409**	63 757 430
Net dividends accrued on listed security investments (including equity swap derivatives)	**741 908**	(1 094 020)
Property operating expenses	**(7 389 699)**	(5 806 063)
Administrative and other expenses	**(3 033 210)**	(6 166 613)
Finance income	**997 927**	549 841
Finance costs	**(4 994 448)**	(14 502 936)
Other income	**136 040**	167 301
Income tax	**(2 851 157)**	(2 032 247)
Distributable retained earnings utilised	**–**	295 282
Antecedent distribution – interim	**–**	203 504
Distributable earnings for the year	**15 150 001**	52 258 157
Less:	**(13 733 704)**	(51 047 121)
Interim distribution declared	**(6 866 852)**	(27 373 187)
Final distribution declared	**(6 866 852)**	(23 673 934)
Distributable earnings retained	**1 416 297**	1 211 036
Distributable retained earnings at the beginning of the year	**2 842 086**	1 631 050
Distributable retained earnings at the end of the year	**4 258 383**	2 842 086

Distributable earnings per share and key ratios (non-IFRS measures)

Key non-IFRS investor and other stakeholder information is disclosed in this section. The calculation of distributable earnings per share is based on the profit/(loss) after tax, adjusted as shown in the table below to arrive at the distributable earnings, and the number of shares in issue at 30 September 2019 and 2018, respectively.

	Unaudited 2019 EUR	Unaudited 2018 EUR
(Loss)/profit for the year attributable to equity holders of the company	(26 137 310)	41 617 088
Fair value loss/(gain) on investment property	3 204 334	(1 371 166)
Fair value loss/(gain) on investments	18 280 315	(4 181 432)
Fair value loss on currency, interest rate and other derivatives	4 263 330	1 139 070
Impairment (reversal)/loss	(36 350)	2 249 582
Foreign exchange loss/(gain)	13 877 205	(14 898 645)
Non-distributable portion of share of profit from joint venture	–	(3 386 338)
Dividends on equity swap derivatives included in fair value loss/(gain) on investments	2 821 465	42 436 328
Net dividends accrued on listed security investments (including equity swap derivatives)	741 908	(1 094 020)
Borrowing costs on equity swap derivatives	(978 988)	(10 751 096)
Income tax effect	(885 908)	–
Distributable retained earnings utilised	–	295 282
Antecedent distribution – interim	–	203 504
Distributable earnings for the year	15 150 001	52 258 157
Less:	(13 733 704)	(51 047 121)
Interim distribution declared	(6 866 852)	(27 373 187)
Final distribution declared	(6 866 852)	(23 673 934)
Distributable earnings retained	1 416 297	1 211 036
Distributable retained earnings at the beginning of the year	2 842 086	1 631 050
Distributable retained earnings at the end of the year	4 258 383	2 842 086
Number of shares entitled to distribution[1]	457 790 136	457 790 136
Treasury shares: Repurchased shares held in Lighthouse One Limited[1]	–	(16 615 159)
Treasury shares: Incentive shares held by The Greenbay Share Trust[1]	–	(1 820 726)
	457 790 136	439 354 251
Weighted average shares in issue during the year[1]	457 176 576	470 721 266
Distributable earnings (EUR cents per share)	3,3094	11,0160
Less distribution (EUR cents per share)	(3,0000)	(10,9620)
Interim distribution (EUR cents per share) – declared	(1,5000)	(5,7700)
Final distribution (EUR cents per share) – declared	(1,5000)	(5,1920)
Distributable earnings not distributed (EUR cents per share)	0,3094	0,0540
Distribution payout ratio (%)	90,7	99,5
Net asset value per share (EUR cents)[2]	54,0152	129,9319
Tangible net asset value per share (EUR cents)[2, 3]	48,7114	124,6202
Property cost-to-income ratio (%)[4]	29,3	34,4

[1] *The 2018 comparative reporting period's shares have been restated for the impact of Lighthouse's 1 for 20 share consolidation. Refer to note 10 for additional details.*

[2] *The 2018 comparative reporting period's figures have been restated for the impact of Lighthouse's 1 for 20 share consolidation. Refer to note 10 for additional details.*

[3] *The only current and prior year reconciling amount between net asset value and net tangible asset value is goodwill, as disclosed in the statement of financial position.*

[4] *Calculated by dividing property operating expenses by property rental and related revenue, as disclosed in the management accounts included in the segmental analyses.*

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 30 September 2019

Reporting entity

Lighthouse Capital Limited (the "company") is a public company limited by shares and was incorporated in Mauritius on 14 August 2014. The company holds a Category One Global Business Licence issued by the Financial Services Commission. The company's registered office is C-401, 4th Floor, La Croisette, Grand Baie, Mauritius. The consolidated financial statements of the group for the year ended 30 September 2019 comprise the company and its subsidiaries (jointly the "group" or "Lighthouse"). The consolidated and separate financial statements were authorised for issue by the directors on 12 November 2019. These financial statements will be submitted for consideration and approval at the forthcoming annual general meeting.

Effective 4 December 2018, the company changed its name from Greenbay Properties Ltd to Lighthouse Capital Limited.

Lighthouse has been established with the primary objective of acquiring and investing globally in direct property assets as well as listed real estate and infrastructure securities. During the current financial reporting period, the shareholders approved the following:

- A capital payment to shareholders of up to EUR 300 million;
- A change of the name of the company; and
- The consolidation of the shares of the company on a 1 for 20 basis.

As a result of the abovementioned approvals, the following occurred:

- On 27 November 2018, the board announced the return of an additional EUR 300 million of capital to shareholders, paid on 10 December 2018;
- The company's name changed to Lighthouse Capital Limited on 4 December 2018; and
- The company's shares were consolidated on a 1 for 20 basis, effective from 18 December 2018.

The directors note the following subsequent events:

- In line with IAS 10: *Events after the Reporting Period*, the declaration of the distribution (EUR 6 866 852) for the second half of the 2019 financial year occurred after the end of the reporting period, resulting in a non-adjusting event that is not recognised in the financial statements.
- EUR 70 500 000 through the issue of a maximum of 150 000 000 new ordinary Lighthouse shares at an issue price of 47,00 EUR cents per rights offer share on the SEM and 775,00 ZAR cents per rights offer share on the JSE.

The directors have assessed the group's and company's ability to continue as a going concern and there is no reason to believe that the businesses will not be going concerns in the year ahead. (Refer to note 22 for additional details.)

Basis of preparation

Basis of measurement

The consolidated and separate financial statements ("financial statements") are prepared on the historical-cost basis, except for investment property, investments, derivative financial instruments and financial instruments at fair value through profit or loss, which are measured at fair value.

Statement of compliance

The financial statements are prepared in accordance with International Financial Reporting Standards ("IFRS"), interpretations adopted by the International Accounting Standards Board ("IASB"), interpretations as issued by the International Financial Reporting Interpretations Committee ("IFRIC"), Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council, the JSE Listings Requirements, and with the Mauritian Companies Act 2001.

The accounting policies are consistent with those applied in the prior periods, unless otherwise indicated.

This report was compiled under the supervision of Kobus van Biljon CA(SA), the chief financial officer.

Functional and presentation currency

The functional and presentation currency of the company and group is the Euro ("EUR"), being the currency of the issued stated capital of the group.

Use of estimates and judgements

The preparation of financial statements in conformity with IFRS requires management to make judgements, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making judgements about carrying amounts of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or the period of the revision and future periods if the revision affects both current and future periods.

Judgements made by management in the application of IFRS that have a significant effect on the financial statements and estimates with a significant risk of material adjustment in the future periods are set out in note 25.

1. Accounting policies

The accounting policies set out below have been applied in preparing the financial statements for the year ended 30 September 2019.

1.1 Changes in significant accounting policies

The group initially applied IFRS 15 and IFRS 9 from 1 October 2018. A number of other new standards were also effective from 1 October 2018, however, do not have a material effect on the group's financial statements.

Due to the transition methods chosen by the group in applying these standards, comparative information throughout these financial statements has not been restated to reflect the requirements of the new standards.

IFRS 9: *Financial Instruments*

An impact assessment was performed to understand and evaluate the impact of the adoption of IFRS 9. IFRS 9 sets out the requirements for recognising and measuring financial assets and financial liabilities. The standard replaces IAS 39: *Financial Instruments: Recognition and Measurement*.

In adopting the requirements of IFRS 9, specific attention was given to the classification of financial assets and liabilities and the measurement of expected credit losses with regards to financial assets.

The group does not apply hedge accounting and therefore the change to hedge accounting under IFRS 9 had no impact on the group's financial statements.

Classification and measurement of financial assets and liabilities

IFRS 9 contains three principal classification categories for financial assets, namely measured to amortised cost, fair values through other comprehensive income and fair value through profit or loss. The classification of financial assets is generally based on the business model in which a financial asset is managed and its contractual cash flow characteristics. The standard largely retains the existing requirements of IAS 39 for the classification and measurement of financial liabilities.

The following table reflects the original measurement categories under IAS 39 and the new measurement categories under IFRS 9 as at 1 October 2018, the date of initial application:

			GROUP		COMPANY	
	Original classification	New classification	Original carrying amount EUR	New carrying amount EUR	Original carrying amount EUR	New carrying amount EUR
Financial assets						
Investments	Fair value through profit or loss	Fair value through profit or loss	322 763 421	322 763 421	115 466 120	115 466 120
Equity derivative cash margin	Loans and receivables	Amortised cost	55 829 855	55 829 855	48 424 416	48 424 416
Derivative financial instruments	Fair value through profit or loss	Fair value through profit or loss	442 755	442 755	215 096	215 096
Trade and other receivables	Loans and receivables	Amortised cost	13 029 436	13 075 571	1 908 123	1 908 123
Amounts owing by subsidiaries	Loans and receivables	Amortised cost	–	–	604 471 343	604 471 343
Share Incentive loans	Loans and receivables	Amortised cost	243 728	243 728	2 460 036	2 460 036
Cash and cash equivalents	Loans and receivables	Amortised cost	355 610 318	355 610 318	130 969 262	130 969 262
Financial liabilities						
Interest-bearing borrowings	Other financial liabilities	Amortised cost	124 878 211	124 878 211	–	–
Derivative financial instruments	Fair value through profit or loss	Fair value through profit or loss	1 010 720	1 010 720	–	–
Trade and other payables	Other financial liabilities	Amortised cost	316 389 373	316 389 373	306 262 307	306 262 307

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

1. Accounting policies continued

1.1 Changes in significant accounting policies continued

IFRS 9: *Financial Instruments* continued

Transition

The group has used the exemption not to restate the comparative information for prior periods with respect to classification and measurement (including impairment requirements). Differences in the carrying amounts of financial assets resulting from the adoption of IFRS 9 are recognised in retained earnings as at 1 October 2018. Accordingly, the information presented for 2018 does not generally reflect the requirements of IFRS 9, but rather those of IAS 39.

IFRS 15: *Revenue from Contracts with Customers*

IFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognised. It replaces IAS 18: *Revenue*, IAS 11: *Construction Contracts* and related interpretations. Leases are specifically scoped out of IFRS 15. The majority of revenue is derived from rental income and the impact of this new standard is considered immaterial.

The revenue streams considered are as follows:

Rental income

Property revenue: rental income is earned based on the contractual lease terms and therefore falls within the scope of IFRS 16: *Leases*.

Tenant recoveries

The provisions that allow for the collection of recoveries are stipulated in the lease agreements, however, the frequency of the recoveries as well as the value of the recoveries are not detailed in the lease agreement as they are based on the actual expenses incurred by Lighthouse. Tenant recoveries therefore falls within the scope of IFRS 15.

Consideration was given as to whether Lighthouse is a principal or an agent. A principal is an entity which obtains control over the goods or services prior to being transferred to the tenant.

Control can be in the form of:

- The entity being primarily responsible for fulfilling the promise to provide the goods or services;
- The entity having inventory risk before the goods or services have been transferred to the tenant; or
- The entity having discretion in establishing the prices of goods or services.

Lighthouse manages the relationships with its suppliers and is responsible for the payment of services regardless of whether the mall is fully let or not. In the event that the expense is not recoverable from tenants, Lighthouse continues to have an obligation to the suppliers for the settlement of the amount due. Lighthouse is responsible for providing the services to tenants. The group therefore acts as principal and recognises tenant recoveries on the gross basis under IFRS 15. The application of IFRS 15 has not had a significant impact on the financial position and/or financial performance of the group.

IFRS 16: *Leases*

The group has early adopted IFRS 16: *Leases*. The new standard introduces a single lessee accounting model and requires a lessee to recognise assets and liabilities for all leases with a term of more than 12 months, unless the underlying asset is of low value. A lessee is required to recognise a right-of-use asset representing its right to use the underlying leased asset and a lease liability representing its obligation to make lease payments.

The group has used the exemption not to restate the comparative information for prior periods. Differences in the carrying amounts of assets or liabilities resulting from the adoption of IFRS 16 are recognised in retained earnings as at 1 October 2018. Accordingly, the information presented for 2018 does not generally reflect the requirements of IFRS 16, but rather those of IAS 17 and IFRIC 4.

The group had only one lease with a term of 12 months or longer at the transition date of 1 October 2018 and the net income/expenses adjustment amounted to EUR (9 021).

1.2 Basis of consolidation

Subsidiaries

The consolidated financial statements incorporate the financial statements of the company and entities controlled (directly or indirectly) by the company. The company reassesses whether or not it controls an investee if the facts and circumstances indicate that there are changes to one or more of the elements of control.

When the company has less than a majority of the voting rights of an investee, it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. The company considers all relevant facts and circumstances in assessing whether or not the company's voting rights in an investee are sufficient to give it power, including:

- The size of the company's holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
- Potential voting rights held by the company, other vote holders or other parties;

- Rights arising from other contractual arrangements; and
- Any additional facts and circumstances that indicate that the company may have the current ability to direct the relevant activities at the time that decisions need to be made.

The results of subsidiaries are included from the date control was acquired up to the date control ceased.

Investments in subsidiaries

Investments in subsidiaries of the company are reflected at cost less accumulated impairment losses, if any, in the company's separate financial statements.

The accounting policies of the subsidiaries are consistent with those of the company.

Business combinations

The acquisition method of accounting is used to account for business combinations by the group. The consideration transferred for the acquisition of a subsidiary is the fair value of the assets transferred, the liabilities incurred and the equity interest issued by the group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Acquisition-related costs are expensed as incurred. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. On an acquisition-by-acquisition basis, the group recognises only non-controlling interest in the acquiree either at fair value or at the non-controlling interest's proportionate share of the acquiree's net assets. The excess of consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition date fair value of any previous equity interest in the acquiree (if any) over fair value of the identifiable net assets acquired is recorded as goodwill.

Investments in joint ventures

A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the joint arrangement. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

The results and assets and liabilities of joint ventures are accounted for using the equity method of accounting from the date on which the investee becomes a joint venture. Under the equity method, an investment in a joint venture is initially recognised in the consolidated statement of financial position at cost and adjusted thereafter to recognise the group's share of the profit or loss and other comprehensive income of the joint venture.

On acquisition of the investment in a joint venture, any excess of the cost of the investment over the group's share of the net fair value of the identifiable assets and liabilities of the investee is recognised as goodwill, which is included within the carrying amount of the investment.

The group discontinues equity accounting from the date when the investment ceases to be a joint venture, or when the investment is classified as held-for-sale. Where necessary, appropriate adjustments are made to the financial statements of the joint venture to bring the accounting policies in line with those adopted by the group.

Structured entities

The Greenbay Share Trust (the "Trust")

The company established a trust for the administration of staff incentivisation. Company shares (incentive and geared shares) were issued to the Trust from time to time in terms of the Lighthouse share incentive arrangement. Certain company shares issued to the Trust have been acquired by the company issuing loans to the Trust, with the underlying company shares pledged as collateral for these loans. The group's relationship with the Trust has been assessed and management has concluded the following in terms of IFRS:

- The company established the Trust with the purpose of incentivising staff;
- The Trust is governed by trustees that may be appointed or dismissed at the direction of the board of the company;
- The company is the Trust's sole financier and the Trust has insufficient equity to finance its activities without the assistance of the company; and
- The company ultimately bears the credit risk associated with the loans provided to staff.

Management has determined that the group exercises control over the Trust, and as such, the results of the Trust have been consolidated.

The Trust transferred Incentive Shares, subsequent to the settlement of related debt, to participants' accounts on or about 31 January 2019, after which the Trust was unwound and deregistered.

Transactions eliminated on consolidation

In preparing the consolidated financial statements, intragroup balances and any unrealised gains and losses arising from intragroup transactions with subsidiaries and joint ventures are eliminated to the extent of the group's interest in these entities.

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

1. Accounting policies continued

1.3 Investment property

Investment property

Investment property is initially recognised and measured at cost and subsequently at fair value with any change therein recognised in profit or loss. Fair values are determined annually by external independent professional valuers with appropriate and recognised professional qualifications and recent experience in the location and category of property being valued. Valuations are done on the open-market value basis and the valuers use either the discounted cash flow method or the capitalisation of net income method or a combination of the methods. Gains or losses arising from changes in the fair values are included in profit or loss for the period in which they arise. Immediately prior to disposal of investment property, the investment property is revalued to the net sales proceeds and such revaluation is recognised in profit or loss during the period in which it occurs.

When the group redevelops an existing investment property for continued future use as investment property, the property remains classified as investment property. The investment property is not reclassified as investment property under development during the redevelopment.

Investment property is refurbished, upgraded, and maintained in order to preserve and/or to improve the value. Maintenance and repairs which neither materially add value to the properties nor prolong their useful lives are charged to profit or loss as expenses when incurred.

Investment property under development

Property that is being constructed or developed for future use as investment property is classified as investment property under development until construction or development is complete, at which time it is reclassified and subsequently accounted for as investment property. To the extent that developments can be accurately fair valued, developments are measured at fair value.

Investment property under development is recognised and measured initially at cost, including applicable capitalised borrowing costs.

1.4 Financial instruments

Financial instruments are recognised when the group has become party to the contractual provisions of the instrument. Financial instruments include investments in listed security investments, equity derivative cash margin, derivative assets and liabilities, loans receivable, trade and other receivables, cash and cash equivalents, interest-bearing borrowings, loans payable and trade and other payables. Financial instruments are initially recognised at fair value including transaction costs, except for those measured at fair value through profit or loss, for which related transaction costs are recognised in profit or loss as part of administrative and other expenses. Trade receivables that do not contain a significant financing component in accordance with IFRS 15: *Revenue from Contracts with Customers* are initially measured at their transaction price. Derivatives are recognised initially at fair value at the date the derivative contracts are entered into. Directly attributable transaction costs are recognised in profit or loss when incurred.

Subsequent to initial recognition, these instruments are measured as detailed below:

Financial investments at fair value through profit or loss – These assets include listed securities investments and are measured at fair value though profit or loss, fair value being the quoted closing price at the reporting date. Realised gains and losses on disposals of investments and unrealised gains and losses arising from changes in the fair value of these investments are recognised in profit or loss.

Derivative financial assets – These include the group's investments in equity swap derivatives. The fair value of derivatives is the estimated amount that the group would receive or pay to terminate the derivative at the reporting date, taking into account the current relevant market conditions.

Loans receivable and equity derivative cash margin – These include loans to subsidiaries and equity derivative cash margin (required as cash collateral on equity swap derivative positions), which are measured at amortised cost using the effective interest method, less any impairment losses. Interest income is recognised by applying the effective interest rate, except for short-term receivables, when the recognition of interest would be immaterial.

Trade receivables – Trade receivables are measured at amortised cost using the effective interest method, less any impairment losses.

Cash and cash equivalents – Cash and cash equivalents comprise cash balances and call deposits. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of change in value.

Impairment of financial assets – The group recognises a loss allowance for expected credit losses on investments in debt instruments that are measured at amortised cost, lease receivables and trade receivables. The amount of expected credit losses ("ECL") is updated at each reporting date to reflect changes in credit risk since initial recognition of the respective financial instrument.

Tenant receivables are categorised in overall risk buckets based on the deemed credit strength of the tenant/counterparty i.e. categories A through C. Category A counterparties are typically international firms with exceptional credit ratings, category B counterparties tend to be national firms or firms with good credit ratings, while category C tenants usually consist of smaller local counterparties with average to below-average credit ratings. Typical tenant receivables are considered in default after reaching 90 days' arrears. Tenant receivables are written off when there is no reasonable expectation for further recovery and any related mandatory statutory enforcement activity has been concluded.

The group recognises lifetime ECL for trade receivables and lease receivables based on the simplified approach, and it is estimated using a provision matrix based on the group's historical credit loss experience, adjusted for factors that are specific to the debtors, general economic conditions and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including time value of money where appropriate.

For all other financial instruments, the group recognises lifetime ECL when there has been a significant increase in credit risk since initial recognition. However, if the credit risk on the financial instrument has not increased significantly since initial recognition, the group measures the loss allowance for the financial instrument at an amount equal to 12-month ECL.

Lifetime ECL represents the expected credit losses that will result from all possible default events over the expected life of a financial instrument. In contrast, 12-month ECL represents the portion of lifetime ECL that is expected to result from default events on a financial instrument that are possible within 12 months after the reporting date.

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the group compares the risk of a default occurring on the financial instrument at the reporting date with the risk of a default occurring on the financial instrument at the date of initial recognition. In making this assessment, the group considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort.

In particular, the following information is taken into account when assessing whether credit risk has increased significantly since initial recognition:

- An actual or expected deterioration in the financial instrument's external (if available) or internal credit rating;
- Significant deterioration in external market indicators of credit risk for a particular financial instrument;
- Existing or forecast adverse changes in business, financial or economic conditions that are expected to cause a significant decrease in the debtor's ability to meet its debt obligations;
- An actual or expected significant deterioration in the operating results of the debtor; and
- An actual or expected significant adverse change in the regulatory or economic conditions of the debtor that results in a significant decrease in the debtor's ability to meet its debt obligations.

Derecognition of financial assets – A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised where the contractual rights to receive cash flows from the asset have expired.

Interest-bearing borrowings – Interest-bearing borrowings are subsequently measured at amortised cost using the effective interest method.

Trade and other payables and other financial liabilities – Trade and other payables are subsequently measured at amortised cost using the effective interest method. All other financial liabilities, with the exception of derivatives, are accounted for at amortised cost using the effective interest method. Derivative financial liabilities are measured at fair value through profit or loss.

Derecognition of financial liabilities – Financial liabilities (or a portion thereof) are derecognised when the obligation specified in the contract is discharged, cancelled or expires. On derecognition, the difference between the carrying amount of the financial liability and the amount paid for it is recognised directly in profit or loss.

Offset – Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position when the group has a legally enforceable right to set off the recognised amounts, and intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

1. Accounting policies continued

1.5 Stated capital and treasury shares

Ordinary shares are classified as equity. External costs directly attributable to the issue of new shares are shown as a deduction from the proceeds in equity.

Capital raises

When stated capital recognised as equity is repurchased, the amount of the consideration paid, including directly attributable costs, is recognised as a change in equity. Repurchased shares are classified as treasury shares and presented as a deduction from total equity.

When engaging in capital raisings via accelerated bookbuilds, the company recognises a cash receivable from participants and a related derivative financial liability on the date that the bookbuild allocations are confirmed. The derivative financial liability is measured at fair value through profit or loss up to the date of the related share issuance, at which point the derivative financial liability is transferred to stated capital at fair value. On the share issuance date cash received from bookbuild participants is accounted for, with any related foreign exchange gains or losses recognised in profit or loss.

1.6 Employee benefits

Short-term employee benefits

The cost of all short-term employee benefits is recognised during the period in which the employee renders the related service.

The accrual for employee entitlements to salaries, bonuses and annual leave represents the amount which the group has a present obligation to pay as a result of employees' services provided to the statement of financial position date. The group does not provide any retirement or post-retirement benefits.

Share-based payment transactions

The accrual for employee entitlements to salaries, bonuses and annual leave represents the amount which the group has a present obligation to pay as a result of employees' services provided to the statement of financial position date. The group does not provide any retirement or post-retirement benefits.

1.7 Revenue and related expenses

Revenue

Revenue comprises rental revenue and recovery of expenses, excluding value-added tax ("VAT"). Rental revenue from investment property is recognised in profit or loss on a straight-line basis over the term of the lease.

Recovery revenue is recognised in terms of IFRS 15: *Revenue from Contracts with Customers*, in the same period that the benefit relating to the recovered cost is enjoyed by the tenant. The group acts as the principal in respect of recoveries from tenants and the related property operating costs incurred with revenue from recoveries therefore being recognised on a gross basis.

Investment revenue, which primarily comprises dividend income, is recognised as revenue when the shareholder's right to receive payment is established.

Finance and interest income are recognised as revenue on a time-proportion basis using the effective interest method.

Expenses

Service costs and property operating expenses

Service costs for service contracts entered into and property operating expenses are expensed as incurred.

Letting commission and tenant installations

Letting commission and tenant installations are capitalised to investment property and amortised over the period of the lease when they are assessed to be material.

Lease payments

Lease payments relating to short-term leases, that is less than 12 months, are expensed over the term of the lease.

Leases with a term of more than 12 months are accounted for in terms of IFRS 16 as described in note 1.1 above.

The group has only one lease with a term longer than 12 months and the following relates to this lease as at 30 September 2019:

- Right-of-use asset – EUR 273 308 – Included in financial and other assets (refer to note 7).
- Non-current lease liability – EUR 178 475 – Included in other financial liabilities (refer to note 13).
- Current lease liability – EUR 98 146 – Included in other financial liabilities (refer to note 13).
- Net profit or loss impact – EUR (10 606).

1.8 Finance income and finance costs

Finance income comprises interest income and is recognised as it accrues, calculated using the effective interest method. Finance costs comprise interest expense on borrowings calculated using the effective interest method.

1.9 Tax

Income tax

Income tax for the year comprises current and deferred tax. Income tax is recognised in profit or loss except to the extent that it relates to items recognised directly in equity or other comprehensive income.

Current tax

Current tax is the expected tax payable or receivable on the taxable income or loss for that year of assessment, using tax rates enacted or substantively enacted at the reporting date, and any adjustments to tax payable in respect of previous years. The amount of current tax payable or receivable is the best estimate of the tax amount expected to be paid or received. Current tax assets and liabilities are offset only if certain criteria are met.

Deferred tax

Deferred tax is recognised for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences:

- The initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit;
- Goodwill that arises on initial recognition; and
- Differences relating to investments in subsidiaries and jointly controlled entities to the extent that the group is able to control the reversal of the temporary differences and it is probable that they will not reverse in the foreseeable future.

The amount of deferred tax recognised is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates expected to be applied to temporary differences when they reverse, based on tax laws enacted or substantively enacted at the reporting date. Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to either settle current tax liabilities and assets on a net basis or realise the assets and settle the liabilities simultaneously. The group offsets deferred tax assets and liabilities only to the extent that the aforementioned offsetting criteria are met. The deferred tax liabilities relate primarily to cumulative fair value adjustments and statutory tax amortisation allowances on investment properties.

A deferred tax asset is recognised for deductible temporary differences and unused tax losses to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Deferred tax assets and liabilities are offset only if certain criteria are met.

1.10 Foreign currency

Foreign currency transactions

Transactions denominated in currencies other than EUR are translated at the average rate of exchange during the month in which the transaction occurs. The prevailing rate of exchange on the date of a significant transaction is, however, utilised where significant fluctuations in the rate of exchange occur during the month in which the transaction occurs.

Monetary assets and liabilities denominated in foreign currencies are translated at the rates of exchange ruling at the reporting date, with gains and losses recognised in profit or loss. Non-monetary assets and liabilities denominated in foreign currencies that are measured in terms of historical cost are translated using the rates of exchange ruling at the date of the transaction.

Foreign operations

On consolidation, the assets and liabilities of foreign operations are translated to EUR at exchange rates at the reporting date. Income and expense items are translated at the average exchange rates for the period if these rates approximate the exchange rates at the date of the transactions. The resulting exchange differences are recognised in other comprehensive income and accumulated in equity in the foreign currency translation reserve. Such translation differences are reclassified to profit or loss in the period in which the foreign operation is disposed of.

1.11 Distributions and dividends to shareholders

Distributions and dividends to the company's shareholders are recognised as a liability in the period in which it is declared.

1.12 Operating segments

A segment is a distinguishable component of the group that is engaged in providing services (business segments) or in providing services within a particular economic environment (geographic segments), which is subject to risks and returns that are different from those of other segments. The group's operating segments are based on business segments.

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker (the "CODM"). The CODM has been identified jointly as the board and investment committee. The CODM reviews the group's internal reporting in order to assess performance. Management has determined the operating segments based on these reports.

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

1. Accounting policies continued

1.13 Related parties

Related parties in the case of the group include any shareholder who is able to exert a significant influence on the operating policies of the group. Directors, their close family members and any key management personnel of the group are also considered to be related parties.

In the case of the company, related parties would also include subsidiaries, joint ventures and The Greenbay Share Trust.

1.14 Earnings per share

Basic earnings or loss per share is calculated by dividing profit or loss for the year attributable to equity holders by the weighted average number of shares in issue during the year. Headline earnings or loss per share is calculated by dividing headline earnings or loss by the weighted average number of shares in issue during the year. Headline earnings per share is determined based on Circular 4/2018 issued by the South African Institute of Chartered Accountants.

Diluted earnings or loss per share is calculated by dividing profit or loss for the year attributable to equity holders by the weighted average number of shares in issue, adjusted for the potential dilutive impact of outstanding share options. The company has no dilutive instruments in issue.

Diluted headline earnings or loss per share is calculated by dividing headline earnings or loss by the weighted average number of shares in issue, adjusted for the potential dilutive impact of outstanding share options acquired. The company has no dilutive instruments in issue.

1.15 Distributable earnings per share

The group presents distributable earnings per share, in accordance with its distribution policy.

Distributable earnings per share is calculated by dividing the distributable profit (earnings plus deferred tax, adjusted for fair value movements, capital gains/losses on disposal, foreign exchange gains/losses, impairments and any other adjustments that the board may consider necessary) for the period by the number of shares in issue which are entitled to receive distributions and dividends at the reporting date. Refer to the analysis on page 89 for a reconciliation of profit or loss for the year attributable to equity holders with distributable earnings for the year.

1.16 Non-distributable reserve

Transfers of stated capital to reserves and returns of capital to shareholders are included in and deducted from non-distributable reserve, respectively. All realised and unrealised gains and losses considered to be of a capital nature, as well as foreign exchange gains and losses are transferred to non-distributable reserve. Only distributions of a capital nature may be made from the non-distributable reserve, in accordance with the company's constitution. Distributions of an income nature have to be made from the company's retained earnings in terms of regulatory requirements and the board's policy.

2. Financial risk management

The group has exposure to the following risks from its use of financial instruments:

- Credit risk;
- Liquidity risk; and
- Market risk (including currency risk, interest rate risk and price risk).

This note presents information about the group's exposure to each of the above risks, the group's objectives, policies and processes for measuring and managing risk and the group's management of capital. Further quantitative disclosures are included throughout these financial statements (refer to note 24).

The board of directors has overall responsibility for the establishment and oversight of the group's risk management framework. The board has delegated the responsibility for developing and monitoring the group's risk management policies to the risk committee. The committee reports to the board of directors on its activities. The risk committee oversees how management monitors compliance with the group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the group.

The group's risk management policies are established to identify and analyse the risks faced by the group, to set appropriate risk limits and controls and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the group's activities.

2.1 Credit risk

Credit risk is the risk of financial loss to the group if a counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the group's investments in listed securities and equity swap derivatives, loans, equity derivative cash margin, receivables and cash and cash equivalents.

Investments and equity swap derivative cash margin

The group invests in listed securities by means of direct investments and by utilising equity swap derivatives, with the corresponding cash margin, with recognised financial institutions. The group limits its exposure to credit risk by investing in liquid securities and with globally recognised financial institutions and/or counterparties that are listed on a recognised stock exchange. The group has policies and procedures in place to mitigate the credit risk associated with equity swap derivatives. Counterparty credit risk is monitored and any changes thereto are analysed and policies are in place to mitigate any risks associated with increased counterparty credit risk.

The company utilises equity swap derivatives to obtain exposure to listed real estate and infrastructure companies, for which an equity derivative margin (cash or other collateral) of between 35% and 90% (2018: between 12% and 45%) of the gross exposure is required. The margin requirement is specific to each underlying security. Also refer to notes 4, 7 and 24.3.2.

Trade and other receivables and investment income receivable

Tenant receivables

The group's exposure to credit risk is mainly in respect of retail property tenants and is influenced by the individual characteristics of each tenant. The group's widespread tenant base reduces credit risk. A large proportion of the group's tenant receivables are listed and multinational companies which reduces the credit risk. A credit policy is in place whereby each new tenant is analysed individually for creditworthiness before appropriate payment terms and conditions are offered which include, in the majority of cases, the provision of a deposit or guarantee of at least one month's rental. When available, the group's credit review considers external ratings. Lighthouse follows the provision matrix approach allowed by IFRS 9 to assess the impairments of tenant receivables, by grouping receivables by country, business sector and classification category. An expected credit loss ("ECL") rate is calculated for each group using, among other factors, historical credit loss experience adjusted for in-country consumer confidence indices and retail sales growth figures, expected credit lifecycles and collection ratios.

These ECL rates are then applied to the relevant groups of tenant receivables to calculate the impairment loss allowance at each reporting period end.

Receivables related to listed investment securities and cash and cash equivalents:

- Listed investment securities receivables comprise equity swap derivatives cash margin, fair value of currency derivatives, fair value of interest rate derivatives, equity swap derivatives settlement receivable and receivable for securities sold. The exposure to credit risk is limited by entering into securities transactions and investing cash and cash equivalents with counterparties that have a high percentage tier-one capital and strong credit ratings assigned by international credit rating agencies.

Lighthouse Share Incentive loans

The group's exposure to credit risk is influenced by the security provided for the loan and also the characteristics of each borrower, who are employees of the group.

The group establishes a loss allowance for credit losses that represents its estimate of specific losses to be incurred in the event of the borrowers' inability to meet their commitments, as adjusted for security held.

Cash and cash equivalents

The group's exposure to credit risk is limited through the use of financial institutions of good standing for investment and cash handling purposes.

2.2 Liquidity risk

Liquidity risk is the risk that the group will not be able to meet its financial obligations, comprising interest-bearing borrowings, financial liabilities and trade and other payables, as they fall due. The group's approach to managing liquidity is to ensure, as far as possible, that it always has sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the group's reputation. In this respect, the group prepares cash flow analyses and forecasts which enable the directors to assess the level of financing required in future periods.

The board of directors agree on gearing parameters for the group and the gearing levels are consistently monitored, taking into account the fluctuations in the underlying investments. The group has consistently remained within its authorised gearing parameters.

Typically, the group ensures that it has sufficient cash on demand to meet expected operational expenses, including the servicing of financial obligations. The group generates a significant amount of cash from dividends received from listed security investments. Management is able to accurately budget the respective cash inflows as the dividend policies of the underlying investments are published in advance. This excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters or extreme market events.

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

2. Financial risk management continued

2.3 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

The group invests in derivatives in order to manage market risks. All such transactions are carried out within the guidelines set by the risk, investment and audit committees. The investment committee together with the risk committee determine parameters by which investments in listed securities are made, taking into account an appropriate margin of safety regarding the collateral pool to ensure the portfolio is able to withstand volatile market movements.

Currency risk

The group is exposed to foreign currency risk on investments denominated in Australian Dollar ("AUD"), Canadian Dollar ("CAD"), Hong Kong Dollar ("HKD"), Singapore Dollar ("SGD"), Pound Sterling ("GBP") and United States Dollar ("USD"). The group mitigates a portion of the risk associated with exposure to foreign currency fluctuations by borrowing in the same currency as the underlying investment. In addition, the group hedges its exposure to currency fluctuations on distributable income through the use of currency forwards. The group does not apply hedge accounting in terms of IFRS.

Interest rate risk

The group is exposed to interest rate risk on its loans to subsidiaries and joint venture, interest-bearing borrowings, lease liabilities and cash and cash equivalents.

Loans to subsidiaries and joint venture, interest-bearing borrowings and cash and cash equivalents bear interest at rates linked to the base lending rate in the jurisdiction to which they relate. The group adopts a policy of hedging at least 80% of the direct property-related borrowings' exposure to interest rate risk. This is achieved primarily by entering into interest rate caps.

Equity price risk

The group is exposed to equity price risk on its listed securities investments and equity swap derivatives. It limits its exposure to equity price risk by only investing in liquid securities that are listed on a recognised stock exchange and where the directors are in agreement with the business strategy implemented by such companies.

Fair values

The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency and those prices represent actual and regularly occurring market transactions on an arm's length basis. The quoted market price used for financial assets held by the group is the current closing price. These instruments are included in level 1. Instruments included in level 1 comprise quoted equity investments classified as fair value through profit or loss.

The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques. These valuation techniques maximise the use of observable market data where it is available and rely as little as possible on specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3. Specific valuation techniques used to value financial instruments include:

- Quoted market prices or dealer quotes for similar instruments; or
- Other techniques, such as discounted cash flow analysis, are used to determine fair value for the remaining financial instruments.

The nominal value less estimated credit adjustments of trade receivables and payables are assumed to approximate their fair values due to the short-term nature of these instruments. The fair value of financial liabilities for disclosure purposes is estimated by discounting the future contractual cash flows at the current market interest rate that is available to the group for similar financial instruments.

2.4 Investment property

The group's investment properties are valued internally by management at interim reporting periods and externally by reputable independent valuers at the financial year end.

External independent valuers who have appropriate recognised professional qualifications and recent experience in the location and category of the properties being valued, value the group's investment properties every year, excluding those properties acquired within six months of the reporting date, for which management views the purchase price as an appropriate measure of the fair value, in the absence of clear indicators to the contrary. The fair values are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an orderly transaction after proper marketing wherein the parties had each acted knowledgeably, prudently and without compulsion. In the absence of current prices in an active market, the valuations are prepared by considering the aggregate of the estimated cash flows expected to be received from renting out the property. A yield that reflects the specific risks inherent in the net cash flows is then applied to the net annual cash flows to arrive at the property valuation. Valuations reflect, when appropriate: the type of tenants actually in occupation or responsible for meeting lease commitments or likely to be in occupation after letting vacant space and the market's general perception of their creditworthiness; the allocation of maintenance and insurance responsibilities between the group and the lessee; and the remaining economic life of the property.

2.5 Capital management

The group considers the equity attributable to equity holders as the permanent capital of the group. The board's policy is to maintain an adequate capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The board also monitors the level of distributions and dividends to shareholders. The board seeks to maintain a balance between the higher returns that may be possible with higher levels of borrowings and the advantages and security afforded by a sound capital position.

The board's objectives when managing capital are:

- To safeguard the group's ability to continue as a going concern, so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- To provide an adequate return to shareholders by pricing products and services commensurately with the level of risk.

Neither the company nor any of its subsidiaries are subject to externally imposed capital requirements. The board monitors capital on the basis of gearing. Gearing is calculated by dividing total interest-bearing borrowings adjusted for cash on hand and equity swap derivative margin, by the total of investments in property, gross listed securities and loans advanced. At 30 September 2019, gearing was 31,0% (2018: 8,3%).

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

3. Investment property, straight-lining of rental revenue adjustment and investment property under development

	GROUP	
	2019 EUR	2018 EUR
Investment in property comprises:		
Investment property	301 229 216	293 068 812
Straight-lining of rental revenue adjustment	(27 609)	(375 100)
Total investment property	301 201 607	292 693 712
Details of the investment property are as follows:		
At cost	304 490 296	293 125 558
Fair value adjustments	(3 261 080)	(56 746)
Straight-lining of rental revenue adjustment	(27 609)	(375 100)
Investment property at fair value	301 201 607	292 693 712
Movement in investment property is as follows:		
Carrying amount at the beginning of the year	292 693 712	57 500 000
Additions from acquisitions through business combinations	–	234 901 000
Costs capitalised	11 364 738	1 078 504
Fair value losses	(3 204 334)	(846 180)
Straight-lining of rental revenue adjustment	347 491	60 388
Investment property and adjustment	301 201 607	292 693 712
Details of investment property under development are as follows:		
Carrying amount at the beginning of the year	–	13 942 548
Additions and costs capitalised	–	57 264
Disposals	–	(13 999 812)
Investment property under development	–	–
Movement in investment property under development is as follows:		
Disposals	–	13 999 812
Profit on disposal	–	2 200 188
Proceeds from disposal	–	16 200 000

A register of investment property is available for inspection at the registered office of the company (refer to pages 4 and 5).

The group's investment property was externally valued by independent valuers with recognised and relevant qualifications and with recent experience in the location and category of the investment property being valued. Details as follows:

- Valuer of Forum Coimbra (Coimbra, Portugal): JLL Portugal. The valuers are registered with the Royal Institute of Chartered Surveyors.
- Valuer of Forum Viseu (Viseu, Portugal): JLL Portugal. The valuers are registered with the Royal Institute of Chartered Surveyors.
- Valuer of Planet Koper (Koper, Slovenia): NAI Significa. The valuers are Certified Real Estate Valuers.

The valuations were done on an open-market basis and with consideration of the future earnings potential and appropriate capitalisation rates for the properties.

The fair value of investment property determined is supported by market evidence. The valuations provided by the external valuers have been recognised without adjustment.

3. Investment property, straight-lining of rental revenue adjustment and investment property under development continued

Investment property is categorised as level 3 in the fair value hierarchy. Refer to note 24.4 for further details.

Investment property has been mortgaged as security for external loans. Refer to note 11 for further details.

Except as disclosed in note 19.2, there are no contractual commitments to purchase, construct or develop investment property or for repairs, maintenance or enhancements at the reporting date.

4. Investments

Listed security investments are categorised as financial assets measured at fair value through profit or loss. The fair values of the listed security investments are determined based on quoted prices in active markets.

	GROUP		COMPANY	
	Total 2019 EUR	Total 2018 EUR	Total 2019 EUR	Total 2018 EUR
Carrying amount[1]	**55 629 216**	348 729 839	**34 856 028**	127 685 490
Cumulative fair value loss	**(9 480 171)**	(25 966 418)	**(9 420 476)**	(12 219 370)
Total investments	**46 149 045**	322 763 421	**25 435 552**	115 466 120
Non-current (level 1)[2]	**43 741 545**	312 464 289	**25 435 552**	115 466 120
Current (level 1)[2]	**2 407 500**	10 299 132	**–**	–
The currency profile of listed security investments and derivatives is disclosed in the segmental analysis (refer to pages 76 to 79).				
The company utilises equity swap derivatives to obtain exposure to listed real estate and infrastructure companies. These derivatives have the following inherent components (also refer to notes 7 and 11):				
Gross equity swap derivative exposure to listed investments	**26 344 395**	366 877 956	**15 559 100**	174 583 561
Equity swap derivative implied interest-bearing borrowings	**(26 344 395)**	(366 877 956)	**(15 559 100)**	(174 583 561)
Net equity swap derivative exposure	**–**	–	**–**	–
Gross exposure to listed equity securities	**72 493 440**	689 641 377	**40 994 652**	290 049 681

[1] On 8 October 2018 and 10 December 2018, respectively, the company repaid EUR 600 million (EUR 300 million on each date) of capital to shareholders. The returns of capital were funded primarily by selling listed securities' investments and utilisation of internal cash resources.

[2] Refer to note 24.4 for additional details.

The schedule of top listed investments per gross listed exposure is provided on page 3 of this report.

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

5. Investment in and loans to subsidiaries

	Main business	Incorporated in and place of business
Subsidiaries		
Lighthouse One Limited ("Lighthouse One")[1, 10, 14]	Investment and intermediate holding company	Mauritius
Lighthouse Investments Limited ("Lighthouse Investments")[1, 11,15]	Group finance company	Mauritius
Lighthouse One UK Limited ("Lighthouse One UK")[1, 2, 12, 16]	Intermediate holding company	United Kingdom
Lighthouse Netherlands B.V. ("Lighthouse Netherlands")[1, 3, 9, 13, 17]	Intermediate holding company	Netherlands
Lighthouse Investments d.o.o. ("Lighthouse Investments doo")[1, 4, 7, 18]	Property owning and operating company	Slovenia
Greenbay Tivoli d.o.o. ("Greenbay Tivoli doo")[1, 4, 19, 20]	Dormant company	Slovenia
LocaViseu –Sociedade de Gestão de Imóveis, S.A. ("LocaViseu")[1, 4, 6]	Intermediate holding company	Portugal
RPPSE Forum Coimbra – Sociedade Imobiliária, S.A. ("RPPSE Forum Coimbra")[1, 5, 6, 8]	Property owning and operating company	Portugal
RPPSE Forum Viseu – Sociedade Imobiliária, S.A. ("RPPSE Forum Viseu")[1, 5, 6, 8]	Property owning and operating company	Portugal
Gross balances as at the reporting date		
Cumulative impairments recognised:		
– Investment in Lighthouse One		
Net balances as at the reporting date		
Investment in and loans to subsidiaries – non-current		
Investment in and loans to subsidiaries – current		
Loans to subsidiaries – current		
Interest-bearing loans to subsidiaries – current		
Non-interest-bearing loans to subsidiaries – current		
Net balances as at the reporting date		

[1] *30 September financial reporting date.*

[2] *Share capital held through Lighthouse One Limited. The company is an indirect wholly-owned subsidiary.*

[3] *Share capital held through Lighthouse One UK Limited. The company is an indirect wholly-owned subsidiary.*

[4] *Share capital held through Lighthouse Netherlands B.V. The company is an indirect wholly-owned subsidiary.*

[5] *Share capital held through LocaViseu – Sociedade de Gestão de Imóveis, S.A. The company is an indirect wholly-owned subsidiary.*

[6] *The group acquired a 50% effective interest in the company with effect from 31 May 2017, and the company became a wholly-owned subsidiary of the group with effect from 2 August 2018.*

[7] *The property owning company pays asset management fees of 0,80% p.a. on the most recent fair value of investment properties to its shareholder.*

[8] *The property owning company pays asset management fees of 0,65% p.a. on the most recent fair value of investment properties to Lighthouse Netherlands B.V.*

[9] *The company pays asset management fees of 7,5% (2018: 50%) p.a. of asset management fee income received from Portugal to its shareholder. The decrease in asset management fees is as a result of a significant reduction in scope of services rendered by the company.*

[10] *Lighthouse One Limited had stated capital of EUR 8 250 200 as at 30 September 2018. During the 2019 financial year, the company increased its investment in Lighthouse One by issuing additional shares and capitalising part of its shareholder's loan as payment for the share issuance.*

[11] *Lighthouse Investments Limited had stated capital of EUR 200 as at 30 September 2018.*

[12] *Lighthouse One UK Limited had share capital of EUR 17 200 000 as at 30 September 2018.*

COMPANY								
Effective interest 2019 %	Effective interest 2018 %	Stated/ share capital[21] 2019 EUR	Investment 2019 EUR	Loan amount 2019 EUR	Total 2019 EUR	Investment 2018 EUR	Loan amount 2018 EUR	Total 2018 EUR
100	100	17 200 000	47 200 000	25 373 857	72 573 857	8 250 200	339 310 832	347 561 032
100	100	200	200	158 561 479	158 561 679	200	264 514 049	264 514 249
100	100	17 200 000	–	269 273	269 273	–	117 027	117 027
100	100	17 200 000	–	–	–	–	529 435	529 435
100	100	12 507 500	–	–	–	–	–	–
100	100	7 500	–	–	–	–	–	–
100	100	50 000	–	–	–	–	–	–
100	100	50 000	–	–	–	–	–	–
100	100	50 000	–	–	–	–	–	–
		64 265 200	47 200 200	184 204 609	231 404 809	8 250 400	604 471 343	612 721 743
			(21 360 357)	–	(21 360 357)	–	–	–
		64 265 200	25 839 843	184 204 609	210 044 452	8 250 400	604 471 343	612 721 743
			25 839 843	183 935 336	209 775 179	8 250 400	588 436 306	596 686 706
			–	269 273	269 273	–	16 035 037	16 035 037
			–	–	–	–	15 388 776	15 388 776
			–	269 273	269 273	–	646 261	646 261
			25 839 843	184 204 609	210 044 452	8 250 400	604 471 343	612 721 743

[13] *Lighthouse Netherlands B.V. had share capital of EUR 17 200 000 as at 30 September 2018.*

[14] *Lighthouse One Limited changed its name from Greenbay Investments 1 Limited during the 2019 reporting period.*

[15] *Lighthouse Investments Limited changed its name from Greenbay Investments 2 Limited during the 2019 reporting period.*

[16] *Lighthouse One UK Limited changed its name from Greenbay Investments UK Limited during the 2019 reporting period.*

[17] *Lighthouse Netherlands B.V. changed its name from Greenbay Netherlands B.V. during the 2019 reporting period.*

[18] *Lighthouse Investments d.o.o. changed its name from Greenbay Investments d.o.o. during the 2019 reporting period.*

[19] *Greenbay Tivoli d.o.o. has no operating activities and is in the process of being unwound.*

[20] *Greenbay Tivoli d.o.o. had share capital of EUR 4 007 500 as of 30 September 2018. During the 2019 financial year, EUR 4 million of Greenbay Tivoli's stated capital has been repaid to its shareholder, Lighthouse Netherlands B.V.*

[21] *Unless disclosed otherwise in the notes above, the stated capital of the relevant entity was similar in 2019 and 2018.*

The class of shares held in subsidiary companies consists only of ordinary share capital.

Amounts owing by subsidiaries are unsecured, some of which bear interest at fixed rates agreed from time to time, and the terms of repayment are:

- Range of interest rates: 0% to 7,50% p.a.; and
- Range of maturity dates: nil to ten years.

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

6. Impairments

	GROUP		COMPANY	
	Total 2019 EUR	Total 2018 EUR	Total 2019 EUR	Total 2018 EUR
Impairment reversals/(expenses) recognised during the financial reporting period:				
– Investment in Lighthouse One Limited[1]			**(21 360 357)**	–
– Share Incentive loans[2]	**36 350**	(2 249 582)	**36 350**	(2 249 582)
Total impairment reversal/(expense) recognised in profit or loss	**36 350**	(2 249 582)	**(21 324 007)**	(2 249 582)

[1] *Refer to note 5 for further details.*

[2] *Refer to notes 7 and 8 for further details.*

7. Financial and other assets

	GROUP		COMPANY	
	Total 2019 EUR	Total 2018 EUR	Total 2019 EUR	Total 2018 EUR
Financial assets				
Share Incentive loans (refer to note 8)	**–**	243 728	**–**	2 460 036
Equity derivative cash margin[1]	**18 752 263**	55 829 855	**6 383 877**	48 424 416
– Merrill Lynch	**6 383 877**	–	**6 383 877**	–
– Bank of America	**–**	48 424 415	**–**	48 424 416
– JP Morgan	**3 580 000**	7 405 440	**–**	–
– Morgan Stanley	**8 788 386**	–	**–**	–
Fair value of currency derivatives (level 2)	**–**	235 244	**–**	42 934
Fair value of interest rate derivatives (level 2)	**430 407**	207 511	**15 149**	172 162
Total financial assets	**19 182 670**	56 516 338	**6 399 026**	51 099 548
Other assets				
Right-of-use asset – lease[2]	**273 308**	–	**–**	–
Other non-financial assets	**–**	4 057 292	**–**	282 100
Total other assets	**273 308**	4 057 292	**–**	282 100
Total financial and other assets	**19 455 978**	60 573 630	**6 399 026**	51 381 648
Financial assets – non-current	**19 182 670**	56 362 124	**6 399 026**	51 056 614
Other assets – non-current	**273 308**	3 478 720	**–**	195 584
Total financial and other assets – non-current	**19 455 978**	59 840 844	**6 399 026**	51 252 198
Financial assets – current	**–**	154 214	**–**	42 934
Other assets – current	**–**	578 572	**–**	86 516
Total financial and other assets – current	**–**	732 786	**–**	129 450
Financial assets measured at fair value through profit or loss (refer to note 24.4)	**–**	–	**–**	–
Financial assets – non-current (level 2)	**430 407**	288 541	**15 149**	172 162
Financial assets – current (level 2)	**–**	154 214	**–**	42 934
Total financial assets at fair value	**430 407**	442 755	**15 149**	215 096

[1] *The company utilises equity swap derivatives to obtain exposure to listed real estate and infrastructure companies, for which an equity derivative margin (cash or other collateral) of between 35% and 90% (2018: between 12% and 45%) of the gross exposure is required. The margin requirement is specific to each underlying security. Also refer to notes 4 and 24.3.2.*

[2] *The right-of-use lease asset relates to the lease of the group office in Amsterdam.*

8. Share Incentive

The movements in the Lighthouse share incentive ("Share Incentive") balances were approved by the board during the reporting period. The purpose of the scheme is to provide employees with an incentive linked to the growth of the company's long-term value as measured by the share price. This form of long-term incentivisation is designed to align employees' interests with those of the company, in order to contribute to the achievement of the company's objectives and enhance shareholder value. Employees are allocated short-term and long-term incentive shares, which vest immediately and up to five years, respectively. Employees are also afforded the opportunity to obtain five-year loan facilities to purchase Lighthouse shares, which are pledged as security for the aforesaid loans. Distributions received on pledged shares are applied to settle the interest payable on the loans, with any excess applied to reduce the outstanding loan balance. During 2019 and 2018, the share incentive loans earned variable interest at the group's weighted average cost of interest-bearing borrowings. Due to the company's change in strategy and the return of EUR 600 million of capital to shareholders late in 2018, the board decided to unwind the current Share Incentive. The Greenbay Share Trust transferred Incentive Shares, subsequent to the settlement of related debt, to participants' accounts on or about 31 January 2019, after which The Greenbay Share Trust was unwound and deregistered.

	GROUP	COMPANY
	2019 EUR	2019 EUR
Reversal of impairment related to Share Incentive loans	**36 350**	**36 350**

	GROUP AND COMPANY		GROUP	COMPANY
	% of issued shares[1] 2018	Number of shares 2018	Loan balance 2018 EUR	Loan balance 2018 EUR
Gross loan balance[2]			2 493 310	4 709 618
Loan impairments			(2 249 582)	(2 249 582)
Shares issued to directors and employees in terms of the Share Incentive	0,43	2 029 757	243 728	2 460 036

1 *% of issued shares based on the total issued shares, without adjustment for the treasury shares held at the reporting date.*

2 *1 820 726 (post-consolidation shares) of the Share Incentive shares were held by The Greenbay Share Trust and were recognised as treasury shares in the consolidated financial statements. The corresponding loans have been eliminated on consolidation.*

The participants in the Share Incentive carried the risk associated with the shares issued to them.

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

8. Share Incentive continued

Group and company

The Share Incentive loans bore interest at an average rate of 1,84% for the year ended 30 September 2019 (2018: 1,84%). The 2018 loans were secured by 2,030 million shares in Lighthouse with a 2018 fair value of approximately EUR 3,248 million. The reporting date fair value of the security was based on the company's closing share price. There were no Incentive loans outstanding or related shares pledged as of the 2019 reporting date.

At the 2018 reporting date, the amounts outstanding of several individual loans exceeded the amounts of the related shares' security value, which led to the recognition of impairment losses.

Outstanding loans were repayable on the fifth anniversary of the loans being granted. 1 820 726 post-consolidation shares were issued to The Greenbay Share Trust in terms of the Share Incentive on 14 December 2017. The Share Incentive was unwound by transferring participants' shares, after settlement of any related debt, on or about 31 January 2019 and The Greenbay Share Trust was deregistered.

Details of the shares issued to The Greenbay Share Trust on behalf of directors in terms of the Lighthouse Share Incentive as at 30 September 2018 were as follows:

	Number of shares issued[4]	Date of issue	Issue price – EUR per share (excluding costs)[4]	Employee asset as recorded in financials 2019 EUR	Employee asset as recorded in financials[3] 2018 EUR
Stephen Delport	9 593 765	14 Dec 17	0,15595	–	1 185 884
Kobus van Biljon	4 180 602	8 Jun 16	0,06620	–	243 728
Kobus van Biljon	1 023 335	14 Dec 17	0,15595	–	122 890
Jan Wandrag	647 579	14 Dec 17	0,15595	–	80 047
	15 445 281			–	1 632 549

[1] 1 820 726 (post-consolidation shares) of the Share Incentive shares were held by The Greenbay Share Trust and were recognised as treasury shares in the consolidated financial statements. The corresponding loans were eliminated on consolidation.

[2] % of issued shares based on the total issued shares, without adjustment for the treasury shares held at the reporting date.

[3] Gross loan value (excluding any impairment loss) at the reporting date.

[4] Number of shares issued and corresponding issue price are both pre-share consolidation numbers i.e. the prior year figures have not been adjusted for the company's 1 for 20 share consolidation.

9. Trade and other receivables

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
Trade and other receivables include the following:				
Tenant receivables	**2 270 050**	2 598 074	**–**	–
Equity swap derivatives settlement receivable	**1 976 742**	2 416 999	**1 704 100**	1 046 545
VAT receivable	**885 238**	–	**–**	–
Receivable for securities sold	**656 780**	7 318 306	**–**	581 777
Other receivables	**561 554**	307 035	**40 432**	795
Prepayments	**204 822**	110 016	**–**	–
Share Incentive loans – outstanding settlement for shares sold received after reporting date	**–**	279 006	**–**	279 006
Trade and other receivables	**6 555 186**	13 029 436	**1 744 532**	1 908 123

The maximum exposure to credit risk at the reporting date pertaining to these receivables is the carrying amount of the receivables. Refer to note 24.1 for additional details on credit risk of trade and other receivables. Also refer to notes 1.1 and 1.4 regarding the implementation of and accounting policies related to IFRS 9 and trade receivables.

The company does not hold collateral as security. The group holds limited bank guarantees and tenant deposits as security for certain tenant receivables.

10. Stated capital

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
Authorised[1, 2]				
832 790 136 (2018: 919 321 650) ordinary shares of no par value				
Issued[1, 2]				
457 790 136 (2018: 455 969 410) ordinary shares of no par value at an average of approximately EUR 0,318 (2018: EUR 1,317) per share[3]	**145 801 666**	600 703 936	**145 801 666**	600 703 936

[1] *The company's shares have been consolidated on a 1 for 20 basis, effective from 18 December 2018. The comparative period's shares have been restated for this share consolidation.*

[2] *The company has only one class of shares in issue. Accordingly, there are no special rights, preferences, or restrictions attached to any of the authorised or issued shares.*

[3] *No transaction costs were recognised as a deduction from equity in the current year (2018: EUR 0,02 million).*

10.1 Transfers from stated capital to non-distributable reserve, repayments of capital, share consolidation and share cancellation

- Shareholders authorised the transfer or EUR 400 million from stated capital to non-distributable reserve at a general meeting of the company held on 2 August 2018.
- On 21 September 2018, the company's board authorised a return of capital of EUR 300 million from non-distributable reserve, paid to shareholders on 8 October 2018. The returns of capital were funded primarily by selling listed securities' investments and utilisation of internal cash resources.
- Shareholders authorised the transfer or EUR 450 million from stated capital to non-distributable reserve at a general meeting of the company held on 26 November 2018.
- On 27 November 2018, the company's board authorised a return of capital of EUR 300 million from non-distributable reserve, paid to shareholders on 10 December 2018. The returns of capital were funded primarily by selling listed securities' investments and utilisation of internal cash resources.
- The company's shares have been consolidated on a 1 for 20 basis, effective from 18 December 2018.
- The company cancelled 16 615 159 treasury shares on or about 24 January 2019.

10.2 Reconciliation of movement in issued shares during the year[1]

	GROUP		COMPANY	
	2019 Shares	2018 Shares[1]	2019 Shares	2018 Shares[1]
Balance at the beginning of the year	**455 969 410**	466 108 797	**474 405 295**	466 108 797
Shares issued by way of scrip distribution:				
20 December 2017	**–**	6 475 772	**–**	6 475 772
Incentive shares issued to The Greenbay Share Trust on 14 December 2017[2]	**–**	–	**–**	1 820 726
Cancelled or acquired during the year[3, 4]	**–**	(16 615 159)	**(16 615 159)**	–
Incentive shares released from The Greenbay Share Trust on 31 January 2019[5]	**1 820 726**	–	**–**	–
Balance at the end of the year	**457 790 136**	455 969 410	**457 790 136**	474 405 295

[1] *Shares have been restated to post-consolidation equivalents where relevant.*

Treasury shares at 30 September 2018:[1]

[2] *The group held 1 820 726 treasury shares in The Greenbay Share Trust.*

[3] *The group held 16 615 159 treasury shares in Lighthouse One Limited. The treasury shares were acquired between 12 June 2018 and 28 September 2018, excluding regulatory closed periods.*

[4] *The company received an in specie dividend from Lighthouse One Limited and cancelled 16 615 159 treasury shares on or about 24 January 2019.*

[5] *The Greenbay Share Trust released and transferred 1 820 726 Incentive shares to participants on or about 31 January 2019.*

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

10. Stated capital continued

10.3 Treasury shares

	GROUP	
	2019 EUR	2018 EUR
Opening balance	(17 378 683)	–
Shares cancelled/repurchased during the year	4 944 161	(26 778 785)
Consolidation of The Greenbay Share Trust	(44 547)	(2 258 199)
Return of capital distribution	11 658 301	11 658 301
Distribution paid – final 2018: cash (paid 7 January 2019)	820 768	–
Closing balance	–	(17 378 683)

11. Interest-bearing borrowings

The group's interest-bearing borrowings comprise short-term and long-term interest-bearing borrowings and facilities. The borrowing facilities, together with shareholder equity, are used to fund the company's investment and operating activities. The company's investment mandate allows borrowings of up to 45% of the total qualifying asset value ("gearing ratio").

	GROUP	
	2019 %	2018 %
Gearing ratio*	31,0	8,3

* *The gearing ratio is calculated by dividing total interest-bearing borrowings, adjusted for cash and cash equivalents and equity swap derivative cash margin, by the total of investments in property, listed securities (including the gross exposure to equity swap derivatives) and loans advanced.*

The group's exposure to interest rate, foreign currency and liquidity risk is discussed in note 24.

	GROUP			
	Nominal interest rate 2019	Maturity 2019	Fair value[3] 2019 EUR	Carrying amount 2019 EUR
Interest-bearing borrowings				
Forums Coimbra and Viseu – term loan	Fixed 2,40%[1]	Jun 2022	102 922 005	101 818 253
Koper Mall – term loan	Euribor plus 2,75%[2]	Dec 2026	23 460 898	23 460 898
Current portion included in current liabilities			(1 052 685)	(1 052 685)
Total interest-bearing borrowings			125 330 218	124 226 466

11. Interest-bearing borrowings continued

	GROUP			
	Nominal interest rate 2018	Maturity 2018	Fair value[3] 2018 EUR	Carrying amount 2018 EUR
Interest-bearing borrowings				
Forums Coimbra and Viseu – term loan	Fixed 2,40%[1]	Jun 2022	101 511 765	101 511 765
Koper Mall – term loan	Euribor plus 2,75%[2]	Dec 2026	24 810 348	24 810 348
Current portion included in current liabilities			(1 443 902)	(1 443 902)
Total interest-bearing borrowings			124 878 211	124 878 211

[1] *The fixed interest rate is subject to a 4% stamp duty on interest i.e. the nominal interest rate payable is approximately 2,50% p.a. (including stamp duties).*

[2] *The Euribor floating interest rate is subject to a minimum (floor) of 0% i.e. the minimum total interest rate payable is 2,75% p.a.*

[3] *The carrying amounts of the loans approximate fair value, as the terms are substantially market-related (including interest rates and covenants). A minor fair value difference related to the fixed rate component of the Forums Coimbra and Viseu loans has been noted.*

Interest-bearing borrowings are secured by the following:

	GROUP	
	Investment property[3] 2019 EUR	Investment property[3] 2018 EUR
Security		
Investment property security for interest-bearing borrowings – current and long term[1]	**233 587 000**	234 945 000
Investment property security for interest-bearing borrowings – current and long term[2]	**67 614 607**	57 748 712
	301 201 607	292 693 712

[1] ***Forums Coimbra and Viseu – Syndicate led by ING Bank Sucursal em Portugal***

The group contracted a secured loan facility from ING Bank for Forums Coimbra and Viseu in the amounts of EUR 85,5 million and EUR 17,2 million, respectively. The facilities mature in June 2022 and are repayable in full at maturity. Interest is due quarterly in arrears.

Security: First ranking mortgages over the properties; pledges of credit rights and bank accounts; assignments of receivables; pledge of shares in RPPSE Forum Coimbra and RPPSE Forum Viseu.

Covenants: Loan-to-value ratio of maximum 55% (2018: 60%); interest cover ratio of minimum 2,5; minimum combined net operating income of EUR 9,8 million p.a. Forums Coimbra and Viseu complied with all covenants during 2018 and 2019.

[2] ***Koper Mall – NLB Bank***

The group contracted a secured loan facility from Nova Ljubljanska Banka d.d. for Koper Mall in the amount of EUR 27,5 million, which matures in December 2026 and is repayable in monthly instalments with a final payment of 50%.

Security: A first ranking mortgage over the property; general security over the rental income of Koper Mall; suretyship by Lighthouse Capital Limited; pledge of shares in Lighthouse Investments d.o.o.

Covenants: Loan-to-value ratio of maximum 50%; debt service cover ratio of minimum 1,4; equity ratio at least 0,5; interest cover ratio of minimum 1,4. Lighthouse Investments d.o.o. complied with all covenants during 2018 and 2019.

[3] *Refer to note 3 for additional details.*

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

11. Interest-bearing borrowings continued

Implied interest-bearing borrowings on equity swap derivatives

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
The company utilises equity swap derivatives to obtain exposure to listed real estate and infrastructure companies. These equity swap derivatives have the following inherent components:				
Gross equity swap derivatives exposure to listed investments	**26 344 395**	366 877 956	**15 559 100**	174 583 561
Implied interest-bearing borrowings on equity swap derivatives	**(26 344 395)**	(366 877 956)	**(15 559 100)**	(174 583 561)
Net equity swap derivative exposure	**–**	–	**–**	–
Finance costs on the implied interest-bearing borrowings on equity swap derivatives (included in fair value gains and losses on investments in profit or loss)	**978 988**	10 751 096	**560 343**	6 383 346
Other finance costs	**4 015 460**	2 539 525	**74 321**	441 141
Total finance costs for the year	**4 994 448**	13 290 621	**634 664**	6 824 487

12. Deferred tax

	GROUP	
	2019 EUR	2018 EUR
The deferred tax liability comprises the following:		
Investment property cumulative statutory tax allowances	**12 856 298**	11 968 664
Cumulative fair value adjustments of investment properties	**19 547 529**	20 090 949
Assessed tax losses	**(285 185)**	(187 541)
Other	**(80 656)**	(242 055)
Closing balance at the end of the year	**32 037 986**	31 630 017
Balance at the beginning of the year	**31 630 017**	429 857
Recognised in profit or loss during the year	**407 969**	(52 276)
Acquired in a business combination (refer to note 18.3)	**–**	31 252 436
Closing balance at the end of the year	**32 037 986**	31 630 017

13. Financial liabilities

	GROUP	
	2019 EUR	2018 EUR
Fair value of currency derivatives (level 2)	**1 209 290**	769 783
Fair value of interest rate derivatives (level 2)	**–**	240 937
Tenant deposits	**468 053**	–
Lease liability	**276 621**	115 305
Total financial liabilities	**1 953 964**	1 126 025
Financial liabilities – non-current	**646 528**	535 025
Financial liabilities – current	**1 307 436**	591 000
Total financial liabilities	**1 953 964**	1 126 025
Financial liabilities measured at fair value through profit or loss:		
Financial liabilities – non-current (level 2)*	**–**	419 720
Financial liabilities – current (level 2)*	**1 209 290**	591 000
Financial liabilities held at fair value	**1 209 290**	1 010 720

* *Refer to note 24.4 for additional details.*

14. Trade and other payables

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
Trade and other payables include the following:				
Tenant prepayments	**3 287 146**	381 507	**–**	–
Trade payables	**2 359 047**	6 530 397	**–**	628 134
Accrued expenses	**799 538**	1 247 584	**–**	–
VAT payable	**702 542**	513 680	**–**	–
Other	**763 531**	–	**373 801**	–
Tenant deposits	**–**	306 830	**–**	–
Return of capital payable to shareholders (refer to notes 22 and 24.2)	**–**	288 341 699	**–**	300 000 000
Mark-to-market settlement of equity swap derivatives*	**–**	13 495 520	**–**	5 634 173
Payable for securities purchased	**–**	5 572 156	**–**	–
Total trade and other payables	**7 911 804**	316 389 373	**373 801**	306 262 307

* *The mark-to-market gains/(losses) on the equity swap derivatives reset periodically and require net settlement with the counterparty.*

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

15. Revenue

15.1 Property rental and related revenue

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
Property rental and related revenue includes the following:				
Property rental revenue	**19 086 800**	7 323 407	**–**	–
Service charges to tenants	**6 165 431**	1 495 719	**–**	–
Property rental and related revenue[1, 2, 3]	**25 252 231**	8 819 126	**–**	–

[1] *All property rental and related revenue pertain to investment properties, as disclosed in note 3.*

[2] *Property rental and related revenues of approximately EUR 4,065 million received from the Inditex group exceeded 10% of the group's total revenue during the 2019 financial year. The Inditex revenues for the 2018 financial year were below 10% of group revenues.*

[3] *Substantially all property operating expenses, as disclosed in the statements of profit or loss and other comprehensive income, related to investment properties that generated rental revenue during the period.*

15.2 Investment revenue

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
Investment revenue includes the following:				
Dividend income on listed equity investments	**3 430 437**	17 597 647	**1 615 310**	6 391 362
Derivative premium income	**38 507**	3 510 557	**–**	–
Interest income on equity swap derivatives cash margin	**–**	212 898	**–**	111 938
Total investment revenue	**3 468 944**	21 321 102	**1 615 310**	6 503 300

16. (Loss)/profit before tax

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
(Loss)/profit before tax includes:				
Auditor's remuneration*				
– audit fee	**(108 692)**	(56 424)	**(33 350)**	(46 015)
– other assurance fees	**(5 999)**	(12 495)	**(5 999)**	(12 495)
Brokerage fees	**(364 891)**	(731 609)	**(101 320)**	(194 249)
Directors' remuneration				
– services as director (non-executive directors)	**(108 997)**	(96 000)	**(108 997)**	(96 000)
– other services (executive directors)	**(665 200)**	(822 985)	**(391 563)**	(627 317)
Employee benefits (excluding executive director remuneration)	**(523 881)**	(1 978 671)	**(134 736)**	(975 231)
Transaction costs	**(4 780)**	(498 483)	**–**	–
Travel and accommodation	**(127 747)**	(101 110)	**(6 379)**	(39 729)

* *No non-assurance fees were incurred with respect to the company's auditor for 2019 or 2018.*

16. (Loss)/profit before tax continued

16.1 Non-executive directors' remuneration

For additional details refer to the non-executive directors' remuneration details, included in the remuneration report on pages 50 and 51.

	GROUP AND COMPANY	
	2019 EUR	2018 EUR
Non-executive director		
David C Axten[1]	**11 994**	–
Karen Bodenstein	**22 000**	22 000
Paul Edwards[2]	**17 639**	–
Teddy Lo Seen Chong[3]	**–**	–
Mark C Olivier[4]	**25 297**	25 000
Barry L Stuhler	**25 000**	25 000
Terence A Warren[5]	**7 067**	24 000
	108 997	96 000

[1] *David C Axten was appointed as director of the company on 17 January 2019. David earned non-executive director's fees on a pro-rated basis from the date of his appointment.*

[2] *Paul Edwards was appointed as director of the company on 17 January 2019. Paul earned non-executive director's fees on a pro-rated basis from the date of his appointment.*

[3] *Teddy Lo Seen Chong's remuneration is incorporated with the fees paid by the company to Intercontinental Trust Ltd, the company's company secretary. Teddy resigned as director of the company on 17 January 2019.*

[4] *Mark C Olivier had been an independent non-executive director, when he was appointed as non-executive chairperson of the board of the company on 17 January 2019. The change in Mark's non-executive directors' remuneration was pro-rated from the date of his appointment.*

[5] *Terence A Warren resigned as non-executive chairperson of the board of the company on 17 January 2019. Terence earned non-executive directors' remuneration on a pro-rated basis until the date of his resignation.*

16.2 Executive directors' remuneration

For additional details refer to the executive directors' remuneration details, included in the remuneration report on pages 45 to 49.

	GROUP					
	Salary 2019 EUR	Bonus 2019 EUR	Share incentive 2019 EUR	Salary 2018 EUR	Bonus 2018 EUR	Share incentive 2018 EUR
Executive director						
Stephen E Delport	**244 446**	**20 100**	**–**	203 281	–	299 230
Justin J Muller*	**75 521**	**15 104**	**–**	–	–	–
Jacobus F van Biljon	**168 836**	**14 176**	**–**	163 750	–	31 918
Jan Wandrag	**116 988**	**10 029**	**–**	104 608	–	20 198
	605 791	**59 409**	**–**	471 639	–	351 346

* *Justin J Muller was appointed to the board on 13 May 2019. His remuneration was included only from the date of his appointment to the board.*

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

16. (Loss)/profit before tax continued

16.2 Executive directors' remuneration continued

	COMPANY					
	Salary 2019 EUR	Bonus 2019 EUR	Share incentive 2019 EUR	Salary 2018 EUR	Bonus 2018 EUR	Share incentive 2018 EUR
Executive director						
Stephen E Delport	**244 446**	**20 100**	**–**	203 281	–	299 230
Justin J Muller*	**–**	**–**	**–**	–	–	–
Jacobus F van Biljon	**–**	**–**	**–**	–	–	–
Jan Wandrag	**116 988**	**10 029**	**–**	104 608	–	20 198
	361 434	**30 129**	**–**	307 889	–	319 428

* *Justin J Muller was appointed to the board on 13 May 2019. His remuneration was included only from the date of his appointment to the board.*

17. Income tax

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
Current tax	**(1 557 280)**	(1 171 368)	**(216 467)**	(871 169)
Deferred tax (refer to note 12)	**(407 969)**	52 276	**–**	–
Income tax expense in profit or loss	**(1 965 249)**	(1 119 092)	**(216 467)**	(871 169)

Reconciliation of tax rate

The tax on the loss before taxation differs from the theoretical amount that would arise using the statutory rate of the company as follows:

	GROUP		COMPANY	
	2019 %	2018 %	2019 %	2018 %
Standard tax rate	**15,00**	15,00	**15,00**	15,00
Foreign tax credit*	**(12,00)**	(12,00)	**(12,00)**	(12,00)
Difference in foreign tax rates	**(6,32)**	0,44	**–**	–
Under provision prior year	**0,27**	0,21	**0,32**	0,34
Permanent differences:				
Fair value gain/(loss) on investments and currency, interest rate and other derivatives	**(4,74)**	0,17	**(4,86)**	(0,04)
Other	**(0,34)**	(1,20)	**0,62**	(0,10)
Effective tax rate	**(8,13)**	2,62	**(0,92)**	3,20

* *The company is subject to 15% income tax in Mauritius according to the provisions of the Income Tax Act 1995, as amended.*

As the company holds a Category One Global Business Licence, the Income Tax (Foreign Tax Credit) Regulations 1996 provides for the offsetting of any underlying tax, withholding tax, or tax sparing credit by the company against the 15% tax or a deemed 80% foreign tax credit on the company's foreign source income where written evidence of foreign tax charged is not presented to the tax authorities in Mauritius. Gains on sale of securities are exempted from tax in Mauritius.

18. Notes to the statements of cash flows

18.1 Cash generated from operations

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
(Loss)/profit before tax	**(24 172 061)**	42 736 180	**(23 547 710)**	27 238 974
Adjusted for:				
Finance income	**(997 927)**	(549 841)	**(686 177)**	(570 287)
Interest income from group companies	**–**	–	**(6 987 442)**	(1 426 334)
Fair value loss on investments	**9 105 049**	4 434 523	**3 950 093**	8 401 786
Fair value loss/(gain) on investment property (excl. straight-lining of rental revenue adjustment)	**2 856 843**	(1 414 396)	**–**	–
Fair value loss on currency, interest rate and other derivatives	**4 263 330**	1 139 070	**482 047**	109 845
Impairment of Share Incentive loans	**(36 350)**	2 249 582	**21 324 006**	2 249 582
Foreign exchange loss/(gain) on cash and cash equivalents	**3 288 340**	(13 123 010)	**2 761 871**	(11 266 961)
Dividends received in specie	**–**	–	**(4 902 270)**	–
Share of profit from joint venture	**–**	(7 028 539)	**–**	–
Charges on interest rate derivatives	**–**	361 489	**–**	86 800
Finance costs	**4 015 460**	2 539 525	**74 321**	441 141
	(1 677 316)	31 344 583	**(7 531 261)**	25 264 546
Changes in working capital:				
Decrease/(increase) in trade and other receivables	**6 513 886**	(7 174 193)	**203 227**	4 788 806
(Decrease)/increase in trade and other payables	**(8 511 811)**	6 006 270	**(5 889 114)**	(130 211)
Cash (utilised in)/generated from operations	**(3 675 241)**	30 176 660	**(13 217 148)**	29 923 141

18.2 Income tax paid

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
Income tax payable at the beginning of the year	**973 235**	659 823	**353 094**	659 823
Recognised in profit or loss during the year	**1 557 280**	1 171 368	**216 467**	871 169
Income tax payable acquired in business combination (refer to note 18.3)	**–**	556 754	**–**	–
Income tax payable at the end of the year	**(126 814)**	(973 235)	**39 636**	(353 094)
Income tax paid	**2 403 701**	1 414 710	**609 197**	1 177 898

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

18. Notes to the statements of cash flows continued

18.3 Acquisition of LocaViseu

On 31 May 2017, the group acquired a 50% interest in LocaViseu. The group exercised joint control over the arrangement as a result of a contractual agreement between the group and Resilient Investments B.V., its joint venture partner.
On 2 August 2018, the group acquired the remaining 50% interest in LocaViseu, at which date LocaViseu became a wholly-owned subsidiary of the group and fully consolidated.

	GROUP	
	2019 EUR	2018 EUR
Investment property		(234 901 000)
Trade and other receivables		(2 338 167)
Cash		(12 656 079)
Goodwill[1]		(24 220 132)
Interest-bearing borrowings		101 670 525
Deferred tax		31 252 437
Trade and other payables		6 705 332
	–	(134 487 084)
Post-acquisition reserves		7 629 170
Payment for original purchase		59 151 010
Total purchase price for the remaining 50% of shares and loans	–	(67 706 904)
Estimated remaining purchase price payable as at the reporting date		1 332 839
Cash paid to obtain control	–	(66 374 065)
Plus: Cash acquired	–	12 656 079
Cash paid to obtain control, net of cash acquired	–	(53 717 986)

[1] *The goodwill relates to the deferred tax liability assumed on acquisition. Typically, Iberian property transactions entail the disposal of companies instead of underlying properties and it is management's view that the deferred tax in the LocaViseu group will not become payable. As such, the goodwill balance was assessed for impairment as required by IFRS and no impairment was required as at the reporting date.*

19. Contingent liabilities and commitments

19.1 Contingent liabilities

The only contingent liabilities relevant to the current and prior periods relate to ongoing operational claims, of which final settlement is not likely to be significant.

19.2 Commitments

	GROUP	
	2019 EUR	2018 EUR
The commitments relate to retention and related obligations of the Planet Koper refurbishment project, which was completed during September 2019	**1 365 393**	–

20. (Loss)/earnings and diluted (loss)/earnings per share

The calculation of basic (loss)/earnings per share for the current and prior year is based on:

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
(Loss)/profit for the year attributable to equity holders of the company	**(26 137 310)**	41 617 088	**(23 764 177)**	26 367 805
Weighted average ordinary shares in issue during the year	**457 176 576**	470 721 266	**463 070 570**	472 594 084

The company has no dilutionary instruments in issue.

The weighted average number of shares for basic and diluted earnings per share purposes is presented below:

		GROUP		
2019	**Date/event**	**Number of shares**	**% of year**	**Weighted average**
Monday, 1 October 2018	Opening balance[1]	**455 969 410**	**100**	**455 969 410**
Thursday, 31 January 2019	Unwind share incentive trust	**1 820 726**	**66**	**1 207 166**
Monday, 30 September 2019	Reporting date	**457 790 136**		**457 176 576**

		COMPANY		
2019	**Date/event**	**Number of shares**	**% of year**	**Weighted average**
Monday, 1 October 2018	Opening balance[1]	**474 405 295**	**100**	**474 405 295**
Thursday, 24 January 2019	Cancelled shares	**(16 615 159)**	**68**	**(11 334 725)**
Monday, 30 September 2019	Reporting date	**457 790 136**		**463 070 570**

		GROUP		
2018	**Date/event**	**Number of shares**	**% of year**	**Weighted average**
Sunday, 1 October 2017	Opening balance[1]	466 108 797	100	466 108 797
Wednesday, 20 December 2017	Scrip distribution	6 475 772	78	5 038 683
Various dates	Share repurchases[2]	(16 615 159)	3	(426 214)
Sunday, 30 September 2018	Reporting date	455 969 410		470 721 266

		COMPANY		
2018	**Date/event**	**Number of shares**	**% of year**	**Weighted average**
Sunday, 1 October 2017	Opening balance[1]	466 108 797	100	466 108 797
Wednesday, 20 December 2017	Scrip distribution	1 820 726	79	1 446 604
Various dates	Share repurchases[2]	6 475 772	78	5 038 683
Sunday, 30 September 2018	Reporting date	474 405 295		472 594 084

1 The shares have been restated for the company's 1 for 20 share consolidation. Refer to note 10 for additional information.

2 Treasury shares at 30 September 2018:

- *The group held 1 820 726 post-consolidation treasury shares in The Greenbay Share Trust, which was consolidated as a result of deemed control in terms of IFRS.*
- *The group held 36 414 535 post-consolidation treasury shares in Lighthouse One Limited. The treasury shares were acquired between 12 June 2018 and 28 September 2018, excluding regulatory closed periods.*

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

21. Headline (loss)/earnings and diluted headline (loss)/earnings per share

	GROUP			
	Gross 2019 EUR	Net[1] 2019 EUR	Gross 2018 EUR	Net[1] 2018 EUR
Basic and diluted (loss)/earnings per share (EUR cents)		(5,72)		8,84
Reconciliation of (loss)/profit for the year to headline (loss)/earnings				
Basic earnings – (loss)/profit for the year attributable to equity holders		(26 137 310)		41 617 088
Adjusted for:				
Fair value loss/(gain) on investment property (also included in income from joint venture)	3 204 334	2 480 724	(5 883 179)	(4 472 126)
Headline (loss)/earnings		(23 656 586)		37 144 962
Weighted average shares in issue during the year[2]		457 176 576		470 721 266
Headline loss/(gain) and diluted headline (loss)/earnings per share (EUR cents)		(5,17)		7,89

	COMPANY			
	Gross 2019 EUR	Net[1] 2019 EUR	Gross 2018 EUR	Net[1] 2018 EUR
Basic and diluted (loss)/earnings per share (EUR cents)		(5,13)		5,58
Reconciliation of (loss)/profit for the year to headline (loss)/earnings				
Basic earnings – (loss)/profit for the year attributable to equity holders		(23 764 177)		26 367 805
Headline (loss)/earnings		(23 764 177)		26 367 805
Weighted average shares in issue during the year[2]		463 070 570		472 594 084
Headline (loss)/earnings and diluted headline (loss)/earnings per share (EUR cents)		(5,13)		5,58

[1] *Net of income tax effect.*

[2] *Shares restated and adjusted for the effect of the company's 1 for 20 share consolidation. Refer to note 10 for additional details.*

The company has no dilutionary instruments in issue.

22. Subsequent events and going concern

The directors note the following subsequent events:

- In line with IAS 10: *Events after the Reporting Period*, the declaration of the distribution (EUR 6 866 852) for the second half of the 2019 financial year occurred after the end of the reporting period, resulting in a non-adjusting event that is not recognised in the financial statements.
- On 4 November 2019, the company announced the salient details of a rights offer to be undertaken by Lighthouse, which rights offer will open on Monday, 25 November 2019 and close on Friday, 6 December 2019. In terms of the rights offer, the company proposes to raise up to EUR 70 500 000 through the issue of a maximum of 150 000 000 new ordinary Lighthouse shares at an issue price of 47,00 EUR cents per rights offer share on the SEM and 775,00 ZAR cents per rights offer share on the JSE.

Company liquidity, solvency and going concern

The directors have assessed that there is no reason to believe that the group and the company businesses will not be going concerns in the year ahead.

23. Lease rental revenue

	GROUP	
	2019 EUR	2018 EUR
Contractual rental revenue from tenants can be analysed as follows:[1, 2]		
Within one year	**18 523 496**	17 405 507
Within one to two years	**15 786 730**	
Within two to three years	**13 313 121**	
Within three to four years	**12 370 534**	
Within four to five years	**10 135 052**	
Within one to five years	**70 128 932**	64 787 152
More than five years	**54 502 805**	30 048 461
Total contractual rental revenue	**124 631 737**	94 835 613

[1] *Contractual rental revenue from tenants excludes cost recovery contributions.*

[2] *The group is party to numerous leasing contracts as the lessor of property. The group retains a significant portion of the risks and rewards of ownership.*

The group is party to leasing arrangements as the lessor of retail properties to various tenants. Typical lease periods vary between three and five years.

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

24. Financial instruments

24.1 Credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
Loans to subsidiaries	–	–	184 204 609	604 471 343
Share Incentive loans	–	243 728	–	2 460 036
Financial assets:				
Equity swap derivatives cash margin[2]	18 752 263	55 829 855	6 383 877	48 424 416
Fair value of currency derivatives[2]	–	235 244	–	42 934
Fair value of interest rate derivatives[2]	430 407	207 511	15 149	172 162
Trade and other receivables (excluding non-financial assets):				
Tenant receivables[1]	2 270 050	2 598 074	–	–
Equity swap derivatives settlement receivable[2]	1 976 742	2 416 999	1 704 100	1 046 545
Prepayments	204 822	110 016	–	–
Receivable for securities sold[2]	–	7 318 306	–	581 777
Share Incentive loans – outstanding settlement for shares sold received after the reporting date	–	279 006	–	279 006
Cash and cash equivalents[2]	16 983 498	355 610 318	2 417 914	130 969 262
Carrying amount of financial assets	**40 617 782**	424 849 057	**194 725 649**	788 447 481
The maximum exposure to credit risk for loans at the reporting date was:				
Share Incentive loans[3, 4]	–	243 728	–	2 460 036
Shares pledged as security	–	(243 728)	–	(2 460 036)
Net credit exposure	–	–	–	–
Loans to subsidiaries	–	–	184 204 609	604 471 343
Deemed fair value of underlying investments allocable to loans to subsidiaries[5]	–	–	(184 204 609)	(604 471 343)
Net exposure	–	–	–	–

[1] *Tenant receivables:*
The group's exposure to credit risk is mainly in respect of retail property tenants and is influenced by the individual characteristics of each tenant. The group's widespread tenant base reduces credit risk. A large proportion of the group's tenant receivables are listed and multinational category A counterparties which reduces the credit risk. A credit policy is in place whereby each new tenant is analysed individually for creditworthiness before appropriate payment terms and conditions are offered which include, in the majority of cases, the provision of a deposit or guarantee of at least one month's rental. When available, the group's credit review considers external ratings. Lighthouse follows the provision matrix approach allowed by IFRS 9 to assess the impairments of tenant receivables, by grouping receivables by country, business sector and classification category. An expected credit loss ("ECL") rate is calculated for each group using, among other factors, historical credit loss experience adjusted for in-country consumer confidence indices and retail sales growth figures, expected credit lifecycles and collection ratios. These ECL rates are then applied to the relevant groups of tenant receivables to calculate the impairment loss allowance at each reporting date.

[2] *Receivables related to listed investment securities and cash and cash equivalents:*
Listed investment securities receivables comprise equity swap derivatives cash margin, fair value of currency derivatives, fair value of interest rate derivatives, equity swap derivatives settlement receivable, and receivable for securities sold. The exposure to credit risk is limited by entering into securities transactions and investing cash and cash equivalents with counterparties that have a high percentage tier-one capital and strong credit ratings assigned by international credit rating agencies.

[3] *None of the borrowers to whom loans were granted were in breach of their obligations.*

[4] *No additional impairment allowance was necessary in respect of the Share Incentive loans as the fair value of the security provided approximated the carrying value of the loans.*

[5] *The exposure on the loans to subsidiaries is indirectly secured as a result of the deemed fair value, based substantially on the net asset value of underlying subsidiaries exceeding the carrying value of the related investments and loans to subsidiaries, as applicable. Time value of money has been considered in the assessment.*

24. Financial instruments continued

24.1 Credit risk continued

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
Tenant receivables:[1]				
Current and <90 days past due (not in default)	**2 238 935**	2 537 323		
– Gross carrying amount	**2 256 679**	2 605 893		
– Impairment loss allowance[6]	**(17 744)**	(68 570)		
>90 days past due (in default)	**31 115**	60 751		
– Gross carrying amount	**537 087**	1 010 605		
– Impairment loss allowance	**(505 972)**	(949 854)		
Total carrying value	**2 270 050**	2 598 074		
– Total gross carrying amount	**2 793 766**	3 616 498		
– Total impairment loss allowance[8]	**(523 716)**	(1 018 424)		
Tenant receivables weighted average loss rates:[1]				
– Current and <90 days past due (%)	**0,8**	2,6		
– >90 days past due (%)	**94,2**	94,0		
IAS 39 disclosures applicable to the prior reporting period:				
Trade and other receivables (excluding non-financial assets):	**–**	12 383 801	**–**	1 907 328
Not past due	**–**	338 600	**–**	–
Past due not impaired[6, 7]	**–**	12 722 401	**–**	1 907 328

[1] *Tenant receivables:*
The group's exposure to credit risk is mainly in respect of retail property tenants and is influenced by the individual characteristics of each tenant. The group's widespread tenant base reduces credit risk. A large proportion of the group's tenant receivables are listed and multinational category A counterparties, which reduces the credit risk. A credit policy is in place whereby each new tenant is analysed individually for creditworthiness before appropriate payment terms and conditions are offered which include, in the majority of cases, the provision of a deposit or guarantee of at least one month's rental. When available, the group's credit review considers external ratings. Lighthouse follows the provision matrix approach allowed by IFRS 9 to assess the impairments of tenant receivables, by grouping receivables by country, business sector and classification category. An expected credit loss ("ECL") rate is calculated for each group using, among other factors, historical credit loss experience adjusted for in-country consumer confidence indices and retail sales growth figures, expected credit lifecycles and collection ratios. These ECL rates are then applied to the relevant groups of tenant receivables to calculate the impairment loss allowance at each reporting date.

[6] *No additional impairment allowance is necessary in respect of the trade and other receivables that are past due, but not impaired.*

[7] *Receivables past due, but not impaired are less than 90 days overdue. Default occurs at greater than 90 days overdue.*

[8] *The current year's reduction in total loss allowance of EUR 494 708 consisted of a net reduction of EUR 54 622 in impairment allowances and write-offs of EUR 440 086 relating to historically impaired receivables deemed irrecoverable.*

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

24. Financial instruments continued

24.2 Liquidity risk

The following are the contractual maturities of financial liabilities, including interest payments:

	Carrying value EUR	Contractual outflows EUR	0 – 3 months EUR	4 – 12 months EUR	2 – 5 years EUR	>5 years EUR
GROUP						
2019						
Interest-bearing borrowings	**125 279 151**	**137 255 810**	**1 156 157**	**3 443 603**	**114 872 497**	**17 783 553**
Financial liabilities	**1 953 964**	**1 953 964**	**24 472**	**1 282 964**	**646 528**	**–**
Trade and other payables	**7 911 804**	**7 911 804**	**7 589 059**	**322 745**	**–**	**–**
2018						
Interest-bearing borrowings	126 322 113	141 896 786	1 179 696	3 461 280	117 615 781	19 640 029
Financial liabilities	1 126 025	1 126 025	–	591 000	294 088	240 937
Trade and other payables	316 389 373	316 389 373	315 758 401	630 972	–	–
COMPANY						
2019						
Trade and other payables	**373 801**	**373 801**	**373 801**	**–**	**–**	**–**
2018						
Trade and other payables	306 262 307	306 262 307	306 262 307	–	–	–

The group's treasury function is rigorously managed to ensure that cash resources are adequate to meet liquidity and funding requirements.

The returns of capital were funded primarily by sales of listed securities investments and available cash resources (refer to notes 14 and 22).

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
Permitted borrowings				
Total gross qualifying assets (including implied assets on equity swap derivatives)	**373 695 047**	982 335 089	**40 994 652**	290 049 681
45% (2018: 45%) borrowing limit of total gross qualifying assets	**168 162 771**	442 050 790	**18 447 593**	130 522 356
Total gross interest-bearing borrowings (including implied borrowings on equity swap derivatives) less cash and cash equivalents and equity swap derivatives cash margin	**(115 887 785)**	(81 759 896)	**(6 757 309)**	4 810 117
Unutilised borrowing capacity	**52 274 986**	360 290 894	**11 690 284**	135 332 473

24. Financial instruments continued

24.3 Market risk

24.3.1 Interest rate risk

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
Interest-bearing instruments comprise the following variable rate instruments:				
Share Incentive loans	**–**	243 728	**–**	2 460 036
Cash and cash equivalents	**16 983 498**	355 610 318	**2 417 914**	130 969 262
Equity swap derivatives cash margin	**18 752 263**	55 829 855	**6 383 877**	48 424 416
Interest-bearing borrowings (including implied borrowings on equity swap derivatives)	**(49 805 293)**	(391 688 304)	**(15 559 100)**	(174 583 561)
Net variable rate interest-bearing instruments	**(14 069 532)**	19 995 597	**(6 757 309)**	7 270 153

The exposure of liabilities and borrowings to contractual repricing dates of interest rates are as follows:

	1 – 3 months EUR	4 – 12 months EUR	2 – 5 years EUR	>5 years EUR	Total EUR
GROUP					
2019					
Interest-bearing borrowings	**23 460 898**	**–**	**–**	**–**	**23 460 898**
Implied interest-bearing borrowings on equity swap derivatives	**26 344 395**	**–**	**–**	**–**	**26 344 395**
Total liabilities and borrowings	**49 805 293**	**–**	**–**	**–**	**49 805 293**
2018					
Interest-bearing borrowings	24 810 348	–	–	–	24 810 348
Implied interest-bearing borrowings on equity swap derivatives	366 877 956	–	–	–	366 877 956
Total liabilities and borrowings	391 688 304	–	–	–	391 688 304
COMPANY					
2019					
Implied interest-bearing borrowings on equity swap derivatives	**15 559 100**	**–**	**–**	**–**	**15 559 100**
Total liabilities and borrowings	**15 559 100**	**–**	**–**	**–**	**15 559 100**
2018					
Implied interest-bearing borrowings on equity swap derivatives	174 583 561	–	–	–	174 583 561
Total liabilities and borrowings	174 583 561	–	–	–	174 583 561

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

24. Financial instruments continued

24.3 Market risk continued

24.3.1 Interest rate risk continued

Cash flow sensitivity analysis for variable rate instruments

Interest

A change of 50 basis points in interest rates at the reporting date would have increased/(decreased) the profit or loss before tax for the year by the amounts shown below. This analysis assumes that all other variables remain constant.

	Profit or (loss) before income tax	
	Increase EUR	Decrease EUR
Group		
2019		
Cash and cash equivalents	**84 917**	**(84 917)**
Equity swap derivatives cash margin	**93 761**	**(93 761)**
Interest-bearing borrowings (including implied borrowings on equity swap derivatives)	**(249 026)**	**249 026**
Cash flow sensitivity (net)[1]	(70 348)	70 348
2018		
Share Incentive loans	1 219	(1 219)
Cash and cash equivalents	1 778 052	(1 778 052)
Equity swap derivatives cash margin	279 149	(279 149)
Interest-bearing borrowings (including implied borrowings on equity swap derivatives)	(1 958 442)	1 958 442
Cash flow sensitivity (net)[1]	99 978	(99 978)
Company		
2019		
Cash and cash equivalents	**12 090**	**(12 090)**
Equity swap derivatives cash margin	**31 919**	**(31 919)**
Interest-bearing borrowings (including implied borrowings on equity swap derivatives)	**(77 796)**	**77 796**
Cash flow sensitivity (net)*	(33 787)	33 787
2018		
Share Incentive loans	12 300	(12 300)
Cash and cash equivalents	654 846	(654 846)
Equity swap derivatives cash margin	242 122	(242 122)
Interest-bearing borrowings (including implied borrowings on equity swap derivatives)	(872 918)	872 918
Cash flow sensitivity (net)[1]	36 350	(36 350)

[1] *The cash flow sensitivity approximates the change to profit or loss before tax.*

The group adopts a policy of hedging, at a minimum, interest rates on all interest-bearing borrowings related to direct property investments.

24. Financial instruments continued

24.3 Market risk continued

24.3.1 Interest rate risk continued

Details of existing interest rate derivatives are:

	Maturity	Nominal amount EUR	Strike rate %	Fair value EUR
Group				
2019				
Interest rate cap	**Jan 2022**	**27 385 417**	**0,00**	**15 149**
Interest rate cap	**Jul 2024**	**25 000 000**	**0,46**	**190 199**
Interest rate cap	**Dec 2025**	**25 000 000**	**0,63**	**82 250**
Interest rate cap	**Jul 2026**	**25 000 000**	**0,70**	**34 285**
Interest rate cap	**Nov 2027**	**25 000 000**	**0,87**	**108 524**
Total		**127 385 417**		**430 407**
Weighted average maturity/rate	**5,6 years**		**0,52**	
2018				
Interest rate cap	Jan 2022	27 385 417	0,00	172 162
Interest rate cap	Jul 2024	25 000 000	0,46	17 275
Interest rate cap	Dec 2025	25 000 000	0,63	(92 531)
Interest rate cap	Jul 2026	25 000 000	0,70	18 074
Interest rate cap	Nov 2027	25 000 000	0,87	(148 406)
Total		127 385 417		(33 426)
Weighted average maturity/rate	6,6 years		0,52	
Company				
2019				
Interest rate cap	**Jan 2022**	**27 385 417**	**0,00**	**15 149**
Total		**27 385 417**		**15 149**
Weighted average maturity/rate	**2,3 years**		**0,00**	
2018				
Interest rate cap	Jan 2022	27 385 417	0,00	172 162
Total		27 385 417		172 162
Weighted average maturity/rate	3,3 years		0,00	

24.3.2 Equity price risk

The carrying amount of financial assets represents the maximum equity price risk exposure. The maximum exposure to equity price risk at the reporting date was:

	GROUP		COMPANY	
	2019 EUR	2018 EUR	2019 EUR	2018 EUR
Listed security investments	**46 149 045**	322 763 421	**25 435 552**	115 466 120
Gross equity swap derivatives exposure to listed investments[1]	**26 344 395**	366 877 956	**15 559 100**	174 583 561
Gross exposure to listed equity securities' investments	**72 493 440**	689 641 377	**40 994 652**	290 049 681

[1] *The group utilises equity swap derivatives to obtain exposure to listed real estate and infrastructure companies, for which an equity derivative margin of between 35% and 90% (2018: between 12% and 45%) of the gross exposure is required. The margin requirement is specific to each underlying security. Also refer to notes 4 and 7.*

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for the year ended 30 September 2019

24. Financial instruments continued

24.3 Market risk continued

24.3.2 Equity price risk continued

An 8,5% (2018: 8,0%) change in the market value of gross listed securities' investments as at the reporting date would have increased/(decreased) profit or loss by the amounts shown below. This analysis assumes that all other variables remain constant.

	Profit or (loss) before income tax	
	Increase EUR	Decrease EUR
Group		
2019		
Listed security investments	**3 922 669**	**(3 922 669)**
Gross equity swap derivative exposure to listed investments[1]	**2 239 273**	**(2 239 273)**
	6 161 942	**(6 161 942)**
2018		
Listed security investments	25 821 074	(25 821 074)
Gross equity swap derivative exposure to listed investments[1]	29 350 236	(29 350 236)
	55 171 310	(55 171 310)
Company		
2019		
Listed security investments	**2 162 022**	**(2 162 022)**
Gross equity swap derivative exposure to listed investments[1]	**1 322 523**	**(1 322 523)**
	3 484 545	**(3 484 545)**
2018		
Listed security investments	9 237 290	(9 237 290)
Gross equity swap derivative exposure to listed investments[1]	13 966 684	(13 966 684)
	23 203 974	(23 203 974)

[1] *The group utilises equity swap derivatives to obtain exposure to listed real estate and infrastructure companies, for which an equity derivative margin of between 35% and 90% (2018: between 12% and 45%) of the gross exposure is required. The margin requirement is specific to each underlying security. Refer to notes 4 and 7.*

24.3.3 Currency risk

The group's and company's reporting currency is the EUR. The group companies' functional currencies are set out below:

	2019	2018
Lighthouse Capital Limited	**EUR**	EUR
Lighthouse One Limited[1]	**EUR**	USD
Lighthouse Investments Limited	**EUR**	EUR
Lighthouse One UK Limited	**EUR**	EUR
Lighthouse Netherlands B.V.	**EUR**	EUR
Lighthouse Investments d.o.o.	**EUR**	EUR
Greenbay Tivoli d.o.o.	**EUR**	EUR
LocaViseu – Sociedade de Gestão de Imóveis, S.A.	**EUR**	EUR
RPPSE Forum Coimbra – Sociedade Imobiliária, S.A.	**EUR**	EUR
RPPSE Forum Viseu – Sociedade Imobiliária, S.A.	**EUR**	EUR

[1] *The functional currency was changed from USD to EUR with effect from 1 October 2018 based on the fact that the majority of the company's revenues and operating expenses are being generated in and exposed to EUR economic environments.*

24. Financial instruments continued

24.3 Market risk continued

24.3.3 Currency risk continued

The group's and company's exposure to foreign currency risk, respectively, is primarily as a result of:

- Lighthouse Limited and Lighthouse One Limited's investments in listed equity securities denominated in foreign currencies;
- Lighthouse Capital Limited and Lighthouse One Limited's investments in equity swap derivatives, which are referenced to underlying listed equity securities denominated in foreign currencies. (Also refer to notes 4, 7 and 11.); and
- Lighthouse Capital Limited raising capital and paying distributions in South African Rand ("ZAR") on the JSE from time to time.

The below foreign currency sensitivities and rates have been applied in calculating the effect that the group's and company's exposure to foreign currencies could have on profit or loss:*

	2019 FX sensitivity % applied	2018 FX sensitivity % applied	2019 Average FX rate for the reporting period	2018 Average FX rate for the reporting period	2019 Closing FX rate as of the reporting date	2018 Closing FX rate as of the reporting date
AUD/EUR	**0,7**	7,0	**1,60**	1,57	**1,61**	1,61
CAD/EUR	**3,6**	2,0	**1,50**	1,53	**1,44**	1,50
HKD/EUR	**5,7**	3,0	**8,84**	9,32	**8,54**	9,09
SGD/EUR	**5,2**	1,0	**1,54**	1,60	**1,51**	1,59
GBP/EUR	**0,3**	1,0	**0,88**	0,88	**0,89**	0,89
USD/EUR	**5,9**	3,0	**1,13**	1,19	**1,09**	1,16
ZAR/EUR	**1,9**	6,0	**16,18**	15,54	**16,50**	16,41

* *The foreign exchange sensitivities were determined by selecting the larger of each respective currency pair's:*
- *Absolute percentage change between the opening and closing spot rates of the reporting period; and*
- *Absolute percentage change between the average and closing spot rates of the reporting period.*

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

24. Financial instruments continued

24.3 Market risk continued

24.3.3 Currency risk continued

At the reporting date, if the EUR had weakened/strengthened by the relevant sensitivity against the other currencies, with all variables constant, profit or loss before tax for the year would have been impacted as follows:

Changes in profit or (loss) before income tax

	GROUP		COMPANY	
	EUR weakened* EUR	EUR strengthened* EUR	EUR weakened* EUR	EUR strengthened* EUR
2019				
Investments at fair value through profit or loss	**507 742**	**(507 742)**	**252 347**	**(252 347)**
Loans to subsidiaries	**–**	**–**	**2 486 141**	**(2 486 141)**
Net financial assets and liabilities (excluding equity swap derivatives cash margin)	**(71 348)**	**71 348**	**–**	**–**
Receivables	**786**	**(786)**	**–**	**–**
Cash and cash equivalents (including equity swap derivatives cash margin)	**30 583**	**(30 583)**	**26 778**	**(26 778)**
Trade and other payables	**(612)**	**612**	**(612)**	**612**
	467 151	**(467 151)**	**2 764 654**	**(2 764 654)**
AUD/EUR	**–**	**–**	**–**	**–**
CAD/EUR	**–**	**–**	**28 872**	**(28 872)**
HKD/EUR	**1**	**(1)**	**–**	**–**
GBP/EUR	**36**	**(36)**	**430 853**	**(430 853)**
USD/EUR	**445 719**	**(445 719)**	**2 284 670**	**(2 284 670)**
ZAR/EUR	**21 395**	**(21 395)**	**20 259**	**(20 259)**
Other currencies	**–**	**–**	**–**	**–**
	467 151	**(467 151)**	**2 764 654**	**(2 764 654)**
2018				
Investments at fair value through profit or loss	6 570 520	(6 570 520)	2 568 297	(2 568 297)
Loans to subsidiaries	–	–	2 411 113	(2 411 113)
Net financial assets and liabilities (excluding equity swap derivatives cash margin)	9 782	(9 782)	939	(939)
Receivables	264 061	(264 061)	45 733	(45 733)
Cash and cash equivalents (including equity swap derivatives cash margin)	9 402 534	(9 402 534)	7 343 822	(7 343 822)
Trade and other payables	(17 250 861)	17 250 861	(17 490 689)	17 490 689
	(1 003 964)	1 003 964	(5 120 785)	5 120 785
AUD/EUR	1 485 483	(1 485 483)	1 166 330	(1 166 330)
CAD/EUR	1 057 626	(1 057 626)	475 632	(475 632)
HKD/EUR	789 557	(789 557)	–	–
GBP/EUR	472 351	(472 351)	1 509 045	(1 509 045)
USD/EUR	2 858 131	(2 858 131)	1 777 874	(1 777 874)
ZAR/EUR	(7 668 973)	7 668 973	(10 049 805)	10 049 805
Other currencies	1 861	(1 861)	139	(139)
	(1 003 964)	1 003 964	(5 120 785)	5 120 785

* *The foreign exchange sensitivities were determined by selecting the larger of each respective currency pair's:*

- *Absolute percentage change between the opening and closing spot rates of the reporting period; and*
- *Absolute percentage change between the average and closing spot rates of the reporting period.*

24. Financial instruments continued

24.3 Market risk continued

24.3.3 Currency risk continued

The currency profile of the company's assets and liabilities is disclosed in the segmental analysis (refer to pages 76 to 79).

Foreign exchange hedging policy

Equity swap derivatives offer gearing in the same currency as the underlying equity exposure and, together with the equity swap derivative cash margin held substantially in EUR, mitigate currency risk. The company's policy is to hedge 100% (2018: 25%) of the USD directly held capital exposure against the EUR. The board's policy is to hedge a minimum of 90% of non-EUR denominated distributable income receivable during the period.

	0 – 12 months			1 – 2 years		
	Gross FX Hedge foreign currency	Weighted average hedge rate	Hedge fair value EUR	Gross FX Hedge foreign currency	Weighted average hedge rate	Hedge fair value EUR
GROUP						
2019						
USD/EUR	**12 539 834**	**1,23440**	**(1 209 290)**			
			(1 209 290)			**–**
GROUP						
2018						
AUD/EUR	7 339 169	1,58298	66 794	3 571 547	1,62799	72 101
CAD/EUR	8 007 106	1,56322	(68 707)	6 651 865	1,57230	5 235
GBP/EUR	2 570 711	0,89760	8 656	524 517	0,91756	(2 572)
HKD/EUR	13 274 094	9,66866	(58 774)	5 232 123	9,59740	(1 505)
SGD/EUR	1 152 555	1,64335	7 645	821 666	1,67251	(5 325)
USD/EUR	25 477 157	1,21607	(392 400)	25 551 365	1,24033	(165 687)
			(436 786)			(97 753)
COMPANY						
2018						
AUD/EUR	284 601	1,61130	2 105	–	–	–
CAD/EUR	1 066 946	1,59796	8 471	–	–	–
GBP/EUR	1 089 249	0,89216	7 461	–	–	–
SGD/EUR	980 780	1,64059	9 921	–	–	–
USD/EUR	1 172 806	1,26250	14 976	–	–	–
			42 934			–

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

24. Financial instruments continued

24.4 Fair values

24.4.1 Classification of financial assets and liabilities

	Fair value through profit or loss EUR	Financial assets at amortised cost EUR	Financial liabilities at amortised cost EUR	Not in scope of IFRS 9 EUR	Total EUR
GROUP					
2019					
Financial assets					
Investments	46 149 045	–	–	–	46 149 045
Financial and other assets	430 407	18 752 263	–	273 308	19 455 978
Trade and other receivables	–	5 108 394	–	1 446 792	6 555 186
Cash and cash equivalents	–	16 983 498	–	–	16 983 498
	46 579 452	40 844 155	–	1 720 100	89 143 707
Financial liabilities					
Interest-bearing borrowings	–	–	125 279 151	–	125 279 151
Financial liabilities	1 209 290	–	468 053	276 621	1 953 964
Trade and other payables	–	–	7 148 273	763 531	7 911 804
Income tax payable	–	–	–	166 450	166 450
	1 209 290	–	132 895 477	1 206 602	135 311 369
COMPANY					
2019					
Financial instruments assets					
Investments	25 435 552	–	–	–	25 435 552
Loans to subsidiaries and investments in subsidiaries	–	184 204 609	–	25 839 843	210 044 452
Financial and other assets	15 149	6 383 877	–	–	6 399 026
Trade and other receivables	–	–	1 704 100	40 432	1 744 532
Cash and cash equivalents	–	–	2 417 914	–	2 417 914
	25 450 701	190 588 485	4 122 014	25 880 275	246 041 476
Financial instruments liabilities					
Trade and other payables	–	–	–	373 801	373 801
Income tax payable	–	–	–	–	–
	–	–	–	373 801	373 801

24. Financial instruments continued

24.4 Fair values continued

24.4.1 Classification of financial instruments assets and liabilities continued

	Fair value through profit or loss EUR	Financial assets at amortised cost EUR	Financial liabilities at amortised cost EUR	Not in scope of IFRS 9 EUR	Total EUR
GROUP					
2018					
Financial instruments assets					
Investments	322 763 421	–	–	–	322 763 421
Financial and other assets	442 755	56 073 583	–	4 057 292	60 573 630
Trade and other receivables	–	12 722 401	–	307 035	13 029 436
Cash and cash equivalents	–	355 610 318	–	–	355 610 318
	323 206 176	424 406 302	–	4 364 327	751 976 805
Financial instruments liabilities					
Interest-bearing borrowings	–	–	126 322 113	–	126 322 113
Financial liabilities	1 010 720	–	115 305		1 126 025
Trade and other payables	–	–	316 389 373	–	316 389 373
Income tax payable	–	–	–	973 235	973 235
	1 010 720	–	442 826 791	973 235	444 810 746
COMPANY					
2018					
Financial assets					
Investments	115 466 120	–	–	–	115 466 120
Loans to subsidiaries and investments in subsidiaries	–	604 471 343	–	8 250 400	612 721 743
Financial and other assets	215 096	50 884 452	–	282 100	51 381 648
Trade and other receivables	–	1 907 328	–	795	1 908 123
Cash and cash equivalents	–	130 969 262	–	–	130 969 262
	115 681 216	788 232 385	–	8 533 295	912 446 896
Financial liabilities					
Trade and other payables	–	–	306 262 307	–	306 262 307
Income tax payable	–	–	–	353 094	353 094
	–	–	306 262 307	353 094	306 615 401

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

24. Financial instruments continued

24.4 Fair values continued

24.4.2 Fair value measurement of assets and liabilities

The table below analyses financial instruments and investment property measured at fair value, by valuation method. It does not include fair value Information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

The table below includes only those assets and liabilities that are measured at fair value on a recurring basis. The different levels have been defined as:

Level 1: Quoted prices (unadjusted) in active markets for identical assets and liabilities.

Level 2: Inputs other than quoted prices included in level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: Inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

	Level 1 EUR	Level 2 EUR	Level 3 EUR	Fair value EUR
GROUP				
2019				
Investment property	–	–	301 201 607	301 201 607
Financial investments at fair value through profit or loss	46 149 045	–	–	46 149 045
Financial assets	–	430 407	–	430 407
Total assets measured at fair value	46 149 045	430 407	301 201 607	347 781 059
Financial liabilities	–	1 209 290	–	1 209 290
Total liabilities measured at fair value	–	1 209 290	–	1 209 290
COMPANY				
2019				
Financial investments at fair value through profit or loss	25 435 552	–	–	25 435 552
Financial assets	–	15 149	–	15 149
Total assets measured at fair value	25 435 552	15 149	–	25 450 701
GROUP				
2018				
Investment property	–	–	292 693 712	292 693 712
Financial investments at fair value through profit or loss	322 763 421	–	–	322 763 421
Financial assets	–	442 755	–	442 755
Total assets measured at fair value	322 763 421	442 755	292 693 712	615 899 888
Financial liabilities	–	1 010 720	–	1 010 720
Total liabilities measured at fair value	–	1 010 720	–	1 010 720
COMPANY				
2018				
Financial investments at fair value through profit or loss	115 466 120	–	–	115 466 120
Financial assets	–	215 096	–	215 096
Total assets measured at fair value	115 466 120	215 096	–	115 681 216

The carrying amounts of financial instruments that are not measured at fair value reasonably approximate their fair value due to:

- For loans to subsidiaries and loans to joint ventures: the terms, circumstances, credit conditions and interest rate environment are market related.
- For trade and other receivables, cash and cash equivalents and trade and other payables: their short-term nature.

24. Financial instruments continued

24.4 Fair values continued

24.4.2 Fair value measurement of assets and liabilities continued

The following table shows the valuation techniques used in measuring level 2 and 3 fair values, as well as the significant unobservable inputs used:

Type	Valuation technique	Significant unobservable inputs	Interrelationship between significant unobservable inputs and fair value measurement
Investment property and investment property under development	Fair value is determined by capitalising the net revenue stream evidenced by market-related rentals and deducting market-related expenses. Spare land value added to the capitalised value is based on comparative sales of similar land. Assumptions are made on the expiry of leases for some vacancy. Capital costs in respect of fit-outs for new tenants, as well as agency commission fees, are calculated into the cash flow. Among other factors, the capitalisation rate estimation considers the quality of the building, its location, the tenants' credit quality and their lease terms.	• Estimated rentals at the end of the lease; • Assumptions regarding vacancy levels; • Maintenance costs; and • Capitalisation rate.	The estimated fair value would increase if: • The expected market rental growth increased; • Vacant periods were shorter; • Maintenance costs were lower; • The capitalisation rate declined; or • The discount rate declined.
Derivative assets and liabilities: interest rate caps*	Valued by discounting the future cash flows using the applicable swap curve at the dates when the cash flows will take place.	Not applicable	Not applicable
Derivative assets and liabilities: forward exchange contracts*	Valued by discounting the forward rates applied at the financial reporting date to the open hedge positions.	Not applicable	Not applicable

* *The valuations of the interest rate and currency derivatives have been performed externally by independent experts.*

The group measures its investment properties at fair value. The group engaged independent valuation specialists to determine fair value at the reporting date. The valuation techniques are detailed in note 3. Changes in the capitalisation rate attributable to changes in market conditions can have a significant impact on property valuations.

	2019 %	2018 %
The range of capitalisation rates used to determine investment property fair values	**5,71 to 7,29**	5,50 to 7,25

A 0,50% (2018: 0,25%) (decrease)/increase in the capitalisation rate used to determine the fair value of investment properties would have increased/(decreased) profit/(loss) by the amounts shown below. This analysis assumes that all other variables remain constant.

	Increase 2019 EUR	Decrease 2019 EUR	Increase 2018 EUR	Decrease 2018 EUR
Group				
Investment property	**26 530 934**	**(22 514 804)**	12 834 940	(11 786 178)
	26 530 934	**(22 514 804)**	12 834 940	(11 786 178)

There were no transfers between levels 1, 2 and 3 during the year. Refer to note 3 for the movements in investment property.

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

25. Accounting estimates and judgements

Management discusses with the audit committee the development, selection and disclosure of the group's critical accounting policies and estimates and the application of these policies and estimates. Estimates and judgements are continuously evaluated and are based on historical experience and other factors including expectations of future events that are believed to be reasonable under the circumstances.

The group makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities in the future are discussed below.

25.1 Limitation of sensitivity analysis

Sensitivity analysis in respect of market risk demonstrates the effect of a change in a key assumption while other assumptions remain unchanged.

In reality, there is a correlation between the assumptions and other factors. It should also be noted that these sensitivities are non-linear and larger or smaller impacts should not be interpolated or extrapolated from these results.

Sensitivity analysis does not take into consideration that the group's assets and liabilities are managed. Other limitations include the use of hypothetical market movements to demonstrate potential risks that only represent the group's view of possible near-term market changes that cannot be predicted with any certainty.

25.2 Impairment of non-financial assets

Applicable assets are tested for impairment as per the relevant aforementioned accounting policies. The recoverable amounts of relevant assets and/or cash-generating units have been determined based on the estimated fair value of the related assets and liabilities, as adjusted for expected fair value differences. Estimates are based on the group's reasonable judgement considering all applicable factors and circumstances.

25.3 Loss allowances on financial assets

The calculation of ECL is based on reasonable and supportable forward-looking information e.g. in-country consumer confidence indices and retail sales growth figures, and assumptions on how this information may affect losses in future. Loss given default ("LGD") estimates the total loss that would arise in case of default. LGD is the difference between contractual cash flows and actual cash flows that the group expects to receive.

25.4 Investment properties

The fair value measurement of investment properties requires judgement in the determination of future net cash flows from leases and appropriate discount/capitalisation rates to be applied. Independent external valuations have been obtained for all investment property at the reporting date.

The directors are of the view that the independent external valuation of the investment property sufficiently mitigates the estimation uncertainty.

Refer to notes 3 and 24.4 for additional details.

26. Related party transactions

Various transactions were entered into between related parties. These transactions were entered into on market-related terms in the normal course of business.

26.1 Identity of related parties with whom material transactions have occurred

The subsidiaries, key management personnel and directors are related parties. The subsidiaries of the company are identified in note 5.

The directors are set out on pages 34 to 37.

26.2 Material related party transactions

Investment in and loans to subsidiaries are set out in note 5.

Revenue and interest received from subsidiaries is presented in profit or loss.

Asset management fee revenues and expenses are set out in note 5.

Due to Lighthouse's small number of employees, all staff costs may be considered as relating to key management personnel, as set out in note 16.

Remuneration paid to directors is set out on pages 48 and 51 and in note 16.

The Share Incentive loans to directors are set out in note 8.

Interest paid by directors to Lighthouse in terms of the Share Incentive amounts to EUR 6 168 (2018: EUR 28 000).

For the years ended 30 September 2019 and 2018, respectively, the group and the company have not recognised any impairment of receivables relating to amounts owed by related parties, except for the impairment of the Share Incentive loans. This assessment is undertaken at each reporting date by examining the financial position of the related party and the market in which it operates.

There are no related party loans or receivables other than those disclosed in notes 5, 7 and 8.

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

27. Standards and interpretations

27.1 Issued but not yet effective

At the reporting date, the following applicable standards and interpretations were in issue but not yet effective:

International Financial Reporting Standards			Effective date
IFRS 3	*Business Combinations*	Amendments resulting from Annual Improvements 2015-2017 Cycle (remeasurement of previously held interest).	Annual periods beginning on or after 1 January 2019.
IFRS 3	*Business Combinations*	Amendments to clarify the definition of a business.	First annual reporting period on or after 1 January 2020.
IFRS 9	*Financial Instruments*	Amendments regarding prepayment features with negative compensation and modifications of financial liabilities.	Annual periods beginning on or after 1 January 2019.
IFRS 10	*Consolidated Financial Statements*	Amendments to Sale or Contributions of Assets between an investor and its associate or joint venture.	Deferred indefinitely.
IFRS 11	*Joint Arrangements*	Amendments resulting from Annual Improvements 2015-2017 Cycle (remeasurement of previously held interest).	Annual periods beginning on or after 1 January 2019.
IAS 1	*Presentation of Financial Statements*	Amendments regarding the definition of material.	Annual periods beginning on or after 1 January 2020.
IAS 8	*Accounting Policies, Changes in Accounting Estimates and Errors*	Amendments resulting from Annual Improvements 2015-2017 Cycle (income tax consequences of dividends).	Annual periods beginning on or after 1 January 2019.
IAS 12	*Income Taxes*	Amendments to Sale or Contributions of Assets between an investor and its associate or joint venture.	Annual periods beginning on or after 1 January 2019.
IAS 23	*Borrowing Costs*	Amendments resulting from Annual Improvements 2015-2017 Cycle (borrowing costs eligible for capitalisation).	Annual periods beginning on or after 1 January 2019.
IAS 28	*Investments in Associates and Joint Ventures*	Amendments regarding long-term interests in associates and joint ventures.	Annual periods beginning on or after 1 January 2019.

None of these standards are expected to have a material impact on the consolidated and separate financial statements.

28. Restatement

As disclosed in the prior year financial statements, as a result of JSE proactive monitoring process queries, the group had revisited the accounting treatment of the below-mentioned matters related to the 30 September 2017 balance sheets of the group and company, respectively.

28.1 Financial reporting improvement initiative

The group has completed a financial reporting improvement project to ensure full compliance with IFRS, applicable regulatory requirements, and enhance disclosures for relevant stakeholders and users of the financial statements. One of the considerations of the project was to “declutter” the financial statements so as to ensure that it reflects information that is material to users of the financial statements. These changes do not result from prior period errors, but rather reclassifications and disclosure amendments.

Refer to note 28.5, summarising the changes to previously reported figures.

28. Restatement continued

28.2 Financial assets (including equity swap derivatives cash margin)

The equity swap derivatives cash margin had previously been presented under current assets. The group had reassessed the presentation and classification of its equity swap derivatives cash margin and determined that the restricted portion of cash collateral should have been classified under non-current assets. The remaining portion of cash was reclassified as cash and cash equivalents. The non-current vs. current classification of certain other financial and other assets had also been corrected.

The change in presentation and classification of equity swap derivatives cash margin constituted a prior period error in terms of IAS 8: *Accounting Policies, Changes in Accounting Estimates and Errors* and as such the group's prior financial statements were restated.

Refer to note 28.5, summarising the changes to previously reported figures.

28.3 Financial liability derivatives from bookbuilds

The group reassessed the accounting treatment of its bookbuilds in terms of the requirements of IAS 32: *Financial Instruments – Presentation*.

Financial liability derivatives should have been recognised from the dates of the bookbuilds through to the dates issued and payments received. The previously reported 2017 financial statements were restated to account for the related shares' fair value losses in profit or loss that arose as a result of fair valuing these financial liability derivatives.

The change in accounting treatment related to the embedded derivatives in bookbuilds constituted a prior period error in terms of IAS 8: *Accounting Policies, Changes in Accounting Estimates and Errors* and as such the group's prior financial statements were restated.

Refer to note 28.5, summarising the changes to previously reported figures.

28.4 Change in functional currency and foreign currency translation reserve

The group had reassessed the functional currencies of each of the group companies for the 2017 and 2018 reporting periods to comply with IAS 21: *The Effects of Changes in Foreign Exchange Rates*. The changes in functional currency were made primarily as a result of a re-evaluation of the primary economic environment (IAS 21:9) in which the relevant entities operated during the respective periods. Also refer to note 24.3.3.

The group has changed the functional currencies of certain entities as follows:

	Current accounting treatment	Previous accounting treatment
Lighthouse Capital Limited – 2017 reporting period	EUR for the full reporting period	GBP for the six months ended 31 March 2017 and EUR for the six months ended 30 September 2017
Lighthouse One Limited – 2017 reporting period	USD for the full reporting period	GBP for the six months ended 31 March 2017 and EUR for the six months ended 30 September 2017

Lighthouse previously converted stated capital at historical foreign exchange rates when accounting for changes in functional currency, with the difference between the historical and spot foreign exchange rates allocated to the foreign currency translation reserve. The accounting has been amended to recognise capital issuances at the spot foreign exchange rate at the date of the change in functional currency as part of stated capital. The change constituted a prior period error in terms of IAS 8: *Accounting Policies, Changes in Accounting Estimates and Errors* and as such the group's prior financial statements were restated.

Refer to note 28.5, summarising the changes to previously reported figures.

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

28. Restatement continued

28.5 Impact of restatements on previously reported financial statements

Refer to the relevant 2017 financial statements below for the impact of the restatements:

Group consolidated statement of financial position as at 30 September 2017

	Previously reported 30 Sep 2017 EUR
Assets	
Non-current assets	290 757 701
Investment property	57 498 838
Straight-lining of rental revenue adjustment	1 162
Investment property under development	13 942 548
Investments	159 448 464
Investment in and loans to joint venture	59 361 010
Financial and other assets	–
Greenbay management incentive loans	505 679
Current assets	644 871 133
Financial and other assets	–
Equity derivative margin	233 825 666
Loans to group companies	–
Trade and other receivables	4 457 081
Cash and cash equivalents	406 588 386
Total assets	935 628 834
Equity and liabilities	
Total equity attributable to equity holders	893 778 890
Stated capital	892 382 767
Non-distributable reserve	(36 075 289)
Foreign currency translation reserve	(11 028 779)
Retained earnings	48 500 191
Total liabilities	41 849 944
Non-current liabilities	25 144 714
Interest-bearing borrowings	24 714 857
Deferred tax	429 857
Current liabilities	16 705 230
Interest-bearing borrowings	1 374 996
Trade and other payables	14 670 411
Income tax payable	659 823
Total equity and liabilities	935 628 834

Restatement adjustments						
Reclassification for financial reporting improvement initiative 30 Sep 2017 EUR	Equity derivative cash margin 30 Sep 2017 EUR	Financial assets and liabilities: non-current vs. current 30 Sep 2017 EUR	Financial liability derivatives from bookbuilds 30 Sep 2017 EUR	Change in functional currency 30 Sep 2017 EUR	Foreign currency translation reserve on change in functional currency 30 Sep 2017 EUR	Restated 30 Sep 2017 EUR
–	92 134 467	549 537	–	–	–	383 441 705
13 943 710						71 442 548
(1 162)						–
(13 942 548)						–
						159 448 464
						59 361 010
505 679	92 134 467	549 537				93 189 683
(505 679)						–
–	(92 134 467)	(549 537)	–	–	–	552 187 129
940 005		(549 537)				390 468
	(233 825 666)					–
						–
(940 005)						3 517 076
	141 691 199					548 279 585
–	–	–	–	–	–	935 628 834
–	–	–	–	–	–	893 778 890
			94 013 684		(11 028 765)	975 367 686
			(94 013 684)	(88 872)		(130 177 845)
				242 199	11 028 765	242 185
			–	(153 327)		48 346 864
–	–	–	–	–	–	41 849 944
–	–	–	–	–	–	25 144 714
						24 714 857
						429 857
–	–	–	–	–	–	16 705 230
						1 374 996
						14 670 411
						659 823
–	–	–	–	–	–	935 628 834

NOTES TO THE FINANCIAL STATEMENTS continued

for the year ended 30 September 2019

28. Restatement continued

28.5 Impact of restatements on previously reported financial statements continued

Company consolidated statement of financial position as at 30 September 2017

	Previously reported 30 Sep 2017 EUR
Assets	
Non-current assets	552 355 344
Investments	74 530 500
Investment in and loans to subsidiaries	477 319 165
Financial and other assets	–
Greenbay management incentive loans	505 679
Current assets	358 197 960
Financial and other assets	–
Equity derivative margin	131 801 287
Trade and other receivables	7 390 769
Cash and cash equivalents	219 005 904
Total assets	910 553 304
Equity and liabilities	
Total equity attributable to equity holders	903 500 964
Stated capital	892 382 767
Non-distributable reserve	(28 374 589)
Foreign currency translation reserve	(11 028 765)
Retained earnings	50 521 551
Total liabilities	7 052 340
Current liabilities	7 052 340
Trade and other payables	6 392 517
Income tax payable	659 823
Total equity and liabilities	910 553 304

Restatement adjustments						
Reclassification for financial reporting improvement initiative 30 Sep 2017 EUR	Equity derivative cash margin 30 Sep 2017 EUR	Financial assets and liabilities: non-current vs. current 30 Sep 2017 EUR	Financial liability derivatives from bookbuilds 30 Sep 2017 EUR	Change in functional currency 30 Sep 2017 EUR	Foreign currency translation reserve on change in functional currency 30 Sep 2017 EUR	Restated 30 Sep 2017 EUR
–	75 028 051	549 537	–	–	–	627 932 932
						74 530 500
						477 319 165
505 679	75 028 051	549 537				76 083 267
(505 679)						–
–	(75 028 051)	(549 537)	–	–	–	282 620 372
693 841		(549 537)				144 304
	(131 801 287)					–
(693 841)						6 696 928
	56 773 236					275 779 140
–	–	–	–	–	–	910 553 304
–	–	–	–	–	–	903 500 964
			94 013 684		(11 028 765)	975 367 686
			(94 013 684)	71 824		(122 316 449)
					11 028 765	–
			–	(71 824)		50 449 727
–	–	–	–	–	–	7 052 340
–	–	–	–	–	–	7 052 340
						6 392 517
						659 823
–	–	–	–	–	–	910 553 304

View of Coimbra town from Forum Coimbra – Portugal

SHAREHOLDER INFORMATION

SHAREHOLDER ANALYSIS

Shareholder spread at 30 September 2019 as defined in terms of the SEM and JSE Listings Requirements.

	Number of shareholders	Number of shares held	Percentage of issued shares
Public	2 700	445 807 485	97,4
Directors and employees	11	11 982 651	2,6
Total	**2 711**	**457 790 136**	**100**
Size of holding			
1 to 2 500 shares	1 751	1 021 780	0,2
2 501 to 10 000 shares	408	2 074 406	0,4
10 001 to 100 000 shares	369	12 214 560	2,7
100 001 to 1 000 000 shares	130	41 999 456	9,2
1 000 001 to 3 500 000 shares	29	51 667 669	11,3
More than 3 500 000 shares	24	348 812 265	76,2
Total	**2 711**	**457 790 136**	**100,0**

	Number of shares held	Percentage of issued shares
Registered shareholders owning 5% or more of issued shares		
Resilient REIT Limited	102 618 098	22,4
Delsa Investments Proprietary Limited	69 445 564	15,2
Absa Asset Management Proprietary Limited	50 490 472	11,0
Optimprop 3 Proprietary Limited	26 923 590	5,9
Total	**249 477 724**	**54,5**

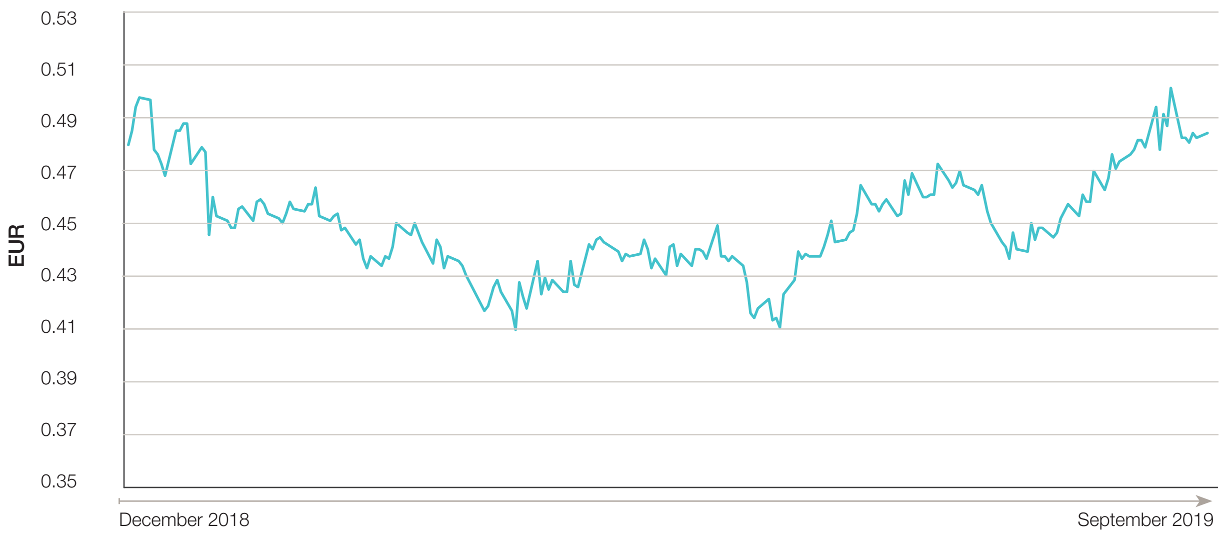
	Number of shares controlled	Percentage of issued shares
Control of more than 5% of issued shares		
Resilient REIT Limited	102 618 098	22,4
Delsa Investments Proprietary Limited	69 445 564	15,2
Absa Asset Management Proprietary Limited	50 490 472	11,0
Optimprop 3 Proprietary Limited	26 923 590	5,9
Total	**249 477 724**	**54,5**

SUMMARY OF FINANCIAL PERFORMANCE

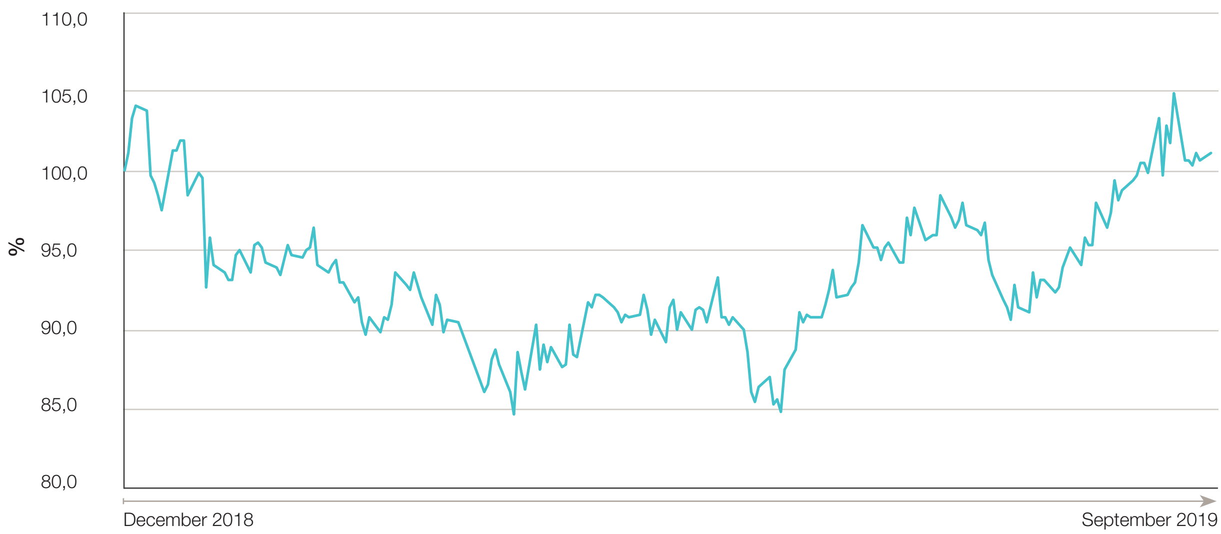
The board is committed to creating sustainable stakeholder value by managing the portfolio and by maximising returns on Lighthouse's assets.

The graphs below indicate the share price performance of Lighthouse on both an actual price and percentage return basis. The performance of the Lighthouse shares is indexed using a base of 100 on 18 December 2018, the date of the share consolidation on a 1 for 20 basis.

Closing price



Price performance



ELECTRONIC COMMUNICATION ELECTION

Dear dematerialised shareholder

You are invited to help reduce the impact on the environment and save costs

By electing to receive all of your communications electronically you can help to reduce paper use, cut carbon emissions and save costs:

Link Market Services on behalf of Lighthouse Capital Limited will:

- Email you when company announcements, integrated reports and notices of meeting documents are made available for downloading from Lighthouse Capital Limited's website; and
- No longer send you a printed version of these documents in the mail.

How to nominate your communications via email:

Shareholders holding shares through a stockbroker or custodian

Please contact your broker and request that they ensure your email address is made available on the share register for you to receive electronic communications.

If you have an online login to your account, update your preferences and ensure you select email communication.

IMPORTANT DATES

First quarter 2020

Quarter ends	31 December 2019
Annual general meeting	30 January 2020
Announcement of quarterly results (provisional)	13 February 2020

CORPORATE INFORMATION

Company details and registered office

Lighthouse Capital Limited
Registration number: C124756 C1/GBL
Incorporated in the Republic of Mauritius on 14 August 2014
SEM share code: GFP.N0000
ISIN: MU0461N00015
JSE share code: LTE
C1-401, 4th Floor, La Croisette, Grand Baie, Mauritius
info@lighthousecapital.mu
Tel: +230 269 6664
Fax: +230 403 0801

Board of directors

Mark Olivier (chairperson)#
David Axten#
Karen Bodenstein#
Paul Edwards#
Barry Stuhler#
Stephen Delport* (chief executive officer)
Justin Muller* (chief investment officer)
Kobus van Biljon* (chief financial officer)
Jan Wandrag* (chief operating officer)
 # Independent non-executive director
** Executive director*

Netherlands office

World Trade Centre Tower A, Level 7,
Strawinsky Laan 703, 1077XX Amsterdam,
The Netherlands

South African transfer secretary

Link Market Services South Africa Proprietary Limited
13th Floor, 19 Ameshoff Street,
Braamfontein, Johannesburg, 2001
(PO Box 4844, Johannesburg, 2000) South Africa

JSE sponsor

Java Capital
6A Sandown Valley Crescent, Sandown, Sandton, 2196
(PO Box 522606, Saxonwold, 2132) South Africa

Mauritian management company and company secretary

Intercontinental Trust Ltd
Level 3, Alexander House, 35 Cybercity,
Ebene, 72201, Mauritius

Mauritian registrar and transfer agent

Intercontinental Secretarial Services Ltd
Level 3, Alexander House, 35 Cybercity,
Ebene, 72201, Mauritius

Auditor

BDO & Co
DCDM Building
10 Frère Fèlix de Valois Street,
Port Louis, Mauritius

SEM authorised representative and sponsor

Perigeum Capital Ltd
Level 3, Alexander House, 35 Cybercity,
Ebene, 72201, Mauritius

Commercial bankers

Standard Bank Mauritius
Level 9, Tower A, 1 Cybercity,
Ebene, 72201, Mauritius

Afrasia Bank Ltd
3rd Floor, NexTeracom Tower 3,
Ebene, 72201, Mauritius

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